B S R & Co. LLP
Chartered Accountants

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Independent Auditor's Report

To the Members of Imagine Marketing Limited

Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the standalone financial statements of Imagine Marketing Limited (the "Company") which comprise the standalone balance sheet as at 31 March 2026, and the standalone statement of profit and loss (including other comprehensive income), standalone statement of changes in equity and standalone statement of cash flows for the year then ended, and notes to the standalone financial statements, including material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2026, and its profit and other comprehensive income, changes in equity and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those SAs are further described in the *Auditor's Responsibilities for the Audit of the Standalone Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the standalone financial statements.

Management's and Board of Directors' Responsibilities for the Standalone Financial Statements

The Company's Management and Board of Directors are responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the state of affairs, profit/ loss and other comprehensive income, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, the Management and Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Management and Board of Directors.
- Conclude on the appropriateness of the Management and Board of Directors use of the going concern basis of accounting in preparation of standalone financial statements and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of Section 143(11) of the Act, we give in the "Annexure A" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

2 A. As required by Section 143(3) of the Act, we report that:

   a. We have sought and obtained all the information and explanations which to the best of our

knowledge and belief were necessary for the purposes of our audit.

b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books except for the matters stated in the paragraph 2(B)(f) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.

c. The standalone balance sheet, the standalone statement of profit and loss (including other comprehensive income), the standalone statement of changes in equity and the standalone statement of cash flows dealt with by this Report are in agreement with the books of account.

d. In our opinion, the aforesaid standalone financial statements comply with the Ind AS specified under Section 133 of the Act.

e. On the basis of the written representations received from the directors as on 1 April 2026 taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2026 from being appointed as a director in terms of Section 164(2) of the Act.

f. the modification relating to the maintenance of accounts and other matters connected therewith are as stated in the paragraph 2A(b) above on reporting under Section 143(3)(b) of the Act and paragraph 2B(f) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.

g. With respect to the adequacy of the internal financial controls with reference to financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B".

B. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

a. The Company has disclosed the impact of pending litigations as at 31 March 2026 on its financial position in its standalone financial statements - Refer Note 33 to the standalone financial statements.

b. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

c. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.

d (i) The management has represented that, to the best of their knowledge and belief, as disclosed in the Note 47 to the standalone financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(ii) The management has represented that, to the best of their knowledge and belief, as disclosed in the Note 47 to the standalone financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Parties ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(iii) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (i) and (ii) above,

contain any material misstatement.

e. The Company has neither declared nor paid any dividend during the year.

f. Based on our examination which included test checks,except for the instances mentioned below, the Company has used accounting softwares for maintaining its books of accounts, which have a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the respective softwares :

i. The feature of recording audit trail (edit log) was not enabled at the application level for the accounting software related to the general ledger for certain changes made by a user having privileged access rights. Further, the feature of recording the audit trail (edit log) facility was not enabled at the database level to log any direct data changes.

ii. Based on independent auditor's report in relation to controls at a service organisation, for an accounting software used for maintaining inventory records, which is operated by a third party software service provider, the feature of recording audit trail was not enabled from 1 April 2025 to 27 June 2025.

Further, for the period where the audit trail (edit log) facility was enabled and operated, we did not come across any instance of audit trail feature being tampered with.

Additionally, where audit trail (edit log) facility was enabled in the previous years, the audit trail has been preserved by the Company as per the statutory requirements for record retention.

C. With respect to the matter to be included in the Auditor's Report under Section 197(16) of the Act: In our opinion and according to the information and explanations given to us, the remuneration paid by the Company to its directors during the current year is in accordance with the provisions of Section 197 of the Act. The remuneration paid/payable to any director is not in excess of the limit laid down under under Section 197 of the Act. The Ministry of Corporate Affairs has not prescribed other details under Section 197(16) of the Act which are required to be commented upon by us.

For **B S R & Co. LLP**

Chartered Accountants

Firm's Registration No.:101248W/W-100022

Amar Sunder

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Date: 2026.06.05 21:07:55 +05'30'

Amar Sunder

Partner

Membership No.: 078305

ICAI UDIN:26078305BJYBYJ7108

Place: Mumbai

Date: 05 June 2026

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Imagine Marketing Limited for the year ended 31 March 2026

(Referred to in paragraph 1 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

(i) (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment (including Right of use assets)

(B) The Company has maintained proper records showing full particulars of intangible assets.

(i) (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has a regular programme of physical verification of its Property, Plant and Equipment (including Right of use assets) by which all property, plant and equipment are verified in a phased manner over a period of two years. In accordance with this programme, certain property, plant and equipment were verified during the year. In our opinion, this periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets. No material discrepancies were noticed on such verification.

(c) The Company does not have any immovable property (other than immovable properties where the Company is the lessee and the leases agreements are duly executed in favour of the lessee). Accordingly, clause 3(i)(c) of the Order is not applicable.

(d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not revalued its Property, Plant and Equipment (including Right of Use assets) or intangible assets or both during the year.

(e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there are no proceedings initiated or pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder.

(ii) (a) The inventory, except goods-in-transit and stocks lying with third parties, has been physically verified by the management during the year.For stocks lying with third parties at the year-end, written confirmations have been obtained and for goods-in-transit subsequent evidence of receipts has been linked with inventory records. In our opinion, the frequency of such verification is reasonable and procedures and coverage as followed by management were appropriate. No discrepancies were noticed on verification between the physical stocks and the book records that were more than 10% in the aggregate of each class of inventory

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets. In our opinion, the quarterly returns or statements filed by the Company with such banks or financial institutions are in agreement with the books of account of the Company except as follows:

Amount in Rs. million

Quarter	Name of bank	Particulars	Amount as per audited books of account *	Amount as reported in the quarterly return/ statement (unaudited)	Amount of difference	Whether return/statement subsequently rectified
March 26	Citi Bank,	Trade Receivable	2,547.99	2,633.02	(85.03)	Yes

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Imagine Marketing Limited for the year ended 31 March 2026 *(Continued)*

Quarter	Name of bank	Particulars	Amount as per audited books of account *	Amount as reported in the quarterly return/ statement (unaudited)	Amount of difference	Whether return/statement subsequently rectified
	RBL, HDFC, ICICI, HSBC, Axis, DBS	s				
March 26	Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Inventory	2,923.61	2,821.97	101.64	Yes

* As at 31 March 2026, the Company did not have any outstanding working capital borrowings.

(iii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not provided any security or granted any loans or advances in the nature of loans, secured or unsecured to companies, firms or limited liability partnerships during theyear. The Company has provided a guarantee to a Company and granted loans to other parties in respect of which the requisite information is as below. The Company has made investments in other parties. The Company has not made investments in companies, firms and limited liability partnerships. The Company has not provided guarantees to firms, limited liability partnerships and other parties.

(a) Based on the audit procedures carried on by us and as per the information and explanations given to us the Company has provided unsecured loans and provided guarantee to a company as below:

Amount in Rs. million

Particulars	Guarantees	Loans
Aggregate amount during the year		
Subsidiaries*	500.00	-
Others**	-	3.04
Balance outstanding as at balance sheet date		
Subsidiaries*#	500.00	37.00
Others**	-	0.07

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Imagine Marketing Limited for the year ended 31 March 2026 *(Continued)*

**As per the Companies Act, 2013*

This loan has been provided for during the year

** Others represents interest free unsecured loans to employees as per the policies/practice of the Company

(b) According to the information and explanations given to us and based on the audit procedures conducted by us, in our opinion the investments made and guarantee provided during the year are not prejudicial to the interest of the Company. The Company has not provided any loans or granted any advances in the nature of loans during the year.

(c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, in the case of loans given, in our opinion the repayment of principal and payment of interest has been stipulated and the repayments or receipts have been regular except for the loan of Rs. 37.00 million and interest thereon of Rs. 8.10 million which is repayable on demand. As informed to us, the Company has not demanded repayment of the loan and interest during the year. Thus, there has been no default on the part of the party to whom the money has been lent. Further, the Company has not given any advance in the nature of loan to any party during the year.

(d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there is no overdue amount for more than ninety days in respect of loans given. Further, the Company has not given any advance in the nature of loan to any party during the year.

(e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there is no loan or advance in the nature of loan granted falling due during the year, which has been renewed or extended or fresh loans granted to settle the overdues of existing loans given to same parties.

(f) According to the information and explanations given to us and on the basis of our examination of the records of the Company, in our opinion the Company has not granted any loans or advances in the nature of loans either repayable on demand or without specifying any terms or period of repayment except for the following loans to a related party as defined in Clause (76) of Section 2 of the Companies Act, 2013 ("the Act"):.

All amount in Rs. millions

	Related Parties
Aggregate of loans - Repayable on demand (A) - Agreement does not specify any terms or period of Repayment (B)	 37.00 -
Total (A+B)	37.00
Percentage of loans to the total loans	99.81%

(iv) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not given any loans, or provided any security as specified under Section 185 and 186 of the Companies Act, 2013 ("the Act"). In respect of the investments made by the Company and the guarantee provided , in our opinion the provisions of Section 186 of the Act have been complied with. The Company has not granted

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Imagine Marketing Limited for the year ended 31 March 2026 *(Continued)*

loans, nor made any investments to which the provisions of Section of 185 of the Act apply.

(v) The Company has not accepted any deposits or amounts which are deemed to be deposits from the public. Accordingly, clause 3(v) of the Order is not applicable.

(vi) According to the information and explanations given to us, the Central Government has not prescribed the maintenance of cost records under Section 148(1) of the Act for the products sold by the Company. Accordingly, clause 3(vi) of the Order is not applicable.

(vii) (a) The Company does not have liability in respect of Service tax, Duty of excise, Sales tax and Value added tax during the year since effective 1 July 2017, these statutory dues has been subsumed into GST.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, in our opinion, the undisputed statutory dues including Goods and Service Tax, Provident Fund, Income-Tax, Duty of Customs or Cess or other statutory dues have been regularly deposited by the Company with the appropriate authorities.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, no undisputed amounts payable in respect of Goods and Service Tax, Provident Fund, Income-Tax, Duty of Customs or Cess and other statutory dues were in arrears as at 31 March 2026 for a period of more than six months from the date they became payable.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, statutory dues relating to Duty of customs which have not been deposited on account of any dispute are as follows:

Amount Rs. in million

Name of the statute	Nature of the dues	Amount Demanded (Rs.)*	Amount Paid (Rs.)	Period to which the amount relates	Forum where dispute is pending
Customs Act, 1962	Custom Duty	341.98	-	June 2019 to December 2020	Comm. of Customs (Import) ACC Sahar
Customs Act, 1962	Custom Duty	93.92	-	February 2018 to February2020	CESTAT Mumbai
Customs Act, 1962	Custom Duty	295.29	-	June 2019 to April 2022	Comm. of Customs (Import), NS-V, JNCH
Customs Act, 1962	Custom Duty	1,660.01	-	February 2018 to February 2020	CESTAT Mumbai
Customs Act, 1962	Custom Duty	3.63	-	February 2018 to	Additional Comm. of

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Imagine Marketing Limited for the year ended 31 March 2026 *(Continued)*

Name of the statute	Nature of the dues	Amount Demanded (Rs.)*	Amount Paid (Rs.)	Period to which the amount relates	Forum where dispute is pending
				February 2020	Customs, Airport & ACC, Bengaluru
Customs Act, 1962	Custom Duty	13.52	-	May 2020 to July 2020	Comm. of Customs, City Customs Commissioner ate, Bengaluru
Custom Act,1962	Custom Duty	30.60	-	Jan 2021 to Apr 2022	Pr. Commissioner of Customs (Import), Air Cargo Complex, Sahar, Mumbai-III

*excluding Interest

(viii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not surrendered or disclosed any transactions, previously unrecorded as income in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year.

(ix) (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not defaulted in repayment of loans and borrowing or in the payment of interest thereon to any lender.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not been declared a wilful defaulter by any bank or financial institution or government or government authority.

(c) In our opinion and according to the information and explanations given to us by the management, the Company has not obtained any term loans. Accordingly, clause 3(ix)(c) of the Order is not applicable.

(d) According to the information and explanations given to us and on an overall examination of the standalone financial statements of the Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Company.

(e) According to the information and explanations given to us and on an overall examination of the standalone financial statements of the Company, we report that the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates or joint ventures as defined under the Act.

(f) According to the information and explanations given to us and procedures performed by us, we report that the Company has not raised loans during the year on the pledge of securities held in its subsidiaries, joint ventures or associate companies (as defined under the Act).

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Imagine Marketing Limited for the year ended 31 March 2026 *(Continued)*

(x) (a) The Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments). Accordingly, clause 3(x)(a) of the Order is not applicable.

(b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year. Accordingly, clause 3(x)(b) of the Order is not applicable.

(xi) (a) During the course of our examination of the books and records of the Company and according to the information and explanations given to us, no fraud by the Company or on the Company has been noticed or reported during the year.

(b) According to the information and explanations given to us, no report under sub-section (12) of Section 143 of the Act has been filed by the auditors in Form ADT-4 as prescribed under Rule 13 of the Companies (Audit and Auditors) Rules, 2014 with the Central Government.

(c) As represented to us by the management, there are no whistle blower complaints received by the Company during the year.

(xii) According to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, clause 3(xii) of the Order is not applicable.

(xiii) In our opinion and according to the information and explanations given to us, the transactions with related parties are in compliance with Section 177 and 188 of the Act, where applicable, and the details of the related party transactions have been disclosed in the standalone financial statements as required by the applicable accounting standards.

(xiv) (a) Based on information and explanations provided to us and our audit procedures, in our opinion, the Company has an internal audit system commensurate with the size and nature of its business.

(b) We have considered the internal audit reports of the Company issued till date for the period under audit.

(xv) In our opinion and according to the information and explanations given to us, the Company has not entered into any non-cash transactions with its directors or persons connected to its directors and hence, provisions of Section 192 of the Act are not applicable to the Company.

(xvi) (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(a) of the Order is not applicable.

(b) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(b) of the Order is not applicable.

(c) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, clause 3(xvi)(c) of the Order is not applicable.

(d) The Company is not part of any group (as defined in the regulations made by the Reserve Bank of India). Accordingly, the requirements of clause 3(xvi)(d) are not applicable.

(xvii) The Company has not incurred cash losses in the current financial year as well as in immediately preceding financial year.

(xviii) There has been no resignation of the statutory auditors during the year. Accordingly, clause 3(xviii) of the Order is not applicable.

(xix) According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that the Company is not capable of meeting its liabilities existing at the date of balance sheet as and

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Imagine Marketing Limited for the year ended 31 March 2026 *(Continued)*

when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

(xx) The requirements as stipulated by the provisions of Section 135 are not applicable to the Company. Accordingly, clauses 3(xx)(a) and 3(xx)(b) of the Order are not applicable.

For **B S R & Co. LLP**

Chartered Accountants

Firm's Registration No.:101248W/W-100022

Amar Sunder

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Amar Sunder

Partner

Membership No.: 078305

ICAI UDIN:26078305BJYBYJ7108

Place: Mumbai

Date: 05 June 2026

Annexure B to the Independent Auditor's Report on the standalone financial statements of Imagine Marketing Limited for the year ended 31 March 2026

Report on the internal financial controls with reference to the aforesaid standalone financial statements under Clause (i) of Sub-section 3 of Section 143 of the Act

(Referred to in paragraph 2(A)(g) under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

Opinion

We have audited the internal financial controls with reference to financial statements of Imagine Marketing Limited ("the Company") as of 31 March 2026 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

In our opinion, the Company has, in all material respects, adequate internal financial controls with reference to financial statements and such internal financial controls were operating effectively as at 31 March 2026, based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the "Guidance Note").

Management's and Board of Directors' Responsibilities for Internal Financial Controls

The Company's Management and the Board of Directors are responsible for establishing and maintaining internal financial controls based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing, prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements were established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to financial statements.

Meaning of Internal Financial Controls with Reference to Financial Statements

A company's internal financial controls with reference to financial statements is a process designed to

Annexure B to the Independent Auditor's Report on the standalone financial statements of Imagine Marketing Limited for the year ended 31 March 2026 *(Continued)*

provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements include those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with Reference to Financial Statements

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

For **B S R & Co. LLP**

Chartered Accountants

Firm's Registration No.:101248W/W-100022

Amar Sunder

Digitally signed by Amar Sunder
Date: 2026.06.05 21:09:35 +05'30'

Amar Sunder

Partner

Membership No.: 078305

ICAI UDIN:26078305BJYBYJ7108

Place: Mumbai

Date: 05 June 2026

Imagine Marketing Limited

Standalone Balance Sheet

As at 31 March 2026

(All amounts are in ₹ million, unless otherwise stated)

Particulars	*Notes*	As at 31 March 2026	As at 31 March 2025
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	*3*	130.91	184.56
Right-of-use assets	*4*	184.20	178.80
Intangible assets	*5(A)*	266.21	317.47
Intangible assets under development	*5(B)*	4.00	22.43
Financial assets			
Investments	*6*	3,711.56	3,711.56
Other financial assets	*8*	225.56	38.36
Deferred tax assets (net)	*9*	291.21	359.72
Income tax assets (net)	*9*	122.26	123.27
TOTAL NON-CURRENT ASSETS		**4,935.91**	**4,936.17**
CURRENT ASSETS			
Inventories	*10*	2,923.61	3,239.39
Financial assets			
Investments	*7*	1,026.96	831.95
Trade receivables	*11*	2,547.99	2,540.02
Cash and cash equivalents	*12*	601.04	781.13
Bank balances other than cash and cash equivalents	*13*	1,941.21	1,990.00
Loans	*14*	0.07	0.54
Other financial assets	*8*	217.93	134.28
Other current assets	*15*	1,763.13	2,145.95
TOTAL CURRENT ASSETS		**11,021.94**	**11,663.26**
TOTAL ASSETS		**15,957.85**	**16,599.43**
EQUITY AND LIABILITIES			
EQUITY			
Equity share capital	*16*	96.15	96.15
Instruments entirely equity in nature	*16*	108.71	108.71
Other equity	*17*	6,164.83	5,186.77
TOTAL EQUITY		**6,369.69**	**5,391.63**
LIABILITIES			
NON-CURRENT LIABILITIES			
Financial liabilities			
Lease liabilities	*19*	118.05	113.75
Provisions	*20*	33.78	23.03
TOTAL NON-CURRENT LIABILITIES		**151.83**	**136.78**
CURRENT LIABILITIES			
Financial liabilities			
Borrowings	*18*	5,046.47	5,950.62
Lease liabilities	*19*	81.70	77.24
Trade payables			
Total outstanding dues of micro enterprises and small enterprises	*21*	341.87	276.72
Total outstanding dues of creditors other than micro enterprises and small enterprises	*21*	2,788.48	3,394.75
Other financial liabilities	*22*	160.87	117.93
Other current liabilities	*23*	150.63	145.65
Provisions	*20*	866.31	1,108.11
TOTAL CURRENT LIABILITIES		**9,436.33**	**11,071.02**
TOTAL LIABILITIES		**9,588.16**	**11,207.80**
TOTAL EQUITY AND LIABILITIES		**15,957.85**	**16,599.43**
Basis of preparation, measurement and material accounting policies	*2*		

The accompanying notes 3 to 48 are an integral part of these Standalone Financial Statements.

As per our report of even date attached

For **B S R & Co. LLP**

Chartered Accountants
Firm Registration No. 101248W/W-100022

Amar Sunder — Digitally signed by Amar Sunder Date: 2026.06.05 21:10:11 +05'30'

Amar Sunder
Partner
Membership No: 078305
Place : Mumbai
Date : 05 June 2026

For and on behalf of the Board of Directors of
Imagine Marketing Limited

CIN: U52300MH2013PLC249758

Sameer Ashok Mehta — Digitally signed by Sameer Ashok Mehta Date: 2026.06.05 19:19:42 +05'30'

Sameer Mehta
Executive Director
DIN: 02945481
Place : Mumbai
Date : 05 June 2026

Aman Gupta — Digitally signed by Aman Gupta Date: 2026.06.05 20:33:10 +05'30'

Aman Gupta
Non Executive Director
DIN: 02249682
Place : Gurgaon
Date : 05 June 2026

GAURAV NAYYAR — Digitally signed by GAURAV NAYYAR Date: 2026.06.05 19:23:22 +05'30'

Gaurav Nayyar
Chief Executive Officer

Place : Gurgaon
Date : 05 June 2026

Rakesh Thakur — Digitally signed by Rakesh Thakur Date: 2026.06.05 19:25:37 +05'30'

Rakesh Thakur
Group Chief Financial Officer

Place : Mumbai
Date : 05 June 2026

SHREEKANT JAYRAM SAWANT — Digitally signed by SHREEKANT JAYRAM SAWANT Date: 2026.06.05 19:27:56 +05'30'

Shreekant Sawant
Company Secretary and Compliance Officer

(A-30705)
Place : Mumbai
Date : 05 June 2026

Imagine Marketing Limited

Standalone Statement of Profit and Loss

For the year ended 31 March 2026

(All amounts are in ₹ million, unless otherwise stated)

Particulars	Notes	Year ended 31 March 2026	Year ended 31 March 2025
INCOME			
Revenue from operations	*24*	29,280.81	30,628.30
Other income	*25*	402.37	268.13
TOTAL INCOME		**29,683.18**	**30,896.43**
EXPENSES			
Purchases of stock-in-trade	*26*	20,475.41	20,572.32
Changes in inventories of stock-in-trade	*27*	315.78	1,053.84
Employee benefits expense	*28*	1,300.41	1,115.67
Finance costs	*29*	77.91	201.51
Depreciation and amortisation expense	*30*	258.45	252.61
Other expenses	*31*	6,015.95	6,866.78
TOTAL EXPENSES		**28,443.91**	**30,062.73**
Profit before tax		**1,239.27**	**833.70**
Tax expense			
Current tax	*9*	248.49	-
Deferred tax expense	*9*	69.32	191.49
Total tax expense		**317.81**	**191.49**
PROFIT FOR THE YEAR (A)		**921.46**	**642.21**
OTHER COMPREHENSIVE INCOME/(LOSS)			
Items that will not be reclassified subsequently to profit or loss			
Remeasurements of the net defined benefit plans	*39*	(3.28)	(0.37)
Less: Income tax relating to these items that will not be reclassified to profit or loss		0.83	0.09
OTHER COMPREHENSIVE INCOME/(LOSS) FOR THE YEAR, NET OF TAX (B)		**(2.45)**	**(0.28)**
TOTAL COMPREHENSIVE INCOME FOR THE YEAR (A+B)		**919.01**	**641.93**
Earnings per equity share (face value of ₹ 1 each)			
Basic (₹)	*32*	6.14	4.28
Diluted (₹)	*32*	6.12	4.26
Basis of preparation, measurement and material accounting policies	*2*		

The accompanying notes 3 to 48 are an integral part of these Standalone Financial Statements.

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants

Firm Registration No. 101248W/W-100022

Amar Sunder
Digitally signed by Amar Sunder
Date: 2026.06.05 21:10:51 +05'30'

Amar Sunder
Partner
Membership No: 078305
Place : Mumbai
Date : 05 June 2026

For and on behalf of the Board of Directors of
Imagine Marketing Limited

CIN: U52300MH2013PLC249758

Sameer Ashok Mehta
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Date: 2026.06.05 19:20:11 +05'30'

Sameer Mehta
Executive Director
DIN: 02945481
Place : Mumbai
Date : 05 June 2026

Aman Gupta
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Date: 2026.06.05 20:33:53 +05'30'

Aman Gupta
Non Executive Director
DIN: 02249682
Place : Gurgaon
Date : 05 June 2026

GAURAV NAYYAR
Digitally signed by GAURAV NAYYAR
Date: 2026.06.05 19:23:46 +05'30'

Gaurav Nayyar
Chief Executive Officer

Place : Gurgaon
Date : 05 June 2026

Rakesh Thakur
Digitally signed by Rakesh Thakur
Date: 2026.06.05 19:26:04 +05'30'

Rakesh Thakur
Group Chief Financial Officer
Place : Mumbai
Date : 05 June 2026

SHREEKANT JAYRAM SAWANT
Digitally signed by SHREEKANT JAYRAM SAWANT
Date: 2026.06.05 19:28:26 +05'30'

Shreekant Sawant
Company Secretary and Compliance Officer
(A-30705)
Place : Mumbai
Date : 05 June 2026

Imagine Marketing Limited

Statement of Changes in Equity for the year ended 31 March 2026

(All amounts are in ₹ million, unless otherwise stated)

A. EQUITY SHARE CAPITAL

Particulars	Number of Shares	Amount
ISSUED, SUBSCRIBED AND PAID UP CAPITAL		
Equity Shares of ₹ 1/- each fully paid up		
Balance at 01 April 2024	**9,61,46,300**	**96.15**
Changes in equity share capital during the year	-	-
Balance at 31 March 2025	**9,61,46,300**	**96.15**
Changes in equity share capital during the year	-	-
Balance at 31 March 2026	**9,61,46,300**	**96.15**

B. INSTRUMENTS ENTIRELY EQUITY IN NATURE (Refer note 16)

Particulars	Series A CCPS *		Series B CCPS **	
	Number of Shares	Amount	Number of Shares	Amount
ISSUED, SUBSCRIBED AND PAID UP CAPITAL				
Balance at 01 April 2024	**5,10,000**	**5.10**	**17,269**	**103.61**
Changes in preference share capital during the year	-	-	-	-
Balance at 31 March 2025	**5,10,000**	**5.10**	**17,269**	**103.61**
Changes in preference share capital during the year	-	-	-	-
Balance at 31 March 2026	**5,10,000**	**5.10**	**17,269**	**103.61**

* Series A CCPS represents 0.01% Non-cumulative compulsorily convertible preference shares of ₹ 10 each, fully paid up

** Series B CCPS represents 0.01% Cumulative compulsorily convertible preference shares of ₹ 6,000 each, fully paid up

C. OTHER EQUITY

Particulars	Reserves and Surplus				Total Other Equity
	Securities Premium	General reserve	Share Options Outstanding Account	Retained earnings	
Balance at 01 April 2024	**3,717.34**	**11.25**	**307.55**	**474.47**	**4,510.61**
Profit for the year	-	-	-	642.21	642.21
Other comprehensive loss for the year	-	-	-	(0.28)	(0.28)
Total comprehensive income for the year	**-**	**-**	**-**	**641.93**	**641.93**
Share-based payments to employees	-	-	86.04	-	86.04
Share issue expenses	(51.81)	-	-	-	(51.81)
Balance at 31 March 2025	**3,665.53**	**11.25**	**393.59**	**1,116.40**	**5,186.77**
Profit for the year	-	-	-	921.46	921.46
Other comprehensive loss for the year	-	-	-	(2.45)	(2.45)
Total comprehensive income for the year	**-**	**-**	**-**	**919.01**	**919.01**
Share-based payments to employees	-	-	103.58	-	103.58
Share issue expenses	(44.53)	-	-	-	(44.53)
Balance at 31 March 2026	**3,621.00**	**11.25**	**497.17**	**2,035.41**	**6,164.83**

Basis of preparation, measurement and material accounting policies (refer note 2)

Refer note 17B for nature and purpose of reserves.

The accompanying notes 3 to 48 are an integral part of these Standalone Financial Statements.

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm Registration No. 101248W/W-100022

Amar Sunder
Digitally signed by Amar Sunder
Date: 2026.06.05 21:11:28 +05'30'

Amar Sunder
Partner
Membership No: 078305
Place : Mumbai
Date : 05 June 2026

For and on behalf of the Board of Directors of
Imagine Marketing Limited
CIN: U52300MH2013PLC249758

Sameer Ashok Mehta
Digitally signed by Sameer Ashok Mehta
Date: 2026.06.05 19:20:29 +05'30'

Sameer Mehta
Executive Director
DIN: 02945481
Place : Mumbai
Date : 05 June 2026

Aman Gupta
Digitally signed by Aman Gupta
Date: 2026.06.05 20:34:54 +05'30'

Aman Gupta
Non Executive Director
DIN: 02249682
Place : Gurgaon
Date : 05 June 2026

GAURAV NAYYAR
Digitally signed by GAURAV NAYYAR
Date: 2026.06.05 19:24:03 +05'30'

Gaurav Nayyar
Chief Executive Officer

Place : Gurgaon
Date : 05 June 2026

Rakesh Thakur
Digitally signed by Rakesh Thakur
Date: 2026.06.05 19:26:24 +05'30'

Rakesh Thakur
Group Chief Financial Officer

Place : Mumbai
Date : 05 June 2026

SHREEKANT JAYRAM SAWANT
Digitally signed by SHREEKANT JAYRAM SAWANT
Date: 2026.06.05 19:28:49 +05'30'

Shreekant Sawant
Company Secretary and Compliance Officer
(A-30705)
Place : Mumbai
Date : 05 June 2026

Imagine Marketing Limited

Standalone Statement of Cash Flows

For the year ended 31 March 2026

(All amounts are in ₹ million, unless otherwise stated)

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit before tax	1,239.27	833.70
Adjustments for:		
Depreciation and amortisation expense	258.45	252.61
Share based payment expense	103.58	86.04
Interest on fixed deposits from banks	(156.20)	(168.24)
Interest income from others	(2.59)	(2.59)
Interest on security deposits	(2.88)	(2.61)
Dividend income	(100.00)	(30.00)
Fair valuation gain from investments designated at FVTPL (net)	(29.11)	(23.82)
Bad debts written off	24.98	26.74
Fair value loss on account of changes in financial liabilities (net)	-	6.52
Loss/(gain) on derecognition of leases	0.69	(0.16)
Finance cost	77.91	201.51
Provision for loss allowance for trade receivables	22.68	18.53
Provision for doubtful advances	56.21	145.59
Provision/(Reversal) for slow and non moving inventory (net)	33.24	(589.32)
Loss on sale/disposal of tangible and intangible assets (net)	-	0.19
Unrealised foreign exchange (gain) / loss (net)	32.01	13.88
Fair value loss on derivative contracts(net)	-	14.51
Provision for loss allowance for Investments and Loan	-	47.10
Operating profit before working capital changes	**1,558.24**	**830.18**
Adjustments for :		
Decrease in inventories	282.54	1,643.16
(Increase) in trade receivables	(44.68)	(1,088.23)
Decrease/(Increase) in loans	0.47	(0.50)
(Increase)/Decrease in other financial assets	(130.29)	0.27
(Increase)/Decrease in other current assets	326.61	1,350.19
(Decrease)/Increase in trade payables	(626.38)	1,329.03
Increase in other financial liabilities	42.94	36.08
Increase in other current liabilities	4.98	47.87
(Decrease) in current and non-current provisions	(239.19)	(2.15)
Cash generated from operations	**1,175.24**	**4,145.90**
Taxes paid (net of refunds)	(249.12)	98.31
Net Cash flows generated from operating activities (A)	**926.12**	**4,244.21**
CASH FLOWS FROM INVESTING ACTIVITIES		
Dividend received from joint venture	100.00	30.00
Investment made in equity shares of subsidiaries and joint venture	-	(475.42)
Purchase of Mutual Funds (net)	(165.90)	(808.13)
Purchase of Property, Plant and Equipment including CWIP and capital advances (net)	(19.89)	(47.70)
Proceeds from sale of Property, plant & equipments	-	0.11
Purchase of intangible assets including expenditure on internally generated intangible assets	(28.51)	(22.43)
Investments in fixed deposits	(616.21)	(4,995.00)
Redemption of fixed deposits	610.00	5,075.00
Interest on fixed deposits and others	165.12	174.48
Net cash flow generated from/ (used in) investing activities (B)	**44.61**	**(1,069.09)**
CASH FLOWS FROM FINANCING ACTIVITIES		
Share issue expense (net)	(100.10)	-
Repayment of short-term borrowings (net)	(900.73)	(2,657.77)
Principal repayment of lease liabilities	(79.27)	(73.34)
Interest repayment of lease liabilities	(18.58)	(20.96)
Interest and other borrowing costs paid	(52.14)	(174.56)
Net cash flows generated used in financing activities (C)	**(1,150.82)**	**(2,926.63)**
Net (decrease)/increase in cash and cash equivalents (A+B+C)	**(180.09)**	**248.49**
Cash and cash equivalents at the beginning of the year	**781.13**	**532.64**
Cash and cash equivalents at the end of the year (refer note below)	**601.04**	**781.13**

Imagine Marketing Limited

Standalone Statement of Cash Flows

For the year ended 31 March 2026

(All amounts are in ₹ million, unless otherwise stated)

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Components of cash and cash equivalents:		
Cash on hand	0.17	0.35
Balance with banks		
In current accounts	600.87	640.78
In deposits with original maturity of less than 3 months	-	140.00
Total cash and cash equivalents (refer note 12)	**601.04**	**781.13**

The above Standalone Statement of Cash Flows from operating activities has been prepared under the 'Indirect Method' as set out in Ind AS 7, 'Statement of Cash Flows'.

Reconciliation between opening and closing balance sheet for liabilities arising from financing activities:

Particulars	Opening balance 1 April 2025	Cash flows	Non- cash movement *	Closing balance 31 March 2026
Proceeds from issue of preference shares classified as financial liability	5,046.47	-	-	5,046.47
Loan repayable on demand	900.73	(900.73)	-	-
Interest on borrowings	3.41	(52.14)	48.73	-
Proceeds from issue of equity capital including premium	106.41	-	-	106.41
Leases	190.99	(97.85)	106.61	199.75
Total liabilities from financing activities	**6,248.01**	**(1,050.72)**	**155.34**	**5,352.63**

Reconciliation between opening and closing balance sheet for liabilities arising from financing activities:

Particulars	Opening balance 1 April 2024	Cash flows	Non- cash movement *	Closing balance 31 March 2025
Proceeds from issue of preference shares classified as financial liability	5,039.95	-	6.52	5,046.47
Loan repayable on demand	3,556.68	(2,657.77)	1.82	900.73
Interest on borrowings	5.23	(174.56)	172.74	3.41
Proceeds from issue of equity capital including premium	106.41	-	-	106.41
Leases	265.89	(94.30)	19.40	190.99
Total liabilities from financing activities	**8,974.16**	**(2,926.63)**	**200.48**	**6,248.01**

*Non-cash movement represents:
- With respect to leases, accrual of interest on lease liabilities.
- With respect to preference shares, fair value loss on account of fair valuation of financial liability.
- With respect to interest on borrowings, non cash movement is on account of charge in the current year to the Standalone Statement of Profit and Loss.

The accompanying notes 3 to 48 are an integral part of these Standalone Financial Statements.

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants

Firm Registration No. 101248W/W-100022

Amar Sunder
Digitally signed by Amar Sunder
Date: 2026.06.05 21:12:07 +05'30'

Amar Sunder
Partner
Membership No: 078305
Place : Mumbai
Date : 05 June 2026

For and on behalf of the Board of Directors of
Imagine Marketing Limited

CIN: U52300MH2013PLC249758

Sameer Ashok Mehta
Digitally signed by Sameer Ashok Mehta
Date: 2026.06.05 19:20:50 +05'30'

Sameer Mehta
Executive Director
DIN: 02945481
Place : Mumbai
Date : 05 June 2026

Aman Gupta
Digitally signed by Aman Gupta
Date: 2026.06.05 20:35:28 +05'30'

Aman Gupta
Non Executive Director
DIN: 02249682
Place : Gurgaon
Date : 05 June 2026

GAURAV NAYYAR
Digitally signed by GAURAV NAYYAR
Date: 2026.06.05 19:24:19 +05'30'

Gaurav Nayyar
Chief Executive Officer
Place : Gurgaon
Date : 05 June 2026

Rakesh Thakur
Digitally signed by Rakesh Thakur
Date: 2026.06.05 19:26:45 +05'30'

Rakesh Thakur
Group Chief Financial Officer
Place : Mumbai
Date : 05 June 2026

SHREEKANT JAYRAM SAWANT
Digitally signed by SHREEKANT JAYRAM SAWANT
Date: 2026.06.05 19:29:18 +05'30'

Shreekant Sawant
Company Secretary and Compliance Officer
(A-30705)
Place : Mumbai
Date : 05 June 2026

Imagine Marketing Limited

Notes to the Standalone Financial Statements for the year ended 31 March 2026

(All amounts are in ₹ million, unless otherwise stated)

1. Company Information

Imagine Marketing Limited ("Company") was incorporated on 1 November 2013 under the erstwhile Companies Act, 1956. The registered office of the Company is in Mumbai, Maharashtra, India. The principal place of business of the Company is in India. The Company is engaged in the business of trading of digital-first consumer technology products such as headphones, earphones, speakers, wearables and related accessories.

2. Material accounting policies

2.1 Basis of preparation and measurement

A. Statement of Compliance and basis of preparation

The Standalone Financial Statements of the Company comprise of Standalone Balance Sheet as at 31 March 2026, Standalone Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows for the year ended 31 March 2026 (hereinafter collectively referred to as "Standalone Financial Statements").

These Standalone Financial Statements have been prepared on a going concern basis. These Standalone financial statements have been prepared on historical cost basis except for certain financial instruments, share based payments and defined benefit plans which are measured a fair value or amortised cost at the end of each reporting period as explained in accounting policies. Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

These Standalone Financial Statements have been prepared in accordance with Indian Accounting Standards ("Ind AS") as per the Companies (Indian Accounting Standards) Rules, 2015 notified under section 133 of Companies Act, 2013 (the 'Act') read with the Companies (Indian Accounting Standards) Rule, 2015 and other relevant provisions of the Act, as amended from time to time and the presentation requirements of Division II of Schedule III of Companies Act, 2013 (Ind AS compliant Schedule III), as applicable.

These Standalone Financial Statements were approved for issue by the Board of Directors of the Company in their meeting held on 05 June 2026.

The accounting policies set out below have been applied consistently to the years presented in the Standalone Financial Statements.

B. Basis of measurement

The Standalone Financial Statements have been prepared on a historical cost convention, except for the following measured at fair value:

(i) Employee's defined benefit plan at present value of defined benefit obligation (unfunded) determined as per actuarial valuation;

(ii) Certain financial assets and liabilities that are qualified to be measured at fair value; and

(iii) Share based payments at fair value of the options on the date of the grant.

C. Functional currency and presentation

The Standalone Financial Statements has been presented in Indian Rupees (₹), which is also the Company's functional currency. All amounts have been rounded off to the nearest millions and decimals thereof, unless otherwise mentioned.

D. Use of judgements, assumptions and estimates

The preparation of Standalone Financial Statements in conformity with Ind AS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, the disclosure of contingent liabilities as on the date of balance sheet and the reported amount of income and expenses for the reporting period. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. They are based on historical experience and other factors that are believed to be reasonable under the circumstance. Revisions to accounting estimates are recognised in the year in which the estimates are revised and future periods are affected.

Estimation uncertainties:

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the amounts recognised in the Standalone Financial Statements is included in the following notes:

- Note 2.2 (e) - Impairment test of non-financial assets and financials assets
- Note 2.2 (j) - Measurement of defined benefit obligations: key actuarial assumptions and employee share-based payments
- Note 2.2 (n) - Recognition of deferred tax assets: availability of future taxable profit against which tax losses carried forward can be used
- Note 2.2 (o) - Recognition and measurement of provisions and contingencies: key assumptions about the likelihood and magnitude of an outflow of resources including provisions for sales return and discounts
- Note 2.2 (f) and 2.2 (p) - Provision for obsolete inventory and provision for warranties
- Note 2.2 (d) - Useful life of intangible assets
- Note 2.2 (c) - Useful life of property plant and equipment
- Note 2.2 (g) - Fair valuation of financial liabilities
- Note 2.2 (e) - Measurement of ECL allowance for trade receivables, loans and contract assets: key assumptions in determining the weighted-average loss rate

Judgements

- Note 2.2 (m) - Determining whether the arrangement contains a lease

E. Current and non-current classification

The Company presents assets and liabilities in the balance sheet based on current/ non-current classification.

An asset is treated as current when it is:

- Expected to be realized or intended to be sold or consumed in normal operating cycle,
- Held primarily for the purpose of trading,
- Expected to be realised within twelve months after the reporting period, or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as non-current.

A liability is treated as current when:

- It is expected to be settled in normal operating cycle,
- It is held primarily for the purpose of trading,
- It is due to be settled within twelve months after the reporting period, or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

All other liabilities are classified as non-current.

Deferred tax assets and liabilities are classified as non-current assets and non-current liabilities.

The operating cycle is the time between the acquisition of assets/inputs for processing and their realisation in cash and cash equivalents. The Company has identified twelve months as its operating cycle.

F. Fair value measurement

Certain accounting policies and disclosures of the Company require the measurement of fair values, for both financial and non-financial assets and liabilities.

The Company has an established control framework with respect to the measurement of fair values. The valuation team regularly reviews significant unobservable inputs and valuation adjustments.

Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs)

When measuring the fair value of an asset or a liability, the Company uses observable market data as far as possible. If the inputs used to measure the fair value of an asset or a liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

2.2 Summary of material accounting policies

(a) Revenue Recognition

Revenue from sale of goods is recognised when goods are delivered and have been accepted by our customers and it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duties collected on behalf of the government.

The specific recognition criteria described below must also be met before revenue is recognized.

Sale of products

The Company recognises revenue at a point in time when the performance obligation is satisfied and the goods underlying the particular performance obligation are transferred to the customer. Customers obtain control of the goods when the goods are delivered at the agreed point of delivery which generally is the premises of the customer.

Further, revenue from sale of goods is recognised based on a 5-Step Methodology in accordance with IND AS 115:

Step 1: Identify the contract(s) with a customer

Step 2: Identify the performance obligation in contract

Step 3: Determine the transaction price

Step 4: Allocate the transaction price to the performance obligations in the contract

Step 5: Recognise revenue when (or as) the entity satisfies a performance obligation

Revenue towards satisfaction of performance obligation is measured at the amount of transaction price (net of variable consideration) allocated to that performance obligation. The transaction price of goods sold is net of variable consideration on account of various discounts and schemes offered by the Company as part of the contract. Accumulated expenses is used to estimate the provision for discounts.

Contracts are subject to modification to account for changes in contract specification and requirements. The Company reviews modification to contract in conjunction with the original contract, to determine whether the transaction price should be allocated to a new performance obligation, or if the transaction price of an existing obligation should be changed. In the event transaction price is revised for existing obligation, a cumulative adjustment is accounted for.

Other Operating Revenue

MEIS (Merchandise Exports from India Scheme) Income: The Company records MEIS income as and when the scrips are utilised. The Company follows point in time approach for recording of MEIS income.

Variable consideration

If the consideration in a contract includes a variable amount, the Company estimates the amount of consideration to which it will be entitled in exchange for transferring the goods to the customer. The variable consideration is estimated at contract inception and constrained until it is highly probable that a significant revenue reversal in the amount of cumulative revenue recognised will not occur when the associated uncertainty with the variable consideration is subsequently resolved.

Right of return

The Company provides a customer with a right to return in case of any defects or on grounds of quality. The Company uses the expected value method to estimate the goods that will be returned. For goods that are expected to be returned, instead of revenue, the Company recognizes a refund liability. A right to receive inventory on provision for sales return and corresponding adjustment to change in inventory is also recognized for the right to recover products from a customer.

Contract balances

Contract assets: The Company classifies its right to consideration in exchange for deliverables as either a receivable or as unbilled revenue. A receivable is a right to consideration that is unconditional upon the passage of time. Revenues in excess of billings is recorded as unbilled revenue and is classified as a financial asset where the right to consideration is unconditional upon passage of time. Trade receivables is presented net of impairment.

Contract liabilities: A contract liability (which we referred to as Unearned Revenue) is the obligation to transfer goods or services to a customer for which the Company has received consideration (or an amount of consideration is due to the customer) from the customer. If a customer pays consideration before the Company transfers goods or services to the customer, a contract liability is recognised when the payment is received.

Trade receivables: A receivable is recognised if an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due). Refer to accounting policies of financial assets for guidance on recognition and measurement.

(b) Recognition of dividend income, interest income or expense

Interest income or expense is recognised using the effective interest method.

The 'effective interest rate' is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- the gross carrying amount of the financial asset; or
- the amortised cost of the financial liability.

In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit-impaired) or to the amortised cost of the liability. However, for financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the amortised cost of the financial asset. If the asset is no longer credit-impaired, then the calculation of interest income reverts to the gross basis.

Dividend income is recognised in the Standalone statement of profit and loss on the date on which the Company's right to receive payment is established.

(c) Property, Plant and Equipment

Recognition and measurement

The cost of an item of property, plant and equipment is recognised as an asset if, and only if, it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably and is measured at cost. Subsequent to recognition, all items of property, plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses.

If the cost of an individual part of property, plant and equipment is significant relative to the total cost of the item, the individual part is accounted for and depreciated separately.

The cost of property, plant and equipment comprises its purchase price plus any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management and the initial estimate of decommissioning, restoration and similar liabilities, if any. Subsequent expenditure is capitalised only if it is probable that the future economic benefits associated with the expenditure will flow to the Company and the subsequent expenditure can be measured reliably.

Items such as spare parts, stand-by equipment and servicing that meets the definition of property, plant and equipment are capitalised at cost and depreciated over the useful life. Cost of repairs and maintenance are recognised in the Standalone statement of profit and loss as and when incurred.

Capital work in progress and Capital advances:

Assets under construction includes the cost of property, plant and equipment that are not ready to use at the balance sheet date. Advances paid to acquire property, plant and equipment before the balance sheet date are disclosed under other non-current assets. Assets under construction are not depreciated as these assets are not yet available for use.

Depreciation and useful lives

Depreciable amount for assets is the cost of asset less its estimated residual value. Depreciation on Property, Plant and Equipment is calculated on the depreciable amount using the straight line method (SLM) using the rates arrived at based on the useful lives estimated by the management as prescribed in Schedule II of the Companies Act, 2013 except for Plant and Equipment where the management has derived useful life based on the technical evaluation. Depreciation is generally recognized in the Standalone statement of profit and loss.

Block	Useful Life	Useful Life as per the Act
Plant and Equipment	5 years	15 years
Furniture and fixtures	10 years	10 years
Office equipment	5 years	5 years
Computers	3 years	3 years
Leasehold Improvement	Lower of useful life of the leasehold improvement or the lease term	

Depreciation on additions (disposals) is provided on a pro-rata basis i.e. from (upto) the date on which asset is ready for use (disposed of). An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

Based on the technical evaluation and consequent assessment, the management believes that its estimate of useful life as given above best represents the period over which the management expects to use these assets. Estimates in respect of method of depreciation were revised from written down value method to straight line method during the year ended March 31, 2023.

Derecognition

An item of property, plant and equipment and any significant part initially recognized is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the Standalone statement of profit and loss when the asset is derecognised.

(d) Intangible assets

Recognition and measurement

Intangible assets comprise primarily of brands and software. Intangible assets are initially recorded at cost and subsequent to recognition, intangible assets are stated at cost less accumulated amortisation and accumulated impairment losses. Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates, and the cost can be measured reliably. All other expenditure are recognised in the Standalone statement of profit and loss as incurred. On adoption of Ind AS, the Company retained the carrying value for all of its intangible assets as recognised in the Standalone financial statements as at the date of transition to Ind ASs, measured as per the previous GAAP and used that as its deemed cost as permitted by Ind AS 101 'First-time Adoption of Indian Accounting Standards'.

Intangible Assets Under Development

Development expenditure is capitalised as part of the cost of the resulting intangible asset only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable and the Company intends to and has sufficient resources to complete development and to use the asset. Otherwise, it is recognised in profit or loss as incurred. Subsequent to initial recognition, development expenditure is measured at cost less accumulated amortisation and any accumulated impairment losses.

Amortisation

Amortisation is calculated to write off the cost of intangible assets over their estimated useful lives using the straight line method, and is included in the Depreciation and Amortisation expense in the Standalone Statement of profit and loss. The useful lives of intangible assets that is considered for amortization of intangible assets are as follows:

Intangible Asset	Useful Life
Brands	10 years
Computer Software	3 to 5 years

The amortisation period and the amortisation method for an intangible asset with finite useful life is reviewed at the end of each financial year. If any of these expectations differ from previous estimates, such changes is accounted for as a change in an accounting estimate.

Derecognition

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in the Standalone statement of profit and loss when the asset is derecognised.

(e) Impairment

(i) Non-financial assets

Assessment for impairment is done at each Balance Sheet date as to whether there is any indication that a non-financial asset may be impaired. For the purpose of assessing impairment, the smallest identifiable group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows from other assets or group of assets is considered as a cash generating unit (CGU). If any indication of impairment exists, an estimate of the recoverable amount of the individual asset/cash generating unit is made. Asset/cash generating unit whose carrying value exceeds their recoverable amount are written down to the recoverable amount by recognising the impairment loss as an expense in the Standalone Statement of Profit and Loss.

Recoverable amount is higher of an assets or cash generating unit's value in use and its fair value less cost of disposal. Value in use is the estimated future cash flows expected to arise from the continuing use of an asset or cash generating unit and from its disposal at the end of its useful life discounted to their present value using a post-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, recent market transactions are considered. If no such transactions can be identified, an appropriate valuation model is used.

An impairment loss is reversed in the Standalone statement of profit and loss if there has been a change in the estimates used to determine the recoverable amount. The carrying amount of the asset is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of any accumulated amortization or depreciation) had no impairment loss been recognised for the asset in prior years.

(ii) Financial assets

The Company assesses on a forward-looking basis the expected credit losses associated with its assets carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk. The Company recognises loss allowances using the expected credit loss (ECL) model as per Ind AS 109 for the financial assets which are not fair valued through profit or loss. Loss allowance for trade receivables with no significant financing component is measured at an amount equal to lifetime ECL. For all other financial assets, expected credit losses are measured at an amount equal to the 12-month ECL, unless there has been a significant increase in credit risk from initial recognition in which case those are measured at lifetime ECL. The amount of expected credit losses (or reversal) that is required to adjust the loss allowance at the reporting date to the amount that is required to be recognised is recognised as an impairment gain or loss in profit or loss.

ECL is the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the entity expects to receive (i.e. all cash shortfalls), discounted at the original effective interest rate. Lifetime ECL are the expected credit losses resulting from all possible defaults events over the expected life of a financial asset. 12-month ECL are a portion of the lifetime ECL which result from default events that are possible within 12 months from the reporting date.

The Company considers a financial asset to be in default when:
- the counter party is unlikely to pay its credit obligations to the Company in full, without recourse by the Company to actions such as realising security (if any is held); or
- the financial asset in respect of trade receivables is 365 days or more past due and for trade receivables less than 365 days, the Company identifies on case-to-case basis whether there is a risk of default.

ECL are measured in a manner that they reflect unbiased, and probability weighted amounts determined by a range of outcomes, taking into account the time value of money and other reasonable information available as a result of past events, current conditions and forecasts of future economic conditions.

The gross carrying amount of a financial asset is written off when the Company has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. The Company expects no significant recovery from the amount written off during the year.

Credit-impaired financial assets

At each reporting date, the Company assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the debtor;
- a breach of contract such as a default or being more than 365 days past due;
- the restructuring of a loan or advance by the Company on terms that the Company would not consider otherwise;
- it is probable that the debtor will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

(f) Inventories

Inventories are valued at the lower of cost and net realisable value. Cost of inventories comprises purchase price, costs of conversion and other costs incurred in bringing the inventories to their present location and condition. In determining the cost, weighted average cost is used. Net realisable value is the estimated selling price in the ordinary course of business, less estimated costs to sell. The comparison of cost and net realisable value is made on an item-by-item basis.

Inventories are stated net of write down or allowances on account of obsolescence, damage or slow-moving items. The provision for inventory obsolescence is assessed periodically and is provided as considered necessary.

The Company imports the raw material and sells the same to the manufacturers in India. The cost of raw materials purchased and sold are netted off against the purchase of finished goods from the manufacturer since the cost of finished goods purchased from those manufacturers are inclusive of the cost of raw material transferred to them.

(g) Financial Instruments

Financial Assets

i) Recognition and initial measurement

All financial assets and liabilities are initially recognized when the Company becomes a party to contractual provisions of the instrument. A financial asset or liability is initially measured at fair value plus, for an item not at fair value through profit and loss (FVTPL), transaction cost that are directly attributable to its acquisition or issue. However trade receivables that do not contain significant financing component are recognised at transaction price. For regular way purchases of financial assets, the Company follows the trade date accounting method, whereby a financial asset is recognized on the trade date—the date on which the Company commits to purchase the asset.

ii) Classification and subsequent measurement

On initial recognition, a financial instrument is classified and measured at

- Amortised cost
- Fair value through other comprehensive income (FVOCI) - debt instruments;
- Fair value through other comprehensive income (FVOCI) - equity investments; or
- Fair value through profit and loss (FVTPL).

Financial assets are not reclassified subsequent to their initial recognition, except if and in the period the Company changes its business model for managing financial assets.

A financial asset is measured at amortised cost if it meets both the following conditions and is not designated as at FVTPL:

- The asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- The contractual terms of the financial assets give rise on a specified date to cash flows that are solely payments of principal and interest on the principal amounts outstanding.

A debt instrument is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

- The asset is held within a business model whose objective is achieved by both collect contractual cash flows and selling financial assets; and
- The contractual terms of the financial assets give rise on a specified date to cash flows that are solely payments of principal and interest on the principal amounts outstanding.

On initial recognition of an equity investment that is not held for trading, the Company may irrevocably elect to present subsequent changes in the investment's fair value in OCI (designated as FVOCI - equity investment). This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes mutual funds. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Subsequent measurement and gains and losses

Financial assets at FVTPL:

These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income are recognized in profit or loss.

Financial assets at amortised cost:

These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognized in profit or loss. Any gain or loss on derecognition is recognized in profit or loss.

Debt investments at FVTOCI:

These assets are subsequently measured at fair value. Interest income under effective interest method, foreign exchange gains and losses and impairment are recognized in profit or loss. Other net gains and losses are recognized in OCI. On derecognition, gains and losses accumulated in OCI are reclassified to profit or loss.

Equity investments at FVTOCI:

These assets are subsequently measured at fair value. Dividends are recognized as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognized in OCI and are not reclassified to profit or loss.

iii) Derecognition of financial assets

A financial asset is derecognized only when:

• The Company has transferred the rights to receive cash flows from financial asset or

• Retains the contractual rights to receive the cash flows from financial asset but assumed a contractual obligation to pay the cash flows to one or more recipients.

Where the Company has transferred an asset, the Company evaluates whether it has transferred substantially all risks and rewards of ownership of the financial asset. In such cases, the financial asset is derecognized. Where the entity has not transferred substantially all risks and rewards of ownership of the financial asset, the financial asset is not derecognized. Where the Company has neither transferred a financial asset nor retains substantially all risks and rewards of ownership of the financial asset, the financial asset is derecognized if the Company has not retained control of the financial asset. Where the Company retains control of the financial asset, the asset is continued to be recognized to the extent of continuing involvement in the financial asset. For regular way sales of financial assets, the Company applies trade date accounting, whereby the asset is derecognized on the trade date, i.e., the date on which the Company commits to sell the asset.

Investment in Subsidiaries, Associate(s) and Joint Venture

"The investments in subsidiaries, associate(s) and joint ventures are carried in the Standalone financial statements at historical cost except when the investment, or a portion thereof, is classified as held for sale, in which case measured at lower of carrying amount and fair value less costs to sell. When the Company is committed to a sale plan involving disposal of an investment, or a portion of an investment, in any subsidiary or joint venture or the portion of the investment that will be disposed of is classified as Held for sale when the criteria described above are met. Any retained portion of an investment in a subsidiary or a joint venture that has not been classified as held for sale continues to be accounted for at historical cost. Investments in subsidiaries and joint ventures carried at cost are tested for impairment in accordance with Ind AS 36 Impairment of Assets. The carrying amount of the investment is tested for impairment as a single asset by comparing its recoverable amount with its carrying amount, any impairment loss recognised reduces the carrying amount of the investment.

Financial liability

i) Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at fair value through profit or loss or amortised cost. All financial liabilities are recognized initially at fair value and, in case of loans and borrowings and payables, net of directly attributable transaction costs.

ii) Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category also includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by Ind AS 109.

Separate embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments. Gains or losses on liabilities held for trading are recognized in the profit or loss.

Financial liabilities designated upon initial recognition at fair value through profit or loss are designated as such at the initial date of recognition, and only if the criteria in Ind AS 109 are satisfied. For liabilities designated as FVTPL, fair value gains/ losses attributable to changes in own credit risk are recognized in OCI. These gains/ losses are not subsequently transferred to Standalone statement of profit and loss. However, the Company may transfer the cumulative gain or loss within equity. All other changes in fair value of such liability are recognized in the Standalone statement of profit or loss. The Company has not designated any financial liability as at fair value through profit or loss other than series C CCPS which is classified as financial liability designated as FVTPL (Refer note 18).

Amortised cost

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the Effective Interest Rate ("EIR") method. Gains and losses are recognized in profit or loss when the liabilities are derecognized as well as through the EIR amortization process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included as finance costs in the Standalone statement of profit and loss."

Derecognition

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the Standalone statement of profit or loss.

Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the balance sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

(h) Cash and cash equivalents

(i) Cash and cash equivalent includes cash on hand, other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, and bank overdrafts.

(ii) Statement of Cash Flows

Cash flows are reported using the indirect method, whereby net profit before taxes for the period is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, investing and financing activities of the Company are segregated. Bank overdrafts and cash credits which are repayable on demand form an integral part of Company's cash management and are included as a component of cash and cash equivalents.

(i) Foreign Currency transactions and translations

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign currency denominated monetary assets and liabilities are translated into relevant functional currency at exchange rates in effect at the balance sheet date. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates are generally recognized in Standalone statement of profit and loss. Non-monetary assets and non-monetary liabilities denominated in foreign currency and measured at fair value are translated at the exchange rate prevalent at the date when the fair value was determined. Non-monetary assets and non-monetary liabilities denominated in a foreign currency and measured at historical cost are translated at the exchange rate prevalent at the date of transaction. Translation differences on assets and liabilities carried at fair value are reported as part of the fair value gain or loss and are generally recognised in Standalone statement of profit and loss, except exchange differences arising from the translation of the following items which are recognised in OCI:

- equity investments at fair value through OCI (FVOCI)
- a financial liability designated as a hedge of the net investment in a foreign operation to the extent that the hedge is effective; and
- qualifying cash flow hedges to the extent that the hedges are effective.

(j) Employee Benefits

(i) Defined Contribution Plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. The Company makes specified contributions towards Government administered provident fund scheme, labour welfare fund and employees' state insurance scheme. Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in Standalone Statement of profit or loss in the periods during which the related services are rendered by employees.

(ii) Defined Benefit Plan

The Company's gratuity plan is a defined benefit plan. The Company's net obligation in respect of defined benefit plans is calculated separately for each plan by estimating the amount of future benefit that employees have earned in the current and prior periods, discounting that amount and deducting the fair value of any plan assets.

The present value of the obligation under such defined benefit plan is determined based on actuarial valuation by an independent actuary using the Projected Unit Credit Method, which recognises each period of service as giving rise to additional unit of employee benefit entitlement and measures each unit separately to build up the final obligation. The obligation is measured at the present value of the estimated future cash flows. The discount rates used for determining the present value of the obligation under defined benefit plan, are based on the market yields on Government securities as at the balance sheet date.

All remeasurement gains and losses arising from defined benefit plans are recognised in the Standalone statement of other comprehensive income in the period in which they occur and not reclassified to the Standalone statement of profit and loss in the subsequent period. The Company determines the net interest expense (income) on the net defined benefit liability (asset) for the period by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period to the then-net defined benefit liability (asset), taking into account any changes in the net defined benefit liability (asset) during the period as a result of contributions and benefit payments. Net interest expense related to defined benefit plans are recognised under "Finance costs" in the Standalone statement of profit and loss.

When the benefits of a plan are changed or when a plan is curtailed, the resulting change in benefit that relates to past service or the gain or loss on curtailment is recognised immediately in the Standalone statement of profit and loss. The Company recognises gains and losses on the settlement of a defined benefit plan when the settlement occurs in the Standalone statement of profit and loss.

(iii) Short-term employee benefits

All employee benefits falling due wholly within twelve months of rendering the services are classified as short-term employee benefits, which include benefits like salaries, wages and performance incentives and are recognised as expenses in the period in which the employee renders the related service.

Short term employee benefits are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid e.g. short term cash bonus, if the Company has a present legal or constructive obligation to pay this amount as a result of past services provided by the employee and the amount of obligation can be estimated reliably.

(iv) Other long-term employee benefits:

The Company's net obligation in respect of long-term employment benefits, other than gratuity, is the amount of future benefit that employees have earned in return for their service in the current and prior periods. The obligation is calculated at the balance sheet date on the basis of an actuarial valuation done by an independent actuary using the projected unit credit method and is discounted to its present value and the fair value of any related assets is deducted. Remeasurements gains or losses are recognised in the Standalone statement of profit and loss in the period in which they arise.

Compensated absences which are not expected to occur within twelve months after the end of the year in which the employee renders the related services are recognised as a liability at the present value of the defined benefit obligation at the balance sheet date. The discount rates used for determining the present value of the obligation under long term employment benefits, are based on the market yields on Government securities as at the balance sheet date.

(v) Equity settled share-based payments

Employees of the Company receive remuneration in the form of share-based payments, whereby employees render services as consideration for equity instruments. The cost of equity-settled transactions is determined by the fair value at the date when the grant is made using an appropriate valuation model.

That cost is recognised, together with a corresponding increase in share-based payment reserves in equity, over the period in which the performance and/or service conditions are fulfilled. The cumulative expense recognised for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Company's best estimate of the number of equity instruments that will ultimately vest.

When the terms of an equity-settled award are modified, the minimum expense recognised is the expense had the terms had not been modified, if the original terms of the award are met. An additional expense is recognised for any modification that increases the total fair value of the share-based payment transaction or is otherwise beneficial to the employee as measured at the date of modification. Where an award is cancelled by the entity or by the counterparty, any remaining element of the fair value of the award is expensed immediately through the Standalone Statement of Profit and Loss. The dilutive effect of outstanding options is reflected as additional share dilution in the computation of diluted earnings per share.

(k) Borrowing Costs

Borrowing costs include:

(i) interest expense calculated using the effective interest rate method;

(ii) finance charges in respect of leases;

(iii) interest expenses on bill discounting; and

(iv) exchange differences arising from foreign currency borrowings to the extent that they are regarded as an adjustment to interest costs.

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale.

Interest income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

All other borrowing costs are recognised in the Standalone statement of profit and loss in the period in which they are incurred.

(l) Share Issue Expenses

Incremental costs directly attributable to the issue of new equity shares are adjusted with securities premium, and those attributable to offer for sale are shown as recoverable from the selling shareholders.

(m) Leases

The Company assesses whether a contract is or contains a lease, at inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether:

(i) the contract involves the use of an identified asset

(ii) the Company has substantially all of the economic benefits from use of the asset through the period of the lease and

(iii) the Company has the right to direct the use of the asset.

The Company also applied the available practical expedients wherein it:

• Used a single discount rate to a portfolio of leases with reasonably similar characteristics

• Relied on its assessment of whether leases are onerous immediately before the date of initial application

• Excluded the initial direct costs from the measurement of the right-of-use asset at the date of initial application

• Used hindsight in determining the lease term where the contract contained options to extend or terminate the lease"

Right-of-use assets

The Company recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets.

Lease liability

At the commencement date of the lease, the Company recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects the Company exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognized as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Company uses its incremental borrowing rate at the lease commencement date when the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

Short-term leases and leases of low-value assets

The Company has applied the short-term lease recognition exemption to its short-term leases (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option) and low-value assets recognition exemption.

(n) Income Taxes

Income tax expenses comprises current and deferred tax. It is recognised in standalone statement of profit or loss except to the extent that it relates to a business combination or to an item recognised directly in equity or in other comprehensive income. The Company has determined that interest and penalties related to income taxes, including uncertain tax treatments, do not meet the definition of income taxes, and therefore accounted for them under Ind AS 37 Provisions, Contingent Liabilities and Contingent Assets.

(i) Current tax

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax reflects the best estimate of the tax amount expected to be paid or received after considering the uncertainty, if any, related to income taxes. It is measured using tax rates (and tax laws) enacted or substantively enacted by the reporting date.

Current tax assets and current tax liabilities are offset only if there is a legally enforceable right to set off the recognised amounts, and it is intended to realise the asset and settle the liability on a net basis or simultaneously.

(ii) Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the corresponding amounts used for taxation purposes. Deferred tax is also recognised in respect of carried forward tax losses and tax credits.

Deferred tax is not recognised for:

- temporary differences arising on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss at the time of the transaction;

- temporary differences related to investments in subsidiaries, associates and joint arrangements to the extent that the Company is able to control the timing of the reversal of the temporary differences and it is probable that they will not reverse in the foreseeable future; and

Deferred tax assets are recognised to the extent that it is probable that future taxable profits will be available against which they can be used. The existence of unused tax losses is strong evidence that future taxable profit may not be available. Therefore, in case of a history of recent losses, the Company recognises a deferred tax asset only to the extent that it has sufficient taxable temporary differences or there is convincing other evidence that sufficient taxable profit will be available against which such deferred tax asset can be realised. Deferred tax assets – unrecognised or recognised, are reviewed at each reporting date and are recognised/ reduced to the extent that it is probable/ no longer probable respectively that the related tax benefit will be realised.

Deferred tax is measured at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on the laws that have been enacted or substantively enacted by the reporting date.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Company expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

The Company has recognised a separate deferred tax assets in relation to its lease liabilities and a deferred tax liability in relations to its right-to-use assets.

(o) Provisions, Contingent liabilities and Contingent assets

(i) General provision

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Company expects some or all of a provision to be reimbursed, the expense relating to a provision is presented in the Standalone Statements of profit and loss net of any reimbursement. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

(ii) Contingent liabilities

A disclosure for a contingent liability is made when there is a possible obligation or a present obligation that may, but probably will not require an outflow of resources embodying economic benefits or the amount of such obligation cannot be measured reliably. When there is a possible obligation or a present obligation in respect of which likelihood of outflow of resources embodying economic benefits is remote, no provision or disclosure is made.

(iii) Contingent assets

Contingent assets are neither recognised nor disclosed in the Standalone financial Statements. However, contingent assets are assessed continually and if it is virtually certain that an inflow of economic benefits will arise, the asset and related income are recognised in the period in which the change occurs.

(p) Warranties

The Company recognises provision for warranties in respect of the products that it sells. These are reviewed at each balance sheet date and adjusted to reflect the current estimates. A provision is recognised for expected warranty claims on products sold during the year based on the past trend for actual warranty claims.

(q) Earnings per share

The basic earnings per share is computed by dividing the net profit attributable to the owners of the Company for the year by the weighted average number of equity shares outstanding during the reporting period (including instruments entirely equity in nature). The diluted earnings per share is computed by dividing the profit attributable to equity holders (after adjusting the cost recognised during the period for convertible instruments) by the weighted average number of equity shares outstanding during the year plus the weighted average number of equity shares that would be issued on conversion of all the dilutive potential equity shares into equity shares.

Diluted earnings per share is computed by dividing the profit (considered in determination of basic earnings per share) after considering the effect of interest and other financing costs or income (net of attributable taxes) associated with dilutive potential equity shares by the weighted average number of equity shares considered for deriving basic earnings per share adjusted for the weighted average number of equity shares that would have been issued upon conversion of all dilutive potential equity shares.

(r) Operating segments

Operating segments are reported in a manner consistent with the internal reporting provided to the Executive Director who is designated the chief operating decision maker (CODM). The Company has identified reportable segments based on the dominant source, nature of risks and return and the internal organisation and management structure and for which discrete Financial Statements is available. The CODM monitors the operating results of the entity at segment level for the purpose of making decisions about resource allocation and performance assessment. An operating segment is a component of the Company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Company's other components, and for which discrete financial information is available.

Revenue and expenses directly attributable to segments are reported under each reportable segment. Other expenses which are not attributable or allocable to segments are disclosed separately. Segment performance is evaluated based on profit or loss and is measured consistently with profit or loss in the Standalone financial Statements. However, the Company's financing (including finance costs and finance income) and income taxes are managed on a Company basis and are not allocated to operating segments. Assets and liabilities that are directly attributable or allocable to segments are disclosed under each reportable segment. All other assets and liabilities are disclosed as unallocable assets and liabilities.

2.3 Recent accounting developments and pronouncements

Ministry of Corporate affairs ("MCA") notifies new standards or amendments to the existing standards under new Companies (Indian Accounting Standards) Rules as issued from time to time. For the year ended 31 March 2026, MCA has notified amendment to the existing standards applicable to the Company which are not yet effected.

Ind AS 1 – Presentation of Financial Statements - If a covenant breach occurs on or before the reporting date and the liability becomes payable on demand, it must be classified as current, even if the lender subsequently agrees not to demand repayment. It is classified as current because, at the reporting date, the entity does not have the right to defer settlement for at least 12 months. However, if the lender has already provided—by the reporting date—a grace period extending at least 12 months beyond that date, during which the breach can be rectified and repayment cannot be demanded, the liability is classified as non-current.
This amendment is to be applied retrospectively for annual reporting periods beginning on or after 1 April 2026, in accordance with Ind AS 8, Accounting Policies, Changes in Accounting Estimates and Errors

The Ministry of Corporate Affairs has vide notification dated 7 May 2025 and 13 August 2025 , notified Companies (Indian Accounting Standards) Amendment Rules, 2025 which amends certain accounting standards, and are effective 1 April 2025. Below is the recent change to the Accounting Standards that are required to be applied by an entity with an annual reporting period beginning on 1 April 2025.

Ind AS 107 – Financial Instruments: Disclosures and Ind AS 7 – Statement of Cash Flows

New disclosure requirements apply to supplier finance arrangements where:
- A finance provider pays suppliers on behalf of the company.
- The company pays on the same or a later date.
- The company receives extended terms or suppliers receive early-payment benefits.

Required disclosures include:
a. Terms and conditions of the arrangements.
b. At beginning and end of the reporting period:
i. Carrying amounts and balance-sheet line items of liabilities under these arrangements.
ii. Liabilities already paid to suppliers by finance providers.
iii. Payment-due-date ranges for these liabilities and comparable trade payables.
c. Type and effect of non-cash changes (e.g., exchange differences, business combinations).
- Entities must also disclose the type and effect of non-cash changes in the carrying amounts of the financial liabilities that are part of a supplier finance arrangement.
- Supplier finance arrangements are now explicitly included in Ind AS 107 as examples for quantitative liquidity risk disclosures.

Imagine Marketing Limited

Notes to the Standalone Financial Statements for the year ended 31 March 2026

(All amounts are in ₹ million, unless otherwise stated)

NOTE 3 : PROPERTY, PLANT AND EQUIPMENT

Particulars	Plant and Equipment	Furniture and fixtures	Office equipment	Computers	Total
Gross carrying value					
As at 01 April 2024	**239.04**	**13.22**	**39.29**	**51.46**	**343.01**
Additions during the year	3.92	6.02	19.98	11.84	**41.76**
Disposals during the year	-	(0.31)	(0.07)	(0.04)	**(0.42)**
As at 31 March 2025	**242.96**	**18.93**	**59.20**	**63.26**	**384.35**
Additions during the year	5.22	0.99	4.29	9.40	19.90
Disposals during the year	-	-	-	-	**-**
As at 31 March 2026	**248.18**	**19.92**	**63.49**	**72.66**	**404.25**
Accumulated depreciation					
As at 01 April 2024	**77.51**	**2.09**	**17.09**	**32.05**	**128.74**
Depreciation for the year	47.93	1.72	8.27	13.26	**71.18**
Disposals for the year	-	(0.07)	(0.05)	(0.01)	**(0.13)**
As at 31 March 2025	**125.44**	**3.74**	**25.31**	**45.30**	**199.79**
Depreciation for the year	48.01	2.62	10.23	12.68	**73.55**
Disposals during the year	**-**	**-**	**-**	**-**	**-**
As at 31 March 2026	**173.45**	**6.36**	**35.54**	**57.98**	**273.34**
Net carrying value					
As at 31 March 2025	**117.52**	**15.19**	**33.89**	**17.96**	**184.56**
As at 31 March 2026	**74.73**	**13.56**	**27.95**	**14.68**	**130.91**

Notes:

(i) The Company does not own any immovable property.

(ii) The Company has not revalued its property, plant and equipment.

(iii) For details of contractual commitment with respect to property, plant and equipment refer note 34.

NOTE 4 : RIGHT-OF-USE ASSETS

Particulars	Buildings	Total
Gross carrying value		
As at 01 April 2024	**433.48**	**433.48**
Additions during the year	0.15	**0.15**
Derecognition during the year	(4.87)	**(4.87)**
As at 31 March 2025	**428.76**	**428.76**
Additions during the year	92.44	**92.44**
Derecognition during the year	(78.74)	**(78.74)**
As at 31 March 2026	**442.46**	**442.46**
Accumulated depreciation		
As at 01 April 2024	**167.22**	**167.22**
Depreciation for the year	86.05	**86.05**
Derecognition during the year	(3.31)	**(3.31)**
As at 31 March 2025	**249.96**	**249.96**
Depreciation for the year	86.70	**86.70**
Derecognition during the year	(78.40)	**(78.40)**
As at 31 March 2026	**258.26**	**258.26**
Net carrying value		
As at 31 March 2025	**178.80**	**178.80**
As at 31 March 2026	**184.20**	**184.20**

Notes:

(i) The Company has lease contracts for premises obtained for warehousing and office purposes. Leases of premises generally have lease terms between 2 and 5 years. The Company's obligations under its leases are secured by the lessor's title to the leased assets.

(ii) Refer note 19 for disclosures pertaining to lease liabilities.

(iii) The following amounts are recognised in the Profit and Loss:

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Depreciation expenses of right of use assets (refer note 30)	86.70	86.05
Interest expenses on lease liabilities (refer note 19(i) and note 29)	18.58	20.96
Expenses relating to short term leases (refer note 31)	18.53	4.56

(iv) Amount recognised in Standalone Statement of Cash Flows:

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Total Cash outflow for leases - Principal	(79.27)	(73.34)
Total Cash outflow for leases - Interest	(18.58)	(20.96)
Total cash outflow for leases	(97.85)	(94.30)

(v) The lease agreements for immovable properties where the Company is the lessee are duly executed in favour of the Company.

(vi) The Company has not revalued its Right-of-use assets.

Imagine Marketing Limited

Notes to the Standalone Financial Statements for the year ended 31 March 2026

(All amounts are in ₹ million, unless otherwise stated)

NOTE 5(A) : INTANGIBLE ASSETS

Particulars	Brands	Computer Software	Total
Gross carrying value			
As at 01 April 2024	**51.50**	**452.48**	**503.98**
Additions during the year	-	-	**-**
Deletions during the year	-	-	**-**
As at 31 March 2025	**51.50**	**452.48**	**503.98**
Additions during the year	**-**	46.94	**46.94**
Deletions during the year	**-**	**-**	**-**
As at 31 March 2026	**51.50**	**499.42**	**550.92**
Accumulated amortisation			
As at 01 April 2024	**17.80**	**73.33**	**91.13**
Amortisation for the year	5.15	90.23	**95.38**
Deletions during the year	-	-	**-**
As at 31 March 2025	**22.95**	**163.56**	**186.51**
Amortisation for the year	5.15	93.05	**98.20**
Deletions during the year	**-**	**-**	**-**
As at 31 March 2026	**28.10**	**256.61**	**284.71**
Net carrying value			
As at 31 March 2025	**28.55**	**288.92**	**317.47**
As at 31 March 2026	**23.40**	**242.81**	**266.21**

(a) The Company has not revalued its intangible assets.

NOTE 5(B) : INTANGIBLE ASSETS UNDER DEVELOPMENT

Particulars	Intangible assets under development
Intangible Assets under Development	
As at 01 April 2024	**-**
Additions during the year	22.43
Capitalised during the year	**-**
As at 31 March 2025	**22.43**
Additions during the year	29.16
Capitalised during the year	(47.59)
As at 31 March 2026	**4.00**

Intangible assets under development above includes development of accounting software and modules.

(a) Ageing schedule for Intangible Assets under development

As at 31 March 2026

Intangible assets under development	Amount in Intangibles assets under development for a period of				Total
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Projects in progress	4.00	-	-	-	**4.00**
Projects temporarily suspended	-	-	-	-	**-**

As at 31 March 2025

Intangible assets under development	Amount in Intangibles assets under development for a period of				Total
	Less than 1 year	1 - 2 years	2 - 3 years	More than 3 years	
Projects in progress	22.43	-	-	-	**22.43**
Projects temporarily suspended	-	-	-	-	**-**

(b) For Intangible assets under development, none of the assets are overdue for completion or has exceeded its cost compared to its original plan.

NOTE 6 : INVESTMENTS

Particulars	As at 31 March 2026	As at 31 March 2025
Non-Current		
Unquoted		
Investment in Equity Instruments (measured at amortised cost)		
Investment in Subsidiary Companies		
9,999 (31 March 2025: 9,999) Equity shares of Dive Marketing Private Limited having face value ₹ 10 each, fully paid up	0.10	0.10
3,10,10,000 (31 March 2025: 3,10,10,000) 'Equity shares of HOB Ventures Private Limited having face value ₹ 10 each, fully paid up	310.10	310.10
Less: Provision for Impairment in the value of Investment	(10.10)	(10.10)
4,00,00,000 (31 March 2025: 4,00,00,000) Equity shares of Imagine Marketing Singapore Pte Ltd having face value USD 1 (at ₹ 94.65/ USD, 31 March 2026 ₹ 85.81/ USD, 31 March 2025) each, fully paid up	3,118.71	3,118.71
10,000 (31 March 2025: 10,000) Equity shares of Kaha Technologies Private Limited having face value ₹ 10 each, fully paid up	77.25	77.25
Investment in Joint Venture		
2,15,50,000 (31 March 2025: 2,15,50,000) 'Equity shares of Califonix Tech and Manufacturing Private Limited (JV with Dixon Technologies Ltd) having face value of ₹ 10 each, fully paid up	215.50	215.50
Total	**3,711.56**	**3,711.56**

Note:

(i) The Company has complied with the requirements of the number of layers prescribed under clause (87) of section 2 of the Act read with Companies (Restriction on number of Layers) Rules, 2017.

(ii) Refer note 35 - Financial instruments, fair values and risk measurement for fair valuation methodology.

(iii) During the year ended 31 March 2023, the Company in partnership with Dixon Technologies Ltd. formed a Joint Venture "Califonix Tech and Manufacturing Ltd." on 50:50 profit sharing basis. The JV was formed to leverage the manufacturing and product design, backward integration and R&D capabilities held by each of the partner.

(iv) Provision for Impairment in the value of Investment: The Company has sold its share in Kimirica Lifestyle Private Limited through HOB Ventures Private Limited for a sale consideration of ₹ 300 millions. Pursuant to this transaction, the difference between cost of investment and sale consideration is provided for as there is no other business in the company to recover the investment amount.

NOTE 7 : INVESTMENTS

Particulars	As at 31 March 2026	As at 31 March 2025
Current		
Investments measured at fair value through profit or loss (Quoted)		
Investments in Mutual Funds*	1,026.96	831.95
Total	**1,026.96**	**831.95**
Details of aggregate amount of quoted:		
Aggregate amount of quoted investments (at cost)	1,022.33	829.96
Market value of quoted investments	1,026.96	831.95

NOTE 8 : OTHER FINANCIAL ASSETS

Particulars	As at 31 March 2026	As at 31 March 2025
Non-Current		
Unsecured, considered good unless otherwise stated		
Security deposits	175.56	38.36
Bank deposits with original maturity of more than 12 months and remaining maturity of more than 12 months	50.00	-
Total	**225.56**	**38.36**
Current		
Unsecured, considered good unless otherwise stated		
Security deposits	0.22	5.05
Bank deposits with original maturity of more than 12 months but remaining maturity of less than 12 months	5.00	-
Others (including interest receivable and IPO expenses) #	212.71	129.23
Total	**217.93**	**134.28**
Note: Others include receivables from related parties amounting to ₹ 8.10 million (31 March, 2025:₹ 5.76 million)		
Details of lien against bank deposits:		
Security lien towards Axis CC & WCDL Limits	55.00	-
	55.00	**-**

As at 31 March 2026, of the said amount the Company has provided for the IPO expenses of ₹ 288.97 millions (31 March 2025: ₹ 155.43 millions). The same has been apportioned on the pro rata basis (2:1) towards proposed offer for sale and new issue of shares. Accordingly, Other receivables includes amount of ₹ 192.63 millions (31 March 2025: ₹ 103.62 millions) expected to be recovered by the Company from the selling shareholders for offer for sale and balance amount of ₹ 96.34 millions (31 March 2025: ₹ 51.81 millions) for new public issue is appropriated towards balance in securities premium account in accordance with section 52(2)(c) of the Companies Act, 2013.

NOTE 9 : INCOME TAXES

A. Components of Tax expenses

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
I. Tax expense recognised in Profit and Loss		
Current Tax Expense		
Current tax on profits for the year	246.07	-
Adjustments for the current tax of prior years	2.42	-
Total Current Tax Expense	**248.49**	**-**
Deferred Tax Expense		
Attributable to :		
Origination and reversal of temporary differences	69.32	191.49
Total Deferred Tax Expense	**69.32**	**191.49**
Tax expense recognised in profit and loss	**317.81**	**191.49**
II. Tax expense recognised in Other Comprehensive Income		
Deferred Tax Expense/(Credit)		
Items that will not be reclassified to profit or loss		
Net gain on remeasurements of defined benefit plans	(0.83)	0.09
Income tax expenses recognised in other comprehensive income	**(0.83)**	**0.09**

B. Reconciliation of Effective Tax Rate

The reconciliation between the statutory income tax rate applicable and the effective income tax rate is as follows:

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Statutory income tax rate applicable for the year	25.17%	25.17%
Tax effect of:		
Expenses not deductible for tax purposes	0.37%	0.73%
Tax rate difference income	-0.16%	0.00%
Effect of previous year	0.20%	-2.93%
Effective tax rate	**25.58%**	**22.97%**

C. Deferred tax assets and liabilities

Deferred tax assets and liabilities are attributable to the following:

Particulars	As at 31 March 2026	As at 31 March 2025
Deferred Tax Assets		
Investments measured at FVTPL	-	3.15
Lease liabilities	50.28	48.07
Provisions for employee benefits	18.64	12.98
Allowance for expected credit loss	169.04	149.18
Losses to be carried forward	13.60	121.23
Property, plant and equipment	17.04	2.42
Security deposits	1.84	1.35
Fair value through profit and loss (CCPS)	11.69	11.70
Others	53.31	50.78
Total Deferred Tax Assets (A)	**335.44**	**400.86**
Deferred Tax Liabilities		
Right-of-use assets	(43.76)	(41.14)
Investments measured at FVTPL	(0.47)	-
Total Deferred Tax Liabilities (B)	**(44.23)**	**(41.14)**
Net Deferred Tax Assets / (Liabilities) (A-B)	**291.21**	**359.72**

NOTE 9 : INCOME TAXES (CONTINUED)

(i) Movements in Deferred Tax Assets / (Liabilities)

Movements during the year ended 31 March 2026	Opening balance as on 01 April 2025	Recognised in profit and loss	Recognised in other comprehensive income	Recognised directly in equity	Closing balance as on 31 March 2026
Deferred tax Liabilities					
Right-of-use assets	(41.14)	(2.62)	-	-	(43.76)
Investments measured at FVTPL and Derivative Liability	3.15	(3.62)	-	-	(0.47)
Deferred tax Assets					
Lease liabilities	48.07	2.21	-	-	50.28
Provisions for employee benefits	12.98	4.83	0.83	-	18.64
Allowance for expected credit loss	149.18	19.86	-	-	169.04
Losses to be carried forward	121.23	(107.63)	-	-	13.60
Security Deposits	1.34	0.50	-	-	1.84
Property, plant and equipment	2.42	14.63	-	-	17.04
Fair value through profit and loss (CCPS)	11.70	(0.01)	-	-	11.69
Others	50.78	2.53	-	-	53.31
Total	**359.72**	**(69.32)**	**0.83**	**-**	**291.21**

Movements in Deferred Tax Assets / (Liabilities)

Movements during the year ended 31 March 2025	Opening balance as on 01 April 2024	Recognised in profit and loss	Recognised in other comprehensive income	Recognised directly in equity	Closing balance as on 31 March 2025
Deferred tax Liabilities					
Right-of-use assets	(61.68)	20.54	-	-	(41.14)
Deferred tax Assets					
Lease liabilities	66.93	(18.86)	-	-	48.07
Provisions for employee benefits	9.40	3.49	0.09	-	12.98
Allowance for expected credit loss	96.02	53.16	-	-	149.18
Losses to be carried forward	419.73	(298.50)	-	-	121.23
Security Deposits	(1.14)	2.48	-	-	1.34
Investments measured at FVTPL and Derivative Liability	-	3.15	-	-	3.15
Property, plant and equipment	(12.42)	14.84	-	-	2.42
Others	34.29	16.49	-	-	50.78
Fair value through profit and loss (CCPS)	-	11.70	-	-	11.70
Total	**551.13**	**(191.51)**	**0.09**	**-**	**359.72**

D. Tax assets and liabilities

Particulars	As at 31 March 2026	As at 31 March 2025
Non-Current tax assets (net)		
Advance tax and tax deducted at source, net of provision for tax ₹ 246.04 (31 March 2025 : ₹ 506.47)	122.26	123.27

The Company has not surrendered or disclosed any income in the tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961). Accordingly, there are no transaction which are not recorded in the books of accounts.

E. Business loss/Unabsorbed depreciation can be carried forward as per table mentioned below:*

Loss for the year ended	Head	Amount (₹ In millions)	Utilised Amount (₹ In millions)	Balance amount carried forward	Carried forward till
31 March 2024	Business Loss	411.94	411.94	-	31-03-2032
31 March 2024	Unabsorbed depreciation	143.06	143.06	-	indefinite period

Loss for the year ended	Head	Amount (₹ In millions)	Utilised Amount (₹ In millions)	Balance amount carried forward	Carried forward till
31 March 2023	Business Loss	960.92	960.92	-	31-03-2031
31 March 2023	Unabsorbed depreciation	90.26	90.26	-	indefinite period
31 March 2023	Capital Loss	59.46	-	59.46	31-03-2031

NOTE 10 : INVENTORIES

Particulars	As at 31 March 2026	As at 31 March 2025
Stock-in-trade	2,923.61	3,239.39
Total	**2,923.61**	**3,239.39**

(i) Inventory includes goods in transit ₹ 309.81 million (31 March 2025: ₹ 236.19 million).
(ii) Value of inventories above is stated after provisions for slow-moving and obsolete items of ₹ 678.53 millions (31 March 2025: ₹ 645.29 millions) includes provision of net realisable value of ₹ 1.71 million (March 31, 2025 - ₹ 41.93 million).
(iii) During the year an amount of ₹ 389.18 millions (31 March 2025: ₹ 511.78 millions) has been charged off to statement of profit and loss on account of cost of goods that have been scrapped.
(iv) The Company has created a charge on its inventories for its borrowings (refer to note 18)
(v) For method of valuation, refer note 2 (f) of significant material accounting policies.

NOTE 11 : TRADE RECEIVABLES

Particulars	As at 31 March 2026	As at 31 March 2025
Unsecured		
Trade Receivables considered good	2,811.97	2,778.97
Trade Receivables - credit impaired	8.70	11.05
Less: Loss allowance	(272.68)	(250.00)
Total	**2,547.99**	**2,540.02**
Category wise details of allowance for expected credit loss		
Loss allowance for Trade Receivables considered good	263.98	238.95
Loss allowance for Trade Receivables – credit impaired	8.70	11.05
	272.68	**250.00**

Refer note 37 for details of trade receivable from related parties.

Trade receivables are non-interest bearing and are generally on terms of 30 to 60 days.

(i) There are no debts which are due by directors or other officers of the Company or any of them either severally or jointly with any other person or debts due by firms or private companies respectively in which any director is a partner or a director or a member for the year ended 31 March 2026.

(ii) The movement in allowance for expected credit loss is as follows:

Particulars	As at 31 March 2026	As at 31 March 2025
Balance as at beginning of the year	250.00	231.47
Change in allowance during the year	22.68	18.53
Balance as at the end of the year	**272.68**	**250.00**

(iii) Ageing for trade receivables from the due date of payment for each of the category is as follows:

Trade receivables ageing schedule as at 31 March 2026	Outstanding for following periods from due date of payment						
	Current (not due)	Less than 6 months	6 Months to 1 Year	1 - 2 Years	2 -3 Years	More than 3 Years	Total
(i) Undisputed Trade Receivables - considered good	1,354.13	1,380.09	35.93	37.08	2.89	1.85	2,811.97
(ii) Undisputed Trade Receivables - significant increase in credit risk	-	-	-	-	-	-	-
(iii) Undisputed Trade Receivables - credit impaired	-	-	-	-	-	-	-
(iv) Disputed Trade Receivables - considered good	-	-	-	-	-	-	-
(v) Disputed Trade Receivables - significant increase in credit risk	-	-	-	-	-	-	-
(vi) Disputed Trade Receivables - credit impaired	-	-	-	-	-	8.70	8.70
	1,354.13	**1,380.09**	**35.93**	**37.08**	**2.89**	**10.55**	**2,820.67**
Less: Loss allowance	(2.73)	(183.50)	(35.93)	(37.08)	(2.89)	(10.55)	(272.68)
	1,351.40	**1,196.59**	**-**	**-**	**-**	**-**	**2,547.99**

Note: There are no unbilled dues as at 31 March 2026

Trade receivables ageing schedule as at 31 March 2025	Outstanding for following periods from due date of payment						
	Current (not due)	Less than 6 months	6 Months to 1 Year	1 - 2 Years	2 -3 Years	More than 3 Years	Total
(i) Undisputed Trade Receivables - considered good	1,535.53	1,130.74	33.50	74.84	1.20	3.16	2,778.97
(ii) Undisputed Trade Receivables - significant increase in credit risk	-	-	-	-	-	-	-
(iii) Undisputed Trade Receivables - credit impaired	-	-	-	-	-	-	-
(iv) Disputed Trade Receivables - considered good	-	-	-	-	-	-	-
(v) Disputed Trade Receivables - significant increase in credit risk	-	-	-	-	-	-	-
(vi) Disputed Trade Receivables - credit impaired	-	-	-	-	-	11.05	11.05
	1,535.53	**1,130.74**	**33.50**	**74.84**	**1.20**	**14.21**	**2,790.02**
Less: Loss allowance	(1.56)	(124.68)	(33.50)	(74.84)	(1.20)	(14.21)	(250.00)
	1,533.97	**1,006.06**	**(0.00)**	**(0.00)**	**(0.00)**	**(0.00)**	**2,540.02**

Note: There are no unbilled dues as at 31 March 2025

NOTE 12 : CASH AND CASH EQUIVALENTS

Particulars	As at 31 March 2026	As at 31 March 2025
Cash on hand*	0.17	0.35
Balances with banks		
In current accounts	600.87	640.78
In deposits with original maturity of less than 3 months	-	140.00
Total	**601.04**	**781.13**

* Cash on hand includes balances in digital wallets of ₹ 0.13 million (31 March 2025 : ₹ 0.11 million)

Note:
Details of lien against fixed deposits:

Security lien towards Citi bank cash credit facility and working capital demand loan	-	140.00
	-	**140.00**

NOTE 13 : BANK BALANCES OTHER THAN CASH AND CASH EQUIVALENTS

Particulars	As at 31 March 2026	As at 31 March 2025
Balances with banks to the extent held as security against the borrowings		
Fixed deposits with original maturity of more than 3 months but less than 12 months	1,941.21	1,990.00
Total	**1,941.21**	**1,990.00**
Note:		
Details of lien against fixed deposits:		
Security lien towards RBL OD CC, WCDL Limits and FD OD limits	1,575.00	1,575.00
Security lien towards ICICI BG OD facility	10.12	10.00
Security lien towards HDFC CC & WCDL Limits	-	60.00
Security lien towards HSBC CC, SBLC & WCDL Limits	150.00	150.00
Security lien towards DBS WCDL & SBLC Limits	100.00	100.00
Security lien towards Axis CC & WCDL Limits	106.09	95.00
	1,941.21	**1,990.00**

NOTE 14 : LOANS

Particulars	As at 31 March 2026	As at 31 March 2025
Loans Receivables considered good – Unsecured	0.07	0.54
Loan to Subsidiary Company (Refer note (iii) below and note 37)	37.00	37.00
Less : Impairment allowance	(37.00)	(37.00)
Total	**0.07**	**0.54**

Notes:

(i) There are no loans due by directors or other officers of the Company or any of them either severally or jointly with any other persons or amounts due by firms or private companies respectively in which any director is a partner or a director or a member except as disclosed in note (iii) below.

(ii) Loans given to employees as per the Company's policy are not considered for the purposes of disclosure under Section 186(4) of the Companies Act, 2013.

(iii) Loans to promoters, directors, KMPs or related parties (as defined under Companies Act, 2013) either severally or jointly with any other person, that are:

(a) repayable on demand; or
(b) without specifying any terms or period of repayment *

Particulars	As at 31 March 2026		As at 31 March 2025	
	Amount outstanding	% of total	Amount outstanding	% of total
Type of Borrower				
Related party (Subsidiary) (for working capital requirements)	37.00	99.81%	37.00	98.56%

* There are no loans to promoters, directors, KMPs or related parties (as defined under Companies Act, 2013) either severally or jointly with any other person, that are without specifying any terms or period of repayment.

(iv) There are no advances in the nature of loans to promoters, directors, KMPs or related parties (as defined under Companies Act, 2013,) either severally or jointly with any other person, that are:

(a) repayable on demand; or
(b) without specifying any terms or period of repayment;

NOTE 15 : OTHER CURRENT ASSETS

Particulars	As at 31 March 2026	As at 31 March 2025
Current		
Unsecured, considered good unless otherwise stated		
Advances to suppliers #	1,311.78	1,262.88
Less: Allowances for credit impaired advances	(351.80)	(295.59)
	959.98	**967.29**
Right to receive inventory on provision for sales return*	273.29	330.00
Prepaid Expenses	64.92	53.11
Balances with Government Authorities		
- Goods and Services Tax credit receivable	440.60	780.55
- Custom Duty	24.31	14.97
- Sales Tax/ Value Added Tax	0.03	0.03
Total	**1,763.13**	**2,145.95**

* Right to receive inventory on provision for sales return: Customers of the Company have right to return in case of any defects or on grounds of quality. The Company uses expected value method to estimate the goods that will be returned. For goods that are expected to be returned, instead of revenue proceeds, the Company recognises a refund liability.

(i) There are no advances in the nature of loans to promoters, directors, KMPs or related parties (as defined under Companies Act, 2013) either severally or jointly with any other person, that are:

(a) repayable on demand; or
(b) without specifying any terms or period of repayment.

Advance to Vendors as at 31 March, 2026 includes $3.58 Million (31 March 2025: $2.5 Million) advanced to foreign vendors for inventory, outstanding for more than six months due to non-receipt of materials or repatriation. This results in non-compliance with the Master Circulars issued by the Reserve Bank of India with respect to prescribed timelines for receipt of goods against the advances given or remittance of monies back into India. Out of the total outstanding advances mentioned above, the management has already written to its AD Banker for permission to write-off of $ 1.9 Million and is reasonably confident of obtaining the approval from the competent authorities and believes that the approval for an extension of time is only a procedural matter and any fees/penalties in relation to obtaining such a condonation will not be material.

The Company has created a provision of ₹ 18.80 Million for the anticipated penalty in the Financial Statements, (included in " Other Expenses").

Imagine Marketing Limited

Notes to the Standalone Financial Statements for the year ended 31 March 2026

(All amounts are in ₹ million, unless otherwise stated)

NOTE 16 : SHARE CAPITAL

Particulars	As at 31 March 2026		As at 31 March 2025	
	Number of shares	Amount	Number of shares	Amount
Authorised share capital				
Equity shares of ₹ 1 each	21,08,28,000	210.83	21,08,28,000	210.83
Series A Preference shares of ₹ 10 each	5,35,200	5.35	5,35,200	5.35
Series B Preference shares of ₹ 6,000 each	18,929	113.57	18,929	113.57
Series C Preference shares of ₹ 3.00 each #	66,58,000	19.98	66,58,000	19.98

Classified as financial liability

Reconciliation of the number of shares

Particulars	Equity shares		Series A		Series B CCPS		Series C CCPS	
	Number of Shares	Amount	Number of Shares	Amount	Number of Shares	Amount	Number of Shares	Amount
As at 01 April 2024	16,08,28,000	160.83	5,35,200	5.35	18,929	113.57	66,58,000	19.98
Increase during the year	5,00,00,000	50.00	-	-	-	-	-	-
As at 31 March 2025	**21,08,28,000**	**210.83**	**5,35,200**	**5.35**	**18,929**	**113.57**	**66,58,000**	**19.98**
Increase during the year	-	-	-	-	-	-	-	-
As at 31 March 2026	**21,08,28,000**	**210.83**	**5,35,200**	**5.35**	**18,929**	**113.57**	**66,58,000**	**19.98**

Particulars	As at 31 March 2026		As at 31 March 2025	
	Number of shares	Amount	Number of shares	Amount
Issued, subscribed and paid-up share capital				
Equity share capital				
Equity shares of ₹ 1 each	9,61,46,300	96.15	9,61,46,300	96.15
	9,61,46,300	**96.15**	**9,61,46,300**	**96.15**
Instruments entirely Equity in nature				
Series A Preference shares of ₹ 10 each	5,10,000	5.10	5,10,000	5.10
Series B Preference shares of ₹ 6,000 each	17,269	103.61	17,269	103.61
	5,27,269	**108.71**	**5,27,269**	**108.71**
Total		**204.86**		**204.86**

(a) Reconciliation of shares outstanding at the beginning and at the end of the reporting year

Particulars	Equity shares		Series A CCPS		Series B CCPS	
	Number of shares	Amount	Number of shares	Amount	Number of shares	Amount
As at 01 April 2024	**9,61,46,300**	**96.15**	**5,10,000**	**5.10**	**17,269**	**103.61**
Issue of Equity Shares on exercise of employee stock option	-	-	-	-	-	-
As at 31 March 2025	**9,61,46,300**	**96.15**	**5,10,000**	**5.10**	**17,269**	**103.61**
Issue of Equity Shares on exercise of employee stock option	-	-	-	-	-	-
As at 31 March 2026	**9,61,46,300**	**96.15**	**5,10,000**	**5.10**	**17,269**	**103.61**

Equity shares represents equity shares of ₹ 1 each, fully paid up
Series A CCPS represents 0.01% Non-cumulative compulsorily convertible preference shares of ₹10 each, fully paid up
Series B CCPS represents 0.01% Cumulative compulsorily convertible preference shares of ₹ 6,000 each, fully paid up

(b) Rights, preferences and restrictions attached to equity shares:

The Company has a single class of equity shares. Accordingly, all equity shares rank equally with regard to dividends and share in the Company's residual assets. The equity shares are entitled to receive dividend as declared from time to time. The voting rights of an equity shareholder on a poll (not on show of hands) are in proportion to its share of the paid-up equity capital of the Company. Voting rights cannot be exercised in respect of shares on which any call or other sums presently payable have not been paid.

Failure to pay any amount called up on shares may lead to forfeiture of the shares.

On winding up of the Company, the holders of equity shares will be entitled to receive the residual assets of the Company, remaining after distribution of all preferential amounts in proportion to the number of equity shares held and after payment to the secured and unsecured loan.

(c) Rights, preferences and restrictions attached to preference shares:

The Company has three classes of preference shares i.e. 0.01% Non-Cumulative Compulsory Convertible preference shares of ₹ 10 each ('Series A CCPS'), 0.01% Cumulative Compulsory Convertible preference shares of ₹ 6,000 each ('Series B CCPS'), 0.01% Cumulative Compulsory Convertible preference shares of ₹ 3 each ('Series C CCPS').

Series A CCPS comprises Series A CCPS and Series A1 CCPS, both convertible at a ratio of 1:1 (that is 1 Equity Share shall be issued upon conversion of 1 Preference Share), having a right to preferred non - cumulative dividend of 0.01% per annum and of the par value of ₹ 10 each in the capital of the Company. Each Preference Share may be converted into Equity Shares at any time at the option of the holder of that Preference Share and/or if mandated by applicable laws.

Subject to applicable Laws, the preference shares shall be automatically converted into equity shares in the ratio of 1 Equity Share for 1 Preference Share ('Conversion Ratio'), upon the earlier of (i) expiry of 19 years and 9 months from the Closing Date or (ii) in connection with an IPO, prior to the filing of a red-herring prospectus (or equivalent document, by whatever name called) by the Company with the competent authority or such later date as may be permitted under applicable law.

In the event of a liquidation, the holders of CCPS will have priority over equity shareholders in the payment of dividend and repayment of capital.

NOTE 16 : SHARE CAPITAL (CONTINUED)

Series B CCPS comprises Series B CCPS and Series B1 CCPS, both cumulative participating compulsorily and fully convertible preference shares having a face value of ₹ 6,000 each, convertible at a ratio of 1:2000 * (that is 2000 Equity Shares shall be issued upon conversion of 1 Preference Share), having a right to preferred cumulative dividend of 0.01% per annum and of the par value of ₹ 6,000 each in the capital of the Company. Each Preference Share may be converted into Equity Shares at any time at the option of the holder of that Preference Share and/or if mandated by applicable laws.

Subject to applicable Laws, the preference shares shall be automatically converted into equity shares in the ratio of 2000 Equity Shares for 1 Preference Share ('Conversion Ratio'), upon the earlier of (i) expiry of 19 years and 9 months from the Closing Date; or (ii) in connection with an IPO, prior to the filing of a red-herring prospectus (or equivalent document, by whatever name called) by the Company with the competent authority or such later date as may be permitted under applicable law.

In the event of a liquidation, the holders of CCPS will have priority over equity shareholders in the payment of dividend and repayment of capital.

* As per the original terms of Series B CCPS, the conversion ratio was 1:1 (that is 1 Equity Share shall be issued upon conversion of 1 Preference Share). During the year ended 31 March 2022, pursuant to the Corporate Event being issuance of Bonus Equity Shares and Bonus Series A CCPS and the face value of the equity shares was sub-divided from ₹ 10 per Equity share to ₹ 1 per Equity share the Company adjusted the conversion price for Series B CCPS in accordance with their terms of issuance as set out in the articles of association and the amended shareholders agreement dated 9 April 2021 from ₹ 283,749 to ₹ 141.88. Accordingly, the revised conversion ratio is 1:2000.

(d) Details of shareholders more than 5% shares of a class of shares in the Company:

Particulars	As at 31 March 2026		As at 31 March 2025	
	Number of shares	% in shares	Number of shares	% in shares
Equity shares				
Mr. Sameer Mehta	3,83,50,000	39.89%	3,83,70,000	39.91%
Mr. Aman Gupta	3,83,70,000	39.91%	3,83,70,000	39.91%
South Lake Investment Ltd	1,85,10,000	19.25%	1,85,10,000	19.25%
Instruments entirely equity in nature				
Series A CCPS				
Fireside Ventures Investment Fund - I	5,10,000	100.00%	5,10,000	100.00%
Series B CCPS				
South Lake Investment Ltd	15,507	89.80%	15,507	89.80%
Qualcomm Ventures LLC	1,762	10.20%	1,762	10.20%

(e) Shares reserved for issue under options and contracts:

Particulars	As at 31 March 2026		As at 31 March 2025	
	Number of shares	Amount	Number of shares	Amount
Under Employee Stock Option Plan 2019:				
Equity shares of ₹ 1 each, at exercise price of ₹ 30.27 per share	5,38,200	0.54	5,38,200	0.54
Equity shares of ₹ 1 each, at exercise price of ₹ 141.88 per share	14,46,830	1.45	14,72,830	1.47
Equity shares of ₹ 1 each, at exercise price of ₹ 218.00 per share	8,75,000	0.88	8,75,000	0.88
Equity shares of ₹ 1 each, at exercise price of ₹ 300.00 per share	1,63,300	0.16	1,63,300	0.16
Equity shares of ₹ 1 each, at exercise price of ₹450.00 per share	4,48,236	0.45	5,28,131	0.53
Equity shares of ₹ 1 each, at exercise price of ₹ 141.87 per share	15,000	0.02	15,000	0.02
Under Employee Stock Option Plan 2021:				
Equity shares of ₹ 1 each, at exercise price of ₹ 141.87 per share	20,14,000	2.01	20,14,000	2.01
Under Employee Stock Option Plan 2023:				
Equity shares of ₹ 1 each, at exercise price of ₹ 450.00 per share	12,23,249	1.22	12,74,082	1.27
For 0.01% Non-Cumulative Compulsory Convertible preference shares of ₹ 10 each				
Equity shares of ₹ 1 each *	51,00,000	5.10	51,00,000	5.10
For 0.01% Cumulative Compulsory Convertible preference shares of ₹ 6,000 each				
Equity shares of ₹ 1 each *	3,45,38,000	34.54	3,45,38,000	34.54

* Pursuant to the Corporate Event being issuance of Bonus Equity Shares and Bonus Series A and Series B CCPS, the number of options and the exercise price per share have also been adjusted accordingly, i.e. number of options have been multiplied by 200 and the exercise price per share has been divided by 200.

Terms attached to the Compulsorily Convertible Preference Shares are described in note 16 (c).
Terms attached to the Employee Stock Options granted to the employees are described in note 40 regarding Employee share based payments.

(f) Information regarding issue of bonus shares in the last five years:

Particulars	As at 31 March 2026	As at 31 March 2025
Aggregate number and class of shares allotted as fully paid up by way of bonus shares		
Equity shares of ₹ 1 each @	94,77,375	94,77,375
0.01% Non-Cumulative Compulsory Convertible preference shares of ₹ 10 each #	5,07,450	5,07,450
Aggregate number and class of shares bought back during the period of five years immediately preceding the reporting date:		
Equity shares of ₹ 1 each *	4,934	4,934

NOTE 16 : SHARE CAPITAL (CONTINUED)

@ During the year ended 31 March 2022, the Company has issued bonus shares in the ratio of 1:199 ((i.e. 199 new bonus shares for every 1 share held by the holder) credited as fully paid up, to the eligible equity shareholders of Equity Shares of ₹ 10 each and whose names appear in the Register of Members / Beneficial Owners' position of the Company on 13 May, 2021 ("Record Date").

During the year ended 31 March 2022, the Company has issued bonus shares in the ratio of 1:199 ((i.e. 199 new bonus shares for every 1 share held by the holder) credited as fully paid up, to the eligible shareholders 0.01% Non-Cumulative Compulsory Convertible preference shares of ₹ 10 each and whose names appear in the Register of Members / Beneficial Owners' position of the Company on 13 May, 2021 ("Record Date").

Pursuant to the aforementioned Corporate Event being issuance of Bonus Equity Shares and Bonus Series A CCPS and the face value of the equity shares was sub-divided from ₹ 10 per Equity share to ₹ 1 per Equity share, the Company adjusted the conversion price for Series B CCPS in accordance with their terms of issuance as set out in the articles of association and the amended and shareholders agreement dated April 9, 2021, from ₹ 283,749 to ₹ 141.88.

(g) Details of shareholdings by the Promoter's of the Company:

Particulars	Change %	As at 31 March 2026		As at 31 March 2025	
		Number of shares	% in the class	Number of shares	% in the class
Equity shares of ₹ each fully paid up held by:					
Mr. Sameer Mehta	-0.05%	3,83,50,000	39.89%	3,83,70,000	39.91%
Mr. Aman Gupta	0.00%	3,83,70,000	39.91%	3,83,70,000	39.91%

(h) Agreements with Shareholders:

(i) For terms in relation to Series C CCPS refer note 18 (vii).

(ii) During the year ended 31 March 2022:

Pursuant to a Shareholders Agreement (SHA) dated 9 April 2021 entered into by and between Imagine Marketing Private Limited, Sameer Mehta (Promoter 1), Aman Gupta (Promoter 2), Fireside Ventures Investment Fund - I (Scheme of Fireside Ventures Investments Trust), South Lake Investments Ltd and Qualcomm Ventures LLC and the Share Subscription Agreement (SSA) dated 9 April 2021 entered into by and between Imagine Marketing Private Limited, the Promoters, Fireside Ventures Investment Fund - I (Scheme of Fireside Ventures Investments Trust), South Lake Investments Ltd and Qualcomm Ventures LLC, the Company issued 1,762 0.01% Cumulative Compulsory Convertible preference shares of ₹ 6,000 each to Qualcomm Ventures LLC on 20 April 2021 on a private placement basis as per the provisions of Section 42 of the Companies Act, 2013. Consequent to such issue of shares, the Company received ₹ 499.96 million the details of which are included in the table below:

Type of share	Face value per share	Issue price per share	Premium on issue per share	No. of shares	Total amount in ₹ million
0.01% Cumulative Compulsory Convertible preference shares of ₹ 6,000	6,000.00	2,83,749.00	2,77,749.00	1,762	499.96

Pursuant to the SHA dated 9 April 2021 as mentioned above, the conversion ratio of the Series B1 CCPS was determined to be 1:1. Accordingly, Series B1 CCPS were considered to be "Instrument entirely Equity in nature" as at the transaction date.

Imagine Marketing Limited

Notes to the Standalone Financial Statements for the year ended 31 March 2026

(All amounts are in ₹ million, unless otherwise stated)

NOTE 17 : OTHER EQUITY

A. Summary of Other Equity balance:

Particulars	As at 31 March 2026	As at 31 March 2025
Securities Premium	3,621.00	3,665.53
General Reserve	11.25	11.25
Share Options Outstanding Account	497.17	393.59
Retained Earnings	2,035.41	1,116.40
Total Other Equity	**6,164.83**	**5,186.77**

Particulars	As at 31 March 2026	As at 31 March 2025
Securities Premium		
Balance at the beginning of the year	3,665.53	3,717.34
Less: Share issue expenses (refer note 8)	(44.53)	(51.81)
Balance at the end of the year	**3,621.00**	**3,665.53**
General Reserve		
Balance at the beginning of the year	11.25	11.25
Balance at the end of the year	**11.25**	**11.25**
Share Options Outstanding Account		
Balance at the beginning of the year	393.59	307.55
Add: Charge for the year (Refer note 28 and 40)	103.58	86.04
Balance at the end of the year	**497.17**	**393.59**
Retained Earnings		
Balance at the beginning of the year	1,116.40	474.47
Add: Profit for the year	921.46	642.21
Less: Remeasurement of post employment benefit obligation, net of tax	(2.45)	(0.28)
Balance at the end of the year	**2,035.41**	**1,116.40**

B. Nature and purpose of reserves:

Securities Premium - Securities premium reserve is used to record the premium on issue of shares. The reserve is utilised in accordance with the provisions of the Act.

General Reserve - On redemption of the debentures for which the debenture redemption reserve was created, the Company has transferred the balance in the debenture redemption reserve to the General Reserve.

Share Options outstanding account - The fair value of the equity-settled share based payment transactions is recognised in Standalone Statement of Profit and Loss with corresponding credit to Employee Stock Options Outstanding Account.

Retained Earnings - Retained earnings are the profits that the Company has earned till date, less any transfers to general reserve, dividends or other distributions paid to shareholders.

Imagine Marketing Limited

Notes to the Standalone Financial Statements for the year ended 31 March 2026

(All amounts are in ₹ million, unless otherwise stated)

NOTE 18 : BORROWINGS

Particulars	As at 31 March 2026	As at 31 March 2025
Current		
Unsecured, at Fair value through profit and loss (FVTPL)		
Series C 6,657,791 0.01% Cumulative Compulsorily Convertible preference shares of ₹ 3 each (refer note (vi)below)	5,046.47	5,046.47
Secured, at amortised cost		
Cash credit from banks (refer note (i) below)	-	0.03
Loan repayable on demand:		
- from banks (refer note (i) below)	-	463.36
- Buyers credit (refer note (i) below)	-	138.76
Unsecured, at amortised cost		
Loan repayable on demand:		
- from subsidiary company (refer note 37)	-	302.00
Total	**5,046.47**	**5,950.62**

Notes:

(i)(a) As at March 31, 2026

Name of the bank	Limits ₹ Millions	Nature of Limits	Outstanding As on March 31, 2026	FY26 - Interest Rates	
				From	To
HSBC	1,500	SBLC , CC & WCDL Limits	-	5.03	8.42
Citi Bank	-	CC & WCDL Limits	-	NA	NA
ICICI Bank	10	BG OD facility	-	NA	NA
RBL Ltd	750	OD CC & WCDL Limits	-	NA	NA
RBL Ltd	900	FD OD limits	-	4.85	8.10
Axis Bank	1,250	CC & WCDL Limits	-	8.60	9.05
DBS Bank	750	SBLC & WCDL Limits	-	4.70	8.05
HDFC Bank	-	CC & WCDL Limits	-	NA	NA
Total	**5,160**		**-**		

(i)(b) As at March 31, 2025

Name of the bank	Limits ₹ Millions	Nature of Limits	Outstanding As on March 31, 2025	FY25 - Interest Rates	
				From	To
HSBC	1,500	SBLC , CC & WCDL Limits	11.54	5.00	9.55
HSBC (unsecured)	1,000	Bill Discounting facility	-	9.40	9.40
Citi Bank	1,400	CC & WCDL Limits	-	8.03	8.90
ICICI Bank	10	BG OD facility	-	NA	NA
RBL Ltd	750	OD CC & WCDL Limits	0.03	7.95	9.93
RBL Ltd	1,500	FD OD limits	463.36	7.95	9.93
Axis Bank	750	CC & WCDL Limits	-	8.32	9.28
DBS Bank	750	SBLC & WCDL Limits	125.80	5.14	8.80
HDFC Bank	600	CC & WCDL Limits	-	8.09	8.40
Total	**8,260**		**600.73**		

(c) 100% FD backed bank guarantee facility has been availed by the Company from ICICI bank for meeting the working capital requirements of the Company.

(d) Cash Credit (CC) facility and working capital demand loan (WCDL) facility from Citi bank has been availed and carried an interest rate mutually agreed between the parties at the time of disbursement (refer table above for interest rates), computed on monthly basis on the actual amount utilised to be paid on last date of each month. During the current year, the Company has discontinued this facility
In the previous year, the Company continued to avail an aggregate limit of ₹ 1400 million which is secured against hypothecation on current stocks and book debts of the Company as well as pledge against fixed deposits or mutual funds.

(e) Secured cash credit (sublimit of working capital demand loan facility) has been obtained by the Company from RBL bank against fixed deposit of ₹ 75 million as on March 31, 2026. The Company has given RBL First Passu Charge on the entire current assets of the Company, both present and future. The interest rate is applicable as per disbursement date and the bank reserves the right to charge additional interest at the rate of 2% in case of takeover. The tenure of the WCDL loans ranges up to 3 months and the same was repayable on demand. In 31 March 2023, the Company has availed fixed deposit backed overdraft facility (FD-OD) of ₹ 1,500 million from RBL bank secured against the 100% Fixed Deposit and carried interest rate of FD rate + 0.50% which subsequently was changed to FD rate + 0.00% w.e.f June 1, 2023 and outstanding under the same is Nil as on 31 March 2026. As on March 31, 2026, the limit is reduced to ₹ 900 million.

(f) Overdraft facility has been availed by the Company from HSBC Bank and carried an interest rate mutually agreed per annum which was linked to the prevalent Bank MCLR/3M T-bill against the pari passu charge on present and future inventory and receivable and had placed under lien Fixed Deposits of ₹ 150 million as on 31 March 2026. The tenure of the WCDL loans ranged up to 90 days and the same is repayable on demand. WCDL balance outstanding as on 31 March 2026 is ₹ Nil Million.The interest rate on WCDL is 8.40 % p.a. The Company has obtained SBLC facility from HSBC bank and outstanding against this as on 31 March 2026 is ₹ Nil Million and ₹ 11.54 Million as on 31 March 2025. The interest rate on buyers credit is SOFR + 75 bps.

(g) Secured loan including cash credit and working capital demand loans has been obtained by the Company from HDFC bank towards working capital which carries an interest rate as per the table above. The Company has given First pari passu charge on receivables and inventory of the Company, present and future, to all the banks. Also, fixed deposit charge of ₹ Nil million as on 31 March 2026 and ₹ 60 million as on 31 March 2025 lien marked to HDFC Bank.

(h) Secured loan has been obtained by the Company from Axis Bank towards working capital which carries an interest rate specified by the bank at the time of drawdown (refer table above for interest rates). The Company has given first pari passu charge on current assets (current and future stock and book debt) of the Company both, present and future and has placed fixed deposits of ₹ 106.09 million as on 31 March 2026 under lien. The maximum tenure of this loan is 90 days and the same is repayable on demand.

(i) During the year ended 31 March 2025, secured loan has been obtained by the Company from DBS Bank towards working capital which carries an interest rate specified by the bank (mutually agreed at the time of drawdown). The Company has given first pari passu charge on current assets (current and future stock and book debt) and has placed fixed deposits of ₹ 100 million as on 31 March 2026 under lien. The maximum tenure of this loan is 180 days and the same is repayable on demand. Further, in the current year, the Company has obtained Facility from DBS Bank with interest rate as mentioned in the table above. Outstanding against this facility stands at ₹ Nil million as on 31 March 2026.
This facility extends the payment terms beyond the supplier's standard credit terms, with repayments scheduled to occur 30, 60, or 90 days after the maturity date of the Letter of Credit. The interest rate applicable to the facility is linked to the Secured Overnight Financing Rate (SOFR). As collateral for the facility, the Holding Company has granted a lien over its assets.

NOTE 18 : BORROWINGS (CONTINUED)

(ii) Borrowings from banks and financial institutions have been used for the purpose for which they were obtained.

Name of the Bank	Quarter	Particulars	Amount as per books of account	Amount as reported in the quarterly return/ statement	Amount of difference*	Reason for material discrepancies
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Jun-24	Inventory	2,824.08	2,824.08	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Jun-24	Trade receivables	3,307.86	3,307.86	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Jun-24	Advance to Vendor	2,554.56	2,554.56	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Sep-24	Inventory	3,300.26	3,300.26	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Sep-24	Trade receivables	6,180.55	6,180.55	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Sep-24	Advance to Vendor	2,283.04	2,283.04	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Dec-24	Inventory	2,980.37	2,980.37	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Dec-24	Trade receivables	4,017.33	4,017.33	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Dec-24	Advance to Vendor	2,642.10	2,642.10	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Mar-25	Inventory	3,239.39	3,239.39	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Mar-25	Trade receivables	2,540.02	2,540.02	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Mar-25	Advance to Vendor	1,262.88	1,262.88	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Jun-25	Inventory	4,182.31	4,182.31	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Jun-25	Trade receivables	3,696.52	3,696.52	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Jun-25	Advance to Vendor	2,764.85	2,764.85	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Sep-25	Inventory	3,953.60	3,953.60	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Sep-25	Trade receivables	6,129.12	6,129.12	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Sep-25	Advance to Vendor	2,431.75	2,431.75	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Dec-25	Inventory	4,058.58	4,058.58	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Dec-25	Trade receivables	4,107.71	4,107.71	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Dec-25	Advance to Vendor	1,969.20	1,969.20	-	
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Mar-26	Inventory	2,923.61	2,821.97	101.64	Adjustment in Goods in transit, sales cut off and inventory provision
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Mar-26	Trade receivables	2,547.99	2,633.02	(85.03)	Adjustment in sales cut off and support cost
Citi Bank, RBL, HDFC, ICICI, HSBC, Axis, DBS	Mar-26	Advance to Vendor	959.98	959.98	-	

*Subsequently rectified and submitted to the bank

(iii) The Company has registered all the charges or satisfaction with the Registrar of Companies (ROC) by the statutory date.

(iv) The Company has not been declared a Wilful defaulter.

(v) There has been no discrepancy in utilisation of borrowings.

(vi) **Terms of series C CCPS:**

During the year ended 31 March 2023:

Pursuant to a Shareholders Agreement (SHA) dated 24 October 2022 entered into by and between Imagine Marketing Limited, Sameer Mehta (Promoter 1), Aman Gupta (Promoter 2), Fireside Ventures Investment Fund - 1 (Scheme of Fireside Ventures Investments Trust), South Lake Investments Ltd, Qualcomm Ventures LLC, Malabar India Fund Limited, Malabar Select Fund and Malabar Midcap Fund and the Share Subscription Agreement (SSA) dated 24 October 2022 entered into by and between Imagine Marketing Limited, the Promoters, South Lake Investments Ltd, Malabar India Fund Limited, Malabar Select Fund and Malabar Midcap Fund, the Company issued 6,657,791 0.01% Cumulative Compulsory Convertible preference shares of ₹ 3 each to South Lake Investments Ltd, Malabar India Fund Limited, Malabar Select Fund and Malabar Midcap Fund on December 2, 2022 on a private placement basis as per the provisions of Section 42 of the Companies Act, 2013. Consequent to such issue of shares, the Company received ₹ 5,000 million the details of which are included in the table below:

Type of share	Amount in ₹ million
Carrying amount of liability as at April 01, 2024	**5,039.95**
Add: Fair value loss on account of changes in financial liabilities	6.52
Carrying amount of liability as at March 31, 2025	**5,046.47**
Add: Fair value loss on account of changes in financial liabilities	-
Carrying amount of liability as at March 31, 2026	**5,046.47**

(vii) Series C CCPS comprises cumulative compulsorily and fully convertible preference shares having a face value of ₹ 3 each, to be converted into such number of equity shares of face value of ₹ 1 each as per the adjustment ratio linked to next external funding round as mentioned in the shareholding agreement (SHA) dated October 24, 2022. Further, the Series C CCPS has a right to preferred cumulative dividend of 0.01% per annum and of the par value of ₹ 3 each in the capital of the Company.

Subject to applicable Laws, the preference shares shall be automatically converted as per the terms mentioned above, upon the earlier of (i) expiry of 19 years and 9 months from the of the issuance and allotment; or (ii) in connection with an IPO, prior to the filing of a red-herring prospectus (or equivalent document, by whatever name called) by the Company with the competent authority or such later date as may be permitted under applicable law.

In the event of a liquidation, the holders of CCPS will have priority over equity shareholders in the payment of dividend and repayment of capital.

As per Ind AS 32 - Financial Instruments: Presentation, and terms and conditions mentioned in the SHA mentioned above, the Company has classified the same as financial liability since it comprises an obligation on the Company to deliver a variable number of shares on the basis of conversion ratio and price as defined in the SHA. Although the variability is subject to the adjustment ratio as mentioned in the SHA at the time of conversion, the overall number of equity instruments that the issuer is obliged to deliver is not fixed. Since the variability is limited by a cap and a floor, it features an embedded derivative and therefore is to be measured at fair value, with all changes in fair value recognised in profit or loss.

NOTE 19 : LEASE LIABILITIES

Particulars	As at 31 March 2026	As at 31 March 2025
Non-current		
Lease liabilities payable beyond 12 months	118.05	113.75
	118.05	**113.75**
Current		
Lease liabilities payable within 12 months	81.70	77.24
	81.70	**77.24**

(i) Reconciliation of carrying amount of Lease Liabilities

Particulars	As at 31 March 2026	As at 31 March 2025
Opening balance	190.99	265.89
Add: Addition during the year	92.44	-
Add: Interest on lease liabilities	18.58	20.96
Less: Deletion during the year	(4.41)	(1.56)
Less: Payment of lease liabilities	(97.85)	(94.30)
Closing balance	**199.75**	**190.99**
Non-Current	118.05	113.75
Current	81.70	77.24
Total	**199.75**	**190.99**

(ii) Maturity analysis of lease liabilities (undiscounted basis):

Particulars	As at 31 March 2026	As at 31 March 2025
Not later than one year	96.89	96.54
Later than one year and not later than five years	131.86	161.46
Total	**228.75**	**258.00**

(iii) The effective interest rate for lease liabilities is 9.26% as on 31 March 2026 (10.26% as on 31 March 2025)

(iv) The Company had total cash outflow for leases (including the short-term leases) for 31 March 2026: ₹ 116.38 million (31 March 2025: ₹ 98.86 million).

NOTE 20 : PROVISIONS

Particulars	As at 31 March 2026	As at 31 March 2025
Non-Current		
Provision for employee benefits		
- Provision for gratuity (refer note 39)	33.78	23.03
Total	**33.78**	**23.03**
Current		
Provision for employee benefits		
- Provision for gratuity (refer note 39)	4.00	2.18
- Provision for compensated absence (refer note 39)	36.26	25.99
Other provisions		
- Provision for warranties	380.56	489.94
Refund liabilities	445.49	590.00
Total	**866.31**	**1,108.11**

The provision for warranties represents management's best estimate of the Company's liability under warranties granted on products, based on prior experience and industry averages.
The provision for refund liabilities represents management's best estimate of the Company's liability with respect to the customers contractual right to return goods in case of any defects or on grounds of quality.

(i) Movements in Other Provisions

The provision for warranties relates mainly to product sold during the year. The provision has been estimated based on historical warranty data associated with similar products and services. The Company expects to settle the majority of the liability over the next year.

Provision for warranties	As at 31 March 2026	As at 31 March 2025
At the beginning of the year	489.94	534.75
Addition during the year*	574.95	489.94
Utilised during the year	(684.33)	(534.75)
At the end of the year	**380.56**	**489.94**

*The above additions do not include expenses charged off to P&L for claims received and settled during the year.

The provision for refund liabilities represents management's best estimate of the Company's liability with respect to the customers contractual right to return goods in case of any defects or on grounds of quality.

Provision for refund liabilities	As at 31 March 2026	As at 31 March 2025
At the beginning of the year	590.00	559.66
Addition during the year ^	445.49	590.00
Utilised during the year	(590.00)	(559.66)
At the end of the year	**445.49**	**590.00**

^ The above additions does not include those sales which are sold and returned during the same year.
For movements in provisions for employee benefits, refer Note 39.
The Company does not expect any reimbursements in respect of the above provisions.

NOTE 21 : TRADE PAYABLES

Particulars	As at 31 March 2026	As at 31 March 2025
Total outstanding dues of micro enterprises and small enterprises	341.87	276.72
Total outstanding dues of creditors other than micro enterprises and small enterprises		
Acceptances	347.94	364.17
Other than acceptances	2,440.54	3,030.58
Total	**3,130.35**	**3,671.47**

Trade payables are non-interest bearing and are normally settled on 0 to 30 day terms.
Refer note 35 for information about liquidity risk and market risk of trade payables.
Refer note 37 for details of trade payables to related parties.

(i) Disclosures required under Section 22 of the Micro, Small and Medium Enterprises Development Act, 2006 (MSMED Act, 2006)

The below disclosures are provided by the Company based on the information available with the Company in respect of the registration status of its vendors/ suppliers.

Particulars	As at 31 March 2026	As at 31 March 2025
Principal amount due to the suppliers registered under MSMED Act and remaining unpaid at the end of accounting year;	328.01	271.90
Interest due to suppliers registered under MSMED Act and remaining unpaid as at the end of accounting year	1.17	0.08
The amount of interest paid by the buyer in terms of section 16 of the MSMED Act, 2006, along with the amount of the payment made to the supplier beyond the appointed day during the year	2,940.51	290.27
The amount of interest due and payable for the year of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under MSMED Act, 2006	-	-
The amount of interest accrued and remaining unpaid at the end of each accounting year.	13.87	4.82
The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise for the purpose of disallowance as a deductible expenditure under the MSMED Act, 2006	13.87	4.82

(ii) Ageing for trade payable from the due date of payment for each of the category is as follows:

Trade payables ageing schedule as at 31 March 2026	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Undisputed dues of micro enterprises and small enterprises	13.87	144.41	183.18	0.24	0.04	0.14	**341.87**
Undisputed dues of creditors other than micro enterprises and small enterprises	1,336.23	327.00	1,098.67	8.67	11.47	6.43	**2,788.47**
Disputed dues of micro enterprises and small enterprises	-	-	-	-	-	-	**-**
Disputed dues of creditors other than micro enterprises and small enterprises	-	-	-	-	-	-	**-**
	1,350.10	**471.41**	**1,281.85**	**8.91**	**11.51**	**6.57**	**3,130.35**

Trade payables ageing schedule as at 31 March 2025	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Undisputed dues of micro enterprises and small enterprises	4.82	149.53	117.64	3.42	0.36	0.95	**276.72**
Undisputed dues of creditors other than micro enterprises and small enterprises	1,885.34	424.95	1,052.18	22.69	5.93	3.66	**3,394.75**
Disputed dues of micro enterprises and small enterprises		-	-	-	-	-	**-**
Disputed dues of creditors other than micro enterprises and small enterprises	-	-	-	-	-	-	**-**
	1,890.16	**574.48**	**1,169.82**	**26.11**	**6.29**	**4.61**	**3,671.47**

Supplier finance arrangements

The Company participates in a supplier finance arrangement under which its suppliers may elect to receive early payment of their invoices from a bank. Under the arrangement, the bank agrees to pay amounts due to participating suppliers in respect of invoices owed by the Company and the Company repays the bank at a later date. The principal purpose of this arrangement is to facilitate efficient payment processing and provide the willing suppliers early payment terms, compared with the related invoice payment due date.. The Company has not derecognised the original trade payables relating to the arrangement because neither a legal release was obtained nor was the original liability substantially modified on entering into the arrangement. From the Company perspective, the arrangement does not significantly extend payment terms beyond the normal terms agreed with other suppliers that are not participating; however, the arrangement does provide participating suppliers with the benefit of early payment. Additionally, the Company does not incur any additional interest towards the bank on the amounts due to the suppliers. The Company therefore includes the amounts subject to the arrangement within trade payables because the nature and function of these payables remains the same as those of other trade payables.

All payables under the arrangement are classified as current as at 31 March 2026 and 31 March 2025.

Additional information about the Company's trade payables is provided in the table below.

Particulars	As at 31 March 2026	As at 31 March 2025
Carrying amount of financial liabilities subject to supplier finance arrangement		
Presented within trade payables	347.94	364.17
of which suppliers have received the payment from the bank	-	-
Range of payment due dates		
Trade payables subject to supplier finance arrangement (days after invoice date)	30-90 days	30-90 days
Comparable trade payables (days after invoice date)	30-90 days	30-90 days

NOTE 22 : OTHER FINANCIAL LIABILITIES

Particulars	As at 31 March 2026	As at 31 March 2025
Current		
Derivatives - Forward exchange contracts used for hedging	-	14.51
Employee benefits payable	160.87	103.42
Total	**160.87**	**117.93**

Refer note 35 - Financial instruments, fair values and risk measurement

NOTE 23 : OTHER CURRENT LIABILITIES

Particulars	As at 31 March 2026	As at 31 March 2025
Current		
Contract liabilities (Advance from customers)	81.14	82.88
Statutory dues (includes goods and services tax, tax deducted at source, provident fund, etc.)	69.49	62.77
Total	**150.63**	**145.65**

NOTE 24 : REVENUE FROM OPERATIONS

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Sale of products	29,270.34	30,599.40
Other Operating Income	10.47	28.90
Total Revenue from Operations	**29,280.81**	**30,628.30**

(i) Reconciliation of Revenue from sale of products with the contracted price:

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Contracted Price	34,545.05	37,121.70
Less: Returns	(1,150.03)	(2,042.04)
Less: Discounts	(4,124.68)	(4,480.26)
Sale of products	**29,270.34**	**30,599.40**

(ii) Contract balances:

Particulars	As at 31 March 2026	As at 31 March 2025
Trade receivables (refer note 11)	2,820.67	2,790.02
Contract Liabilities (refer note 23)	81.14	82.88

Note:
Contract liabilities represent advance received from customers for sale of products at the reporting date.

(iii) Movement in contract liabilities during the year:

Particulars	As at 31 March 2026	As at 31 March 2025
Balance as at beginning of the year	82.88	58.12
Revenue recognised that was included in the contract liability balance at the beginning of the year	(82.88)	(58.12)
Advance received during the year	81.14	82.88
Balance as at end of the year	**81.14**	**82.88**

Note: Contract liabilities as at 31 March 2026 will be recognised as revenue in the next 12 months.

(iv) Disaggregation of revenue from contracts with customers:

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Based on geographies		
Within India	28,851.37	30,482.42
Outside India	418.97	116.98
Total	**29,270.34**	**30,599.40**
Based on business segments		
Audio	23,244.10	25,860.40
Wearables	3,562.18	3,199.67
Others	2,464.07	1,539.33
Total	**29,270.35**	**30,599.40**

(v) No information is provided about remaining performance obligations as at 31 March 2026 and 31 March 2025 or that have an original expected duration of one year or less, as allowed by Ind AS 115.

NOTE 25 : OTHER INCOME

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Interest income under the effective interest method :		
- From Banks	156.20	168.24
- From Others (refer note 37)	5.47	5.20
Other non-operating income		
- Fair valuation / gain from investments designated at FVTPL (net)	29.11	23.82
- Insurance claim recovery	82.33	-
- Dividend income (refer note 37)	100.00	30.00
- Other non-operating income (includes miscellaneous income, etc.)	29.26	40.87
Total	**402.37**	**268.13**

NOTE 26 : PURCHASES OF STOCK-IN-TRADE

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Purchases of stock-in-trade	20,475.41	20,572.32
Total	**20,475.41**	**20,572.32**

Note: The above purchase amount is net of sale of raw material made to the manufacturers in India for conversion of raw materials into finished goods amounting to ₹ 1,941.60 million (31 March 2025: ₹ 1,589.51 million). The same is netted off since the cost of finished goods purchased from those manufacturers are inclusive of the cost of raw material transferred to them.

NOTE 27 : CHANGES IN INVENTORIES OF STOCK-IN-TRADE

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Inventories at the beginning of the year	3,239.39	4,293.23
Inventories at the end of the year	2,923.61	3,239.39
Decrease in inventories of stock-in-trade	**315.78**	**1,053.84**

NOTE 28 : EMPLOYEE BENEFITS EXPENSE

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Salaries, wages and bonus	1,135.92	979.37
Contribution to provident fund and other funds (refer note 39)	31.60	29.83
Defined benefit plan expenses (refer note 39)	11.38	7.91
Compensated absence	17.93	12.52
Share based payment expense (refer note 40)	103.58	86.04
Total	**1,300.41**	**1,115.67**

NOTE 29 : FINANCE COSTS

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Interest cost on financial liabilities measured at amortized cost		
- Borrowings from banks	45.38	127.53
- Lease liabilities	18.58	20.96
Interest cost on others		
- Net defined benefit liability (refer note 39)	1.58	1.17
- Interest on inter company loan (refer note 37)	-	2.00
- Others (includes interest on MSME (refer note 21))	9.02	4.82
Other borrowing costs	3.35	45.03
Total	**77.91**	**201.51**

NOTE 30 : DEPRECIATION AND AMORTISATION EXPENSE

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Depreciation for property, plant and equipment	73.55	71.18
Depreciation of right-of-use assets	86.70	86.05
Amortisation of intangible assets	98.20	95.38
Total	**258.45**	**252.61**

NOTE 31 : OTHER EXPENSES

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Warranty expenses	575.03	825.77
Advertisement and promotion expenses	3,397.56	3,897.18
Freight and transportation charges	636.48	645.09
Legal and professional expenses	190.87	187.65
Contract labour charges	170.25	158.95
Payment to auditor (refer note i below)	6.01	4.10
Fair value loss on account of changes in financial liabilities (net)	-	6.52
Rent expense	18.53	4.56
Rates, fees and taxes	16.66	37.79
Repair and maintenance expense	7.72	14.47
Royalty and License Expenses (refer note 37)	368.05	302.71
Information Technology and Support charges	219.92	238.57
Loss on Sale/Disposal of tangible and intangible assets (net)	-	0.20
Provision for loss allowance for trade receivables (net)	22.68	18.53
Provision for loss allowance for Investments and Loans (net)	-	47.10
Provision for doubtful advances (net)	56.21	145.59
Miscellaneous expenses	329.98	332.00
Total	**6,015.95**	**6,866.78**

(i) Payment to Auditor (excluding applicable taxes)

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
As auditors:		
- Statutory audit	5.00	3.80
- Certification	0.50	-
For reimbursement of expense	0.51	0.30
Total	**6.01**	**4.10**

Imagine Marketing Limited

Notes to the Standalone Financial Statements for the year ended 31 March 2026

(All amounts are in ₹ million, unless otherwise stated)

NOTE 32 : EARNINGS PER SHARE ('EPS')

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Profit attributable to equity shareholders (basic and diluted):	921.46	642.21
Less: Preference dividend on cumulative CCPS#	(0.01)	(0.01)
Profit attributable to equity shareholders (basic and diluted):	**921.45**	**642.20**
Basis EPS		
Number of equity shares at the beginning of the year	9,61,46,300	9,61,46,300
Number of equity shares outstanding at the end of the year	**9,61,46,300**	**9,61,46,300**
Number of instruments completely in the nature of equity at the beginning of the year	5,27,269	5,27,269
Number of equity shares outstanding at the end of the year	**5,27,269**	**5,27,269**
Total of equity shares and instruments completely in the nature of equity	**9,66,73,569**	**9,66,73,569**
Weighted average number of shares outstanding during the year for Basic EPS	15,00,98,551	15,00,98,551
Diluted EPS		
Weighted average number of shares outstanding during the year for Basic EPS	15,00,98,551	15,00,98,551
Add: Employee stock options outstanding*	5,19,740	5,60,643
Weighted average number of shares outstanding during the year for Diluted EPS	15,06,18,291	15,06,59,194
Earnings Per Share (₹):		
Basic	6.14	4.28
Diluted *	6.12	4.26

* ESOP outstanding for 31 March 2026 5,19,888 (31 March 2025: 5,60,643) were exlcuded from the diluted weighted average number of equity share calculation because their effect would be anti dilutive.

Preference dividend on cumulative CCPS is Rs. 9,248 (31 March 2025: Rs. 9,248).

Note:

(a) For the purpose of computing Basic EPS, equity shares that are mandatorily convertible into equity are included in the weighted average number of shares outstanding from the date of their issue. Additionally, refer note 16 (c) and 18 (viii) for the conversion ratio.

(b) Pursuant to the resolutions passed by the Board of Directors on 15 December 2021 and the Shareholders on 15 December 2021, the face value of the equity shares was sub-divided from ₹. 10 per equity share to ₹ 1 per equity share. Accordingly, the issued, subscribed and paid-up equity share capital of the Company being 9,525,000 equity shares of ₹ 10 each was sub-divided into 95,250,000 equity shares for ₹ 1 each. The number of shares to be used in the Basic EPS and Diluted EPS calculation in respect of the period presented above have been accordingly adjusted to give retrospective effect to the share split.

Imagine Marketing Limited

Notes to the Standalone Financial Statements for the year ended 31 March 2026

(All amounts are in ₹ million, unless otherwise stated)

NOTE 33 : CONTINGENT LIABILITIES AND CONTINGENT ASSETS

(i) Contingent Liabilities

Particulars	As at 31 March 2026	As at 31 March 2025
Contingencies		
Indirect Tax matters (refer note(a) (b) (c))	2,439.03	2,408.43
Claims against the Company not acknowledged as debts		
Dividend on 0.01% Cumulative Compulsory Convertible preference shares of ₹ 6,000 each (refer note (d))	0.05	0.05
Dividend on 0.01% Cumulative Compulsory Convertible preference shares of ₹ 3 each (refer note (d))	#	#
Letter of credits outstanding	299.06	-

(a) The Company has received a show cause notice from the Commissioner of Customs (Import) alleging incorrect classification of the product Imported 'Wireless Bluetooth Headsets' import period of 10.06.19 to 26.12.20 being classified under Tariff Item 851762 90, also claiming benefit of rate @ 10% under SI. No. 20 of Notification No.57/17-Cus. dated 30.06.17 as amended. SCN inter alia proposes duty Demand is Rs.34,19,80,328/- along with application interest and penal actions.SCN is pending adjudication as on date.during the year ended 31 March 2022. The Company believes that the it has a strong case and expects no significant outflow of liability. Hence same has been disclosed as contingent liabilities. The above amount excludes interest and penalty (not quantified in order).

(b) The Company has received a show cause notice (SCN) No. 2061/2022-23 dated 13.02.23 from the Commissioner of Customs (Import) alleging incorrect classification of the product "Bluetooth Headset and Headphone" during the year ended 31 March 2024, and claiming exemption benefit in terms of Sr. No. 20 of Notification No. 57/17-Cus., dated 30.06.17, as amended. The SCN has been adjudicated. The Company has filed an appeal before the CESTAT, Mumbai, on 23.04.25, bearing Appeal No. C/86271/2025, and same was allowed. Appeal is listed for final hearing on 20.07.2026. The Company believes that the it has a strong case and expects no significant outflow of liability. Hence same has been disclosed as contingent liabilities. The above amount excludes interest and penalty (not quantified in order).

(c) During the year ended 31 March 2025:

(i) The Company has received a show cause notice (SCN) No. 561/2024-25 dated 18.06.24 from the Commissioner of Customs (Import), NS-V, JNCH alleging incorrect classification of the product 'Bluetooth Headsets/ Headphones/ Earphones', and claiming exemption benefit in terms of Sr. No. 20 of Notification No. 57/17-Cus., dated 30.06.17, as amended. The first personal hearing was held on 29.05.25. However, pursuant to appointment of Commissioner of Customs, NS-V, JNCH as common adjudicating authority, re-hearing conducted on 04.08.25. An order 164/2025-26/COMMR/NS-V/CAC/JNCH dated 11.08.25 was issued. Company has filed common appeal C/88096/2025 and EH application 87241/2025 against Order dated 11.08.25 before CESTAT, Mumbai. The EH application is listed on 13.05.26. The Company believes that it has a strong case and expects no significant outflow of liability. Hence same has been disclosed as contingent liabilities. The above amount excludes interest and penalty (not quantified in order).

(ii) The Company has received show cause notice (SCN) No. 190 / 2024-25 dated 22.07.2024 from the Commissioner of Customs (Import), ACC Sahar, Mumbai, Commissioner of Customs, City Customs Commissionerate, Bengaluru and Additional Commissioner of Customs, Airport & ACC, Bengaluru alleging incorrect classification of the product 'True Wireless Bluetooth Stereo Headsets/Headphones/Earphones/Hands-free'. SCN has been adjudicated and has culminated in Order-in-Original No. CC-HB-38-2024-25-ADJ-I-ACC dated 15.02.25. The Company filed an appeal before the CESTAT, Mumbai, on 23.05.25 bearing Appeal No. C/86275/2025. Company filed EH Application and same was allowed. Appeal is listed for final hearing on 20.07.2026. The Company believes that it has a strong case and expects no significant outflow of liability. Hence same has been disclosed as contingent liabilities. The above amount excludes interest and penalty (not quantified in order).

(iii) The Company has received show cause notice (SCN) No. 172/ 2024-25 dated 12.08.2024 from the Additional Commissioner of Customs, Airport & ACC, Bengaluru, alleging incorrect classification of the product 'True Wireless Bluetooth Stereo Headsets/ Headphones/Earphones/Hands-free/Headphone' and claiming exemption benefit in terms of Sr. No. 20 of Notification No. 57/17-Cus., dated 30.06.17, as amended. The first personal hearing was held on 04.12.24. However, pursuant to appointment of Commissioner of Customs, NS-V, JNCH as common adjudicating authority, re-hearing conducted on 04.08.25. An order 164/2025-26/COMMR/NS-V/CAC/JNCH dated 11.08.25 was issued. Company has filed appeal C/88096/2025 and EH application no. 87241/2025 against Order dated 11.08.25 before CESTAT, Mumbai. The EH application is listed on 13.05.26. The Company believes that it has a strong case and expects no significant outflow of liability. Hence same has been disclosed as contingent liabilities. The above amount excludes interest and penalty (not quantified in order).

(iv) The Company has received show cause notice (SCN) No. 666/ 2024-25 dated 14.10.2024 from the Commissioner of Customs, City Customs Commissionerate, Bengaluru, alleging incorrect classification of the product 'True Wireless Bluetooth Stereo Headsets/ Headphones/Earphones' and claiming exemption benefit in terms of Sr. No. 20 of Notification No. 57/17-Cus., dated 30.06.17, as amended. The first personal hearing was held on 04.08.25. However, pursuant to appointment of Commissioner of Customs, NS-V, JNCH as common adjudicating authority, re-hearing conducted on 04.08.25. An order 164/2025-26/COMMR/NS-V/CAC/JNCH dated 11.08.25 was issued. Company has filed common Appeal No. C/88096/2025 and EH application /87241/2025 against Order dated 11.08.25 before CESTAT, Mumbai. The EH application is listed on 13.05.26. The Company believes that it has a strong case and expects no significant outflow of liability. Hence same has been disclosed as contingent liabilities. The above amount excludes interest and penalty (not quantified in order).

NOTE 33 : CONTINGENT LIABILITIES AND CONTINGENT ASSETS (CONTINUED)

(d) # The below mentioned numbers are absolute and not in millions
(i) The Company has issued 17,269 0.01% Cumulative Compulsorily Convertible preference shares of ₹ 6,000 each which carry a right to preferred cumulative dividend of 0.01% of the par value per annum, the arrears of preferred cumulative dividend not yet declared by the Company amounts to ₹ 53,941.40 (31 March 2025: ₹ 43,580).

(ii) During the year ended 31 March 2023, the Company has issued 0.01% Cumulative Compulsorily Convertible preference shares of ₹ 3 each which carry a right to preferred cumulative dividend of 0.01% of the par value per annum. As at 31 March 2026, the arrears of preferred cumulative dividend not yet declared by the Company amounts to ₹ 5,992.01 (31 March 2025: ₹ 3,994).

(e) There are no other contingent liabilities as on 31 March 2026 (31 March 2025: Nil)

(ii) Contingent assets
There are no contingent assets as on 31 March 2026 (31 March 2025: Nil)

NOTE 34 : COMMITMENTS

Particulars	As at 31 March 2026	As at 31 March 2025
A. Capital commitments		
Estimated amount of contracts remaining to be executed on capital account for purchase of property, plant & equipment and intangible assets and not provided for (net of capital advances)	39.61	16.06

There are no commitments which are given outside the Group. The Holding Company has given support letter to its Wholly Owned Subsidiaries Dive Marketing Private Limited , Imagine Marketing Singapore Pte. Ltd. and Step- down subsidiary Kaha Pte Ltd.

B. Other commitments
The Company has issued guarantee to bank in respect of working capital facilities availed by a joint venture and given surety to customes for import of goods at concessional rates by joint venture:

Name of Joint venture	Particulars	As at 31 March 2026	As at 31 March 2025
Califonix Tech and Manufacturing Private Limited	Guarantee	500.00	-
Califonix Tech and Manufacturing Private Limited	Surety	50.00	-

NOTE 35 : FINANCIAL INSTRUMENTS FAIR VALUE AND RISK MEASUREMENTS

A. Financial instruments by category and their fair values

The carrying amounts and fair values of financial instruments by class are as follows:

Particulars	*Notes*	Carrying amount	
		As at 31 March 2026	As at 31 March 2025
FINANCIAL ASSETS			
Financial assets measured at fair value			
Financial assets at fair value			
Investments	*7*	1,026.96	831.95
Financial assets not measured at fair value			
Financial assets at amortised cost			
Trade receivables	*11*	2,547.99	2,540.02
Cash and cash equivalents	*12*	601.04	781.13
Bank balance other than cash and cash equivalents	*13*	1,941.21	1,990.00
Loans	*14*	0.07	0.54
Other financial assets	*8*	443.49	172.64
Total financial assets		**6,560.76**	**6,316.28**
FINANCIAL LIABILITIES			
Financial liabilities measured at fair value			
Fair value through profit and loss (FVTPL)			
Financial liabilities in relation of CCPS	*18*	5,046.47	5,046.47
Financial liabilities not measured at fair value			
Financial liabilities at amortised cost			
Borrowings	*18*	-	904.15
Trade payables	*21*	3,130.35	3,671.47
Other financial liabilities	*22*	160.87	117.93
Total financial liabilities		**8,337.69**	**9,740.02**

B. Fair Value Hierarchy

The fair value of financial instruments as referred to in note (A) above have been classified into three categories depending on the inputs used in the valuation technique. The hierarchy gives the highest priority to quoted prices in active markets for identical assets or liabilities (Level 1 measurements) and lowest priority to unobservable inputs (Level 3 measurements).

The categories used are as follows:
Level 1: Quoted prices for identical instruments in an active market;
Level 2: Directly or indirectly observable market inputs, other than Level 1 inputs; and
Level 3: Inputs which are not based on observable market data.

For assets and liabilities which are measured at fair value as at Balance Sheet date, the classification of fair value calculations by category is summarised below:

Particulars	Level 1	Level 2	Level 3	Total
As at 31 March 2026				
Financial assets/liabilities measured at fair value				
Investments in mutual funds	1,026.96	-	-	1,026.96
Financial Liabilities (Compulsorily convertible preference shares)	-	-	5,046.47	5,046.47
As at 31 March 2025				
Financial assets/liabilities measured at fair value				
Investments in mutual funds	831.95	-	-	831.95
Financial Liabilities (Compulsorily convertible preference shares)	-	-	5,046.47	5,046.47

There have been no transfers between Level 1 and Level 2 during the reporting years.

Calculation of Fair Values
The fair values of the financial assets and liabilities are defined as the price that would be received on sale of an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Methods and assumptions used to estimate the fair values are consistent with those used for the year ended 31 March 2025.

Financial assets and liabilities measured at fair value as at Balance Sheet date:
The fair values of investments in mutual fund units is based on the net asset value ('NAV') as stated by the issuers of these mutual fund units in the published statements as at Balance Sheet date. NAV represents the price at which the issuer will issue further units of mutual fund and the price at which issuers will redeem such units from the investors.

During the year ended 31 March 2023, the Company has issued 0.01% Cumulative Compulsory Convertible preference shares of ₹ 3 each (Series C CCPS) classified as financial liability. The Company has derived the fair value of CCPS with the help of independent valuer. The valuer has used discounted cash flow method to derive the value of the instruments. The Company used level III fair valuation model for fair valuation of CCPS.

NOTE 35 : FINANCIAL INSTRUMENTS FAIR VALUE AND RISK MEASUREMENTS (CONTINUED)

B. Fair Value Hierarchy (Continued)

Valuation techniques and significant unobservable inputs
The following tables show the valuation techniques used in measuring Level 3 fair values for financial instruments measured at fair value in the standalone statement of financial position, as well as the significant unobservable inputs used.

Type	Valuation techniques	Significant unobservable inputs	Inter-relationship between key unobservable inputs and fair value measurement
Compulsory Convertible Preference Shares	For the purpose of determining fair value, the Company has used the Discounted cash flow technique. • Discounted cash flows technique (DCF): The valuation model considers the present value of expected cash flows, discounted using a risk-adjusted discount rate. The expected cashflows is determined by considering the forecast annual revenue and EBITDA.	• Discounted cash flow (DCF) : - Forecast annual revenue growth rate - Forecast Terminal revenue growth rate - Risk-adjusted discount rate - EBITDA Margin	The estimated fair value would increase (decrease) if: - the forecast annual revenue growth rate were higher (lower); - the terminal growth rate were higher (lower); - the risk adjusted discount rate were lower (higher). - the EBITDA margin were higher (lower)

Significant unobservable inputs used for Level III fair valuation are as follow:

	31-March-2026	31-March-2025
- Risk-adjusted discount rate	13.59%	18.24%
- Forecast Terminal revenue stable growth rate	5.00%	3.00%
- Forecast Terminal revenue high growth rate	15.00%	-
- Forecast annual revenue growth rate	7% to 15%	17% to 25%
- EBITDA Margin	6.70% to 12.10%	4.5% to 16.60%
- Method used	H Model	Gordens Model

Transfers between Levels in the fair value hierarchy
There have been no transfers between levels in the fair value hierarchy

The following tables shows a reconciliation from the opening balance to the closing balance for level 3 fair values.

Particulars	31 March 2026 Series C CCPS	31 March 2025 Series C CCPS
Balance at the beginning of the year	5,046.47	5,039.95
Unrealised Gain /(losses) recognised in profit or loss	-	6.52
Balance at the end of the year	5,046.47	5,046.47

Level 3 fair value sensitivity analysis

As at 31 March 2026

Sensitivity analysis: Impact on profit and loss (after tax)	Change by 1%	Impact on Profit and Loss (in millions)	(Gain)/Loss
- Risk-adjusted discount rate	Impact of 1% increase	(443.00)	(Gain)
	Impact of 1% decrease	564.50	Loss
- Forecast Terminal revenue stable growth rate	Impact of 1% increase	273.10	Loss
	Impact of 1% decrease	(216.20)	(Gain)
- Forecast annual revenue growth rate	Impact of 1% increase	125.20	Loss
	Impact of 1% decrease	(125.20)	(Gain)
- EBITDA Margin	Impact of 1% increase	381.60	Loss
	Impact of 1% decrease	(381.60)	(Gain)

As at 31 March 2025

Sensitivity analysis: Impact on profit and loss (after tax)	Change by 1%	Impact on Profit and Loss (in millions)	(Gain)/Loss
- Risk-adjusted discount rate	Impact of 1% increase	(64.41)	(Gain)
	Impact of 1% decrease	66.85	Loss
- Forecast Terminal revenue stable growth rate	Impact of 1% increase	6.75	Loss
	Impact of 1% decrease	(5.95)	(Gain)
- Forecast annual revenue growth rate	Impact of 1% increase	238.13	Loss
	Impact of 1% decrease	(235.93)	(Gain)
- EBITDA Margin	Impact of 1% increase	59.40	Loss
	Impact of 1% decrease	(58.62)	(Gain)

Other financial assets and liabilities
Fair value of financial assets and liabilities measured at amortised cost (cash and cash equivalents, other bank balance, trade receivables, other financial assets, trade payables, borrowings, lease liabilities and other financial liabilities) is not materially different from the amortised cost. Further, impact of time value of money is not significant for the financial instruments classified as current. Accordingly, the fair value has not been disclosed separately.

C. Financial risk management

The Company's business activities are exposed to a variety of financial risks, namely liquidity risk, market risk and credit risk. The Company's senior management has the overall responsibility for establishing and governing the Company's risk management framework. The Company has constituted a Risk Management Committee, which is responsible for developing and monitoring the Company's risk management policies. The Company's risk management policies are established to identify and analyse the risks faced by the Company, to set and monitor appropriate risk limits and controls, periodically review the changes in market conditions and reflect the changes in the policy accordingly. The key risks and mitigating actions are also placed before the Audit Committee of the Company.

NOTE 35 : FINANCIAL INSTRUMENTS FAIR VALUE AND RISK MEASUREMENTS (CONTINUED)

(i) Management of Liquidity Risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are proposed to be settled by delivering cash or other financial asset. The Company's financial planning has ensured, as far as possible, that there is sufficient liquidity to meet the liabilities whenever due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation.

The Company has obtained fund and non-fund based working capital lines from various banks. The Company also monitors the level of expected cash inflows on trade receivables together with expected cash outflows on trade payables. The Company regularly monitors the rolling forecasts to ensure it has sufficient cash on an on-going basis to meet operational needs. Any short-term surplus cash generated, over and above the amount required for working capital management and other operational requirements, is retained as cash and cash equivalents (to the extent required) and any excess is invested in interest bearing term deposits with appropriate maturities to optimise the cash returns on investments while ensuring sufficient liquidity to meet its liabilities.

Financing arrangement

The Company had access to the following undrawn borrowing facilities at the end of the reporting year:

Particulars	As at 31 March 2026	As at 31 March 2025
Cash credit facilities (includes bank overdraft and working capital facilities)	5,160.00	6,659.27
Other financing arrangements (includes bill discounting, letter of credit, etc.)	-	1,000.00
	5,160.00	**7,659.27**

Exposure to liquidity risk

The following are the remaining contractual maturities of financial liabilities at the reporting date. The amounts are gross and undiscounted, and include estimated interest receipts / payments and exclude the impact of netting agreements.

Particulars	Note	Discounted / Carrying amount	Undiscounted Amount		Total
			Within 1 year	More than 1 year	
As at 31 March 2026					
Financial liabilities (non derivative liabilities)					
Borrowings - Short term	18	5,046.48	5,046.48	-	5,046.48
Lease liabilities	19	199.75	96.89	131.86	228.75
Trade payables	21	3,130.35	3,130.35	-	3,130.35
Other financial liabilities	22	160.87	160.87	-	160.87
As at 31 March 2025					
Financial liabilities (non derivative liabilities)					
Borrowings - Short term	18	5,950.62	5,950.62	-	5,950.62
Lease liabilities	19	190.99	96.54	161.46	258.00
Trade payables	21	3,671.47	3,671.47	-	3,671.47
Other financial liabilities	22	103.42	103.42	-	103.42

Note:

For terms and conditions on series C CCPS refer note foot note (vi) to note 18

(ii) Management of Market Risk

Market risk is the risk that changes in market prices – such as foreign exchange rates, interest rates and equity prices – will affect the Company's income or the value of its holdings of financial instruments.

The Company size and operations result in it being exposed to the following market risks that arise from its use of financial instruments:
- currency risk
- price risk
- interest rate risk

Currency risk

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate due to changes in foreign exchange rates. The functional currency of the Company is Indian Rupees and its revenue is generated from operations in India. The Company does not enter into any derivative instruments for trading or speculative purposes. The Company's borrowings are all in Indian rupees.

NOTE 35 : FINANCIAL INSTRUMENTS FAIR VALUE AND RISK MEASUREMENTS (CONTINUED)

C. Financial risk management (continued)

The carrying amounts of the Company's foreign currency denominated monetary items are as follows:

Particulars	As at 31 March 2026	As at 31 March 2025
Payable		
USD		
Amount in foreign currency	7.79	12.91
Amount in INR	737.01	1,104.86
CNY		
Amount in foreign currency	0.26	0.31
Amount in INR	3.52	3.59
Receivable		
USD		
Amount in foreign currency	1.71	0.00
Amount in INR	162.19	0.20
Cash and cash equivalent		
USD		
Amount in foreign currency	0.06	0.03
Amount in INR	6.07	2.57

The Company is mainly exposed to changes in USD. The below table demonstrates the sensitivity to a 5% increase or decrease in the USD against INR, with all other variables held constant. The sensitivity analysis is prepared on the net unhedged exposure of the Company as at the reporting date. 5% represents management's assessment of reasonably possible change in foreign exchange rate.

Particulars		As at 31 March 2026	As at 31 March 2025
5% strengthening of INR compared to USD	Profit or (Loss)	28.44	55.24
5% strengthening of USD compared to INR	Profit or (Loss)	(28.44)	(55.24)
5% strengthening of INR compared to USD	Equity (net of tax)	21.28	41.34
5% strengthening of USD compared to INR	Equity (net of tax)	(21.28)	(41.34)

Price risk

The Company is mainly exposed to the price risk due to its investment in debt mutual funds. The price risk arises due to uncertainties about the future market values of these investments. The Company has laid policies and guidelines which it adheres to in order to minimise price risk arising from investments in debt mutual funds.

Interest rate risk

Interest rate risk can be either fair value interest rate risk or cash flow interest rate risk. Fair value interest rate risk is the risk of changes in fair values of fixed interest bearing investments because of fluctuations in the interest rates. Cash flow interest rate risk is the risk that the future cash flows of floating interest bearing investments will fluctuate because of fluctuations in the interest rates.

The Company's portfolio of borrowings does not comprise of fixed rate loans.

The Company does not account for any fixed-rate financial assets or financial liabilities at fair value through profit or loss except for series C CCPS classified as financial liabilities and the Company does not have any designated derivatives (interest rate swaps). Therefore, a change in interest rates at the reporting date would not affect profit or loss.

Particulars	As at 31 March 2026	As at 31 March 2025
Fixed-rate instruments		
Financial assets (cash and cash equivalents, fixed deposits, security deposits and interest accrued on deposits)	2,792.05	2,852.20
Financial liabilities	5,046.47	5,348.47
Variable rate instruments		
Financial assets	-	-
Financial liabilities	-	602.15

Particulars		As at 31 March 2026	As at 31 March 2025
Sensitivity analysis:			
100 bps increase	Profit or (Loss)	-	(6.02)
100 bps decrease	Profit or (Loss)	-	6.02
100 bps increase	Equity (net of tax)	-	(4.51)
100 bps decrease	Equity (net of tax)	-	4.51

NOTE 35 : FINANCIAL INSTRUMENTS FAIR VALUE AND RISK MEASUREMENTS (CONTINUED)

C. Financial risk management (continued)

(iii) Management of Credit Risk

Credit risk is the risk that a customer or counterparty to a financial instrument will fail to perform or fail to pay amounts due causing financial loss to the Company. The potential activities where credit risks may arise include from cash and cash equivalents and security deposits and principally from credit exposures to customers relating to outstanding receivables. The maximum credit exposure associated with financial assets is equal to the carrying amount. Details of the credit risk specific to the company along with relevant mitigation procedures adopted have been enumerated below:

Trade receivables
The Company's exposure to credit risk is that the Company has major business dealings with few parties to whom sales are made on credit basis. The Company's majority customer base are e-commerce marketplace players. Since the sales are as per contract, the company's exposure to credit risk is influenced by the individual characterstics of each customer. However, the management also considers the factors that may influence the credit risk of it's customer base including the default risk associated with the industry. Customers with whom legal dispute is going on are considered as credit impaired.

The Company has considered an assessment of past history and has taken into account various factors including future forecast conditions for determination of allowance for expected credit loss.

The following table provides information about the exposure to credit risk and ECLs for trade receivables from individual customers as at 31 March 2026 and 31 March 2025.

31 March 2026	Weighted average loss rate	Gross carrying amount	Credit impaired
Not Due	0%	1,354.13	No
Less than 6 months	3%-6%	1,380.09	No
6 Months to 1 Year	6%-50%	35.93	No
1 - 2 Years	100%	37.08	No
2 -3 Years	100%	2.89	No
More than 3 Years	100%	10.55	Yes

31 March 2025	Weighted average loss rate	Gross carrying amount	Credit impaired
Not Due	0%	1,535.52	No
Less than 6 months	3%-6%	1,130.74	No
6 Months to 1 Year	6%-50%	33.50	No
1 - 2 Years	100%	74.84	No
2 -3 Years	100%	1.20	No
More than 3 Years	100%	14.21	Yes

Refer to note 11(iii) for ageing for trade receivables from the due date of payment.

The Company does not have any impaired trade receivables as on March 31, 2026, except for those as added above.

Other financial assets
The Company maintains exposure in cash and cash equivalents, term deposits with banks and other financial assets. The Company has set counter-party limits based on multiple factors including financial position, credit rating, etc. The Company's maximum exposure to credit risk as at 31 March 2026 and 31 March 2025 is the carrying value of each class of financial assets.

NOTE 36 : CAPITAL MANAGEMENT

The Company defines capital as total equity including issued equity capital (equity and preference), share premium and all other equity reserves attributable to equity holders of the Company (which is the Company's net asset value). The Company manages its capital so as to safeguard its ability to continue as a going concern and to optimise returns to shareholders. The capital structure of the Company is based on management's judgement of its strategic and day-to-day needs with a focus on total equity so as to maintain investor, creditors and market confidence.

The Company monitors capital using a ratio of 'adjusted net debt' to 'adjusted equity'. For this purpose, adjusted net debt is defined as total liabilities, comprising interest-bearing loans and borrowings less cash and cash equivalents. Adjusted equity comprises all components of equity.

The Company's adjusted net debt to equity ratio was as follows.

Particulars	As at 31 March 2026	As at 31 March 2025
Borrowings (including Series C CCPS classified as financial liability)	5,046.47	5,950.62
Lease liabilities (refer note 19)	199.75	190.99
Total debt liabilities	5,246.22	6,141.61
Less : Cash and cash equivalents (refer note 12)	(601.04)	(781.13)
Less : Bank balance other than cash and cash equivalents (refer note 13)	(1,941.21)	(1,990.00)
Less : Bank deposits with remaining maturity more than 1 year (refer note 8)	(50.00)	-
Less : Bank deposits with remaining maturity less than 1 year (refer note 8)	(5.00)	-
Less : Financial Liability in relation to CCPS (Refer note 18)	(5,046.47)	(5,046.47)
Adjusted net debt	(2,397.50)	(1,675.99)
Total equity	6,369.69	5,391.63
Add : Financial Liability in relation to CCPS if classified as instruments entirely in equity in nature	5,046.47	5,046.47
Total adjusted equity	11,416.16	10,438.10
Adjusted net debt to total equity ratio (considering CCPS as debt)	0.42	0.63
Adjusted net debt to adjusted equity ratio	(0.21)	(0.16)

Note:

a. No changes were made in the objectives, policies or processes for managing capital during the years ended 31 March 2026 and 31 March 2025.

b. Borrowings include financial liability in relation to CCPS issued during the year ended 31 March, 2023 which is classified as financial liability as per Ind AS.

Imagine Marketing Limited
Notes to the Standalone Financial Statements for the year ended 31 March 2026
(All amounts are in ₹ million, unless otherwise stated)

NOTE 37 : RELATED PARTY DISCLOSURES

A. Names of the related parties of the Company

Entity having significant influence	South Lake Investment Ltd
Subsidiary company	Dive Marketing Private Limited HOB Ventures Private Limited Imagine Marketing Singapore Pte. Ltd. Kaha Technologies Private Limited
Step- down subsidiary company	Kaha Pte Ltd KaHa Technology (ShenZhen) Co. Ltd
Joint Venture	Califonix Tech and Manufacturing Private Limited

Directors and Key management personnel (KMP)

Name	Designation	Date of appointment	Date of resignation
Mr. Aman Gupta	Whole-time Director	05-Jul-22	NA*
Mr. Aman Gupta	Non-Executive Director	29-Sep-25	
Mr. Sameer Mehta	Executive Director (Group's Chief Operating Decision Maker)	04-May-23	NA@
Mr. Sameer Mehta	Chief Executive Officer	04-May-23	29-Sep-25
Mr. Gaurav Nayyar	Chief Executive Officer	29-Sep-25	NA
Mr. Anish Saraf	Non-Executive Director^	05-Jan-21	NA
Mr. Aashish Kamat	Independent Director	12-Nov-21	NA
Mr. Anand Ramamoorthy	Independent Director	12-Nov-21	NA
Mr. Deven Waghani	Independent Director	15-Dec-21	NA
Ms. Purvi Sheth	Independent Director	12-Nov-21	NA
Mr. Vivek Gambhir	Non-Executive Director	04-May-23	NA
Mr. Rakesh Thakur	Group Chief Financial Officer	12-Dec-23	NA
Mr. Shreekant Sawant	Company Secretary and Compliance Officer	11-04-2024 31-03-2025	NA NA

*Designated from Whole-time Director to Non-Executive Director w.e.f 29-Sept-2025
@Designated from Whole-time Director to Executive Director w.e.f 29-Sept-2025
^ Nominee of South Lake Investment Ltd

Entities in which Directors and KMP have significant influence	Shilputsi Consultants (Proprietorship firm, where one of the Director is interested)

B. Disclosure of transactions between the Company and related parties

Particulars	Relationship	Nature of transaction	Year ended 31 March 2026	Year ended 31 March 2025
Califonix Tech and Manufacturing Private Limited	Joint Venture	High Sea Sales	297.18	202.06
KaHa Technology (Shenzhen) Co., Ltd	Subsidiary company	Purchase of goods	5.97	-
Califonix Tech and Manufacturing Private Limited	Joint Venture	Purchase of goods	5,341.45	7,318.55
Califonix Tech and Manufacturing Private Limited	Joint Venture	Guarantee given	500.00	-
Califonix Tech and Manufacturing Private Limited	Joint Venture	Surety given	50.00	-
Kaha Pte. Ltd.	Subsidiary company	Purchase of Services (License fees and other services)	328.27	252.10
Dive Marketing Private Limited	Subsidiary company	Royalty expense	0.01	0.12
Dive Marketing Private Limited	Subsidiary company	Rent income	0.20	0.20
HOB Ventures Private Limitied	Subsidiary company	Rent income	0.22	0.22
Dive Marketing Private Limited	Subsidiary company	Interest income	2.59	2.59
Califonix Tech and Manufacturing Private Limited	Joint Venture	Dividend income	100.00	30.00
HOB Ventures Private Limitied	Subsidiary company	Interest Expense*	-	2.00
Kaha Technologies Private Limited	Subsidiary company	Reimbursement of expenses received	1.07	0.97
Kaha Pte. Ltd.	Subsidiary company	Reimbursement of expenses paid	4.72	3.33
Imagine Marketing Singapore Pte. Ltd.	Subsidiary company	Reimbursement of expenses paid	2.86	1.11
Kaha Technologies Private Limited	Subsidiary company	Reimbursement of expenses paid	-	0.11
Shilputsi Consultants	Entities in which Directors and KMP have significant influence	Reimbursement of expenses paid	0.27	
Mr. Aman Gupta	Key management personnel/Director	Reimbursement of expenses paid	0.35	0.31
Mr. Sameer Mehta	Key management personnel/Director	Reimbursement of expenses paid	-	0.67
Mr. Gaurav Nayyar	Key management personnel/Director	Reimbursement of expenses paid	3.43	-
Mr. Anand Ramamoorthy	Key management personnel/Director	Reimbursement of expenses paid	0.09	-
Mr. Rakesh Thakur	Key management personnel/Director	Reimbursement of expenses paid	0.22	0.22
Mr. Shreekant Sawant	Key management personnel/Director	Reimbursement of expenses paid	0.02	0.48

*Interest has been waived and the same has been approved by the board of the directors

NOTE 37 : RELATED PARTY DISCLOSURES (CONTINUED)

B. Disclosure of transactions between the Company and related parties *(continued)*

Particulars	Relationship	Nature of transaction	Year ended 31 March 2026	Year ended 31 March 2025
Imagine Marketing Singapore Pte. Ltd.	Subsidiary company	Contribution paid towards equity share capital	-	475.41
HOB Ventures Private Limited	Subsidiary company	Impairment of Investment	-	10.10
Dive Marketing Private Limited	Subsidiary company	Impairment of Loan	-	37.00
HOB Ventures Private Limitied	Subsidiary company	Inter corporate deposit taken	-	300.00
HOB Ventures Private Limitied	Subsidiary company	Inter corporate deposit re-paid	300.00	-
HOB Ventures Private Limitied	Subsidiary company	Interest on Intercorporate deposit paid	2.00	-
Kaha Pte. Ltd.	Subsidiary company	Advance given against supply of goods/services	329.70	258.10
KaHa Technology (Shenzhen) Co., Ltd	Subsidiary company	Advance given against supply of goods/services	5.97	-
Califonix Tech and Manufacturing Private Limited	Joint Venture	Advance given against supply of goods/services	5,980.88	6,079.92
Mr. Aashish Kamat	Director	Directors Sitting Fees	0.80	1.03
Ms. Purvi Sheth	Director	Directors Sitting Fees	0.68	0.93
Mr. Deven Waghani	Director	Directors Sitting Fees	0.23	0.28
Mr. Anand Ramamoorthy	Director	Directors Sitting Fees	1.03	1.33
Mr. Vivek Gambhir	Director	Directors Sitting Fees	0.53	0.60
Mr. Aashish Kamat	Director	Commission to Directors	1.50	1.50
Mr. Anand Ramamoorthy	Director	Commission to Directors	1.50	1.50
Mr. Deven Waghani	Director	Commission to Directors	1.50	1.50
Ms. Purvi Sheth	Director	Commission to Directors	1.50	1.50
Mr. Vivek Gambhir	Director	Commission to Directors	1.50	1.50
Mr. Aman Gupta	Director	Remuneration to Key management personnel	11.67	25.00
Mr. Sameer Mehta	Director	Remuneration to Key management personnel	11.67	25.00
Mr. Gaurav Nayyar	Key management personnel	Remuneration to Key management personnel	11.04	-
Mr. Rakesh Thakur	Key management personnel	Remuneration to Key management personnel	17.87	14.41
Mr. Shreekant Sawant	Key management personnel	Remuneration to Key management personnel	3.50	2.53
Mr. Gaurav Nayyar	Key management personnel	Post employment benefits	0.93	-
Mr. Rakesh Thakur	Key management personnel	Post employment benefits	0.72	0.32
Mr. Shreekant Sawant	Key management personnel	Post employment benefits	(0.01)	0.07
Mr. Rakesh Thakur	Key management personnel	Share based payments expense	11.74	3.70
Mr. Gaurav Nayyar	Key management personnel	Share based payments expense	21.64	-
Mr. Shreekant Sawant	Key management personnel	Share based payments expense	0.26	0.00

C. Status of outstanding balances

Particulars	Relationship	Nature of transaction	As at 31 March 2026	As at 31 March 2025
Dive Marketing Private Limited	Subsidiary company	Trade and other receivables	0.43	0.21
HOB Ventures Private Limitied	Subsidiary company	Trade and other receivables	0.29	0.06
Kaha Technologies Private Limited	Subsidiary company	Trade and other receivables	1.07	-
Dive Marketing Private Limited	Subsidiary company	Trade payables	-	0.12
Califonix Tech and Manufacturing Private Limited	Joint Venture	Trade payables	265.38	290.33
Kaha Pte. Ltd.	Subsidiary company	Advance to vendor	51.45	53.86
Imagine Marketing Singapore Pte. Ltd	Subsidiary Company	Reimbursement of expenses payable	-	1.11
Califonix Tech and Manufacturing Private Limited	Joint Venture	Guarantee	500.00	-
Califonix Tech and Manufacturing Private Limited	Joint Venture	Surety	50.00	-
Dive Marketing Private Limited	Subsidiary Company	Loan receivable	37.00	37.00
Less : Impairment allowance	Subsidiary Company	Loan receivable	(37.00)	(37.00)
HOB Ventures Private Limitied	Subsidiary Company	Inter corporate deposits	-	300.00
Dive Marketing Private Limited	Subsidiary Company	Interest receivable on loan	8.10	5.76
HOB Ventures Private Limitied	Subsidiary Company	Interest payable on loan	-	2.00
Mr. Aashish Kamat	Director	Commission to Directors Payable	1.50	1.50
Mr. Anand Ramamoorthy	Director	Commission to Directors Payable	1.50	1.50
Mr. Deven Waghani	Director	Commission to Directors Payable	1.50	1.50
Ms. Purvi Sheth	Director	Commission to Directors Payable	1.50	1.50
Mr. Vivek Gambhir	Director	Commission to Directors Payable	1.50	1.50
Mr. Aashish Kamat	Director	Directors Sitting Fee Payable	-	0.20
Ms. Purvi Sheth	Director	Directors Sitting Fee Payable	-	0.23
Mr. Deven Waghani	Director	Directors Sitting Fee Payable	-	0.03
Mr. Anand Ramamoorthy	Director	Directors Sitting Fee Payable	-	0.32
Mr. Vivek Gambhir	Director	Directors Sitting Fee Payable	-	0.14

D. Terms and conditions of transactions with related parties

All Related Party Transactions entered during the year were in ordinary course of the business and on arm's length basis. Outstanding balances at the year-end are unsecured and settlement occurs in cash.

E. The balances disclosed in note 37 (C) above exclude amount receivable from Selling Shareholders pertaining to IPO expenses recoverable.

NOTE 38 : SEGMENT INFORMATION

A. Business Segments

The Executive Director of the Company, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the CODM. The Company has determined following reporting segments based on the information reviewed by the Company's Chief Operating Decision Maker ('CODM'):

(i) Audio includes wired earphone, wireless earphone, wired headphone, wireless headphone, wireless speakers and soundbar.
(ii) Wearables include smart watches.
(iii) Others includes charging solutions, cables, mens grooming kit and gaming equipment's.

The above business segments have been identified considering:

(i) The nature of products
(ii) The differing risks and returns
(iii) The internal organisation and management structure, and
(iv) The internal financial reporting systems

Segment Results are arrived at based on segment revenues less direct and allocable cost associated with the segment.

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Revenue from operations		
Revenues from external customers		
Audio	23,244.10	25,860.40
Wearables	3,562.18	3,199.67
Others	2,464.07	1,539.33
	29,270.35	**30,599.40**
Inter segment revenue		
Audio	-	-
Wearables	-	-
Others	-	-
	-	**-**
Total revenue		
Audio	23,244.10	25,860.40
Wearables	3,562.18	3,199.67
Others	2,464.07	1,539.33
	29,270.35	**30,599.40**
Segment Results		
Audio	1,099.39	1,714.60
Wearables	29.23	(466.53)
Others	461.16	144.03
Segment Results	**1,589.78**	**1,392.10**
Less: Un-allocated corporate expenses net of un-allocated income	(189.77)	(324.22)
Add: Interest income	161.67	173.44
Less: Interest costs	(63.96)	(148.49)
Less: Fair value loss on account of changes in financial liabilities	-	(6.52)
Less: Depreciation and amortisation	(258.45)	(252.61)
Profit before tax	**1,239.27**	**833.70**
Tax expense		
Current tax	248.49	-
Deferred tax	69.32	191.49
Total tax expense	**317.81**	**191.49**
Profit for the year	**921.46**	**642.21**

NOTE 38 : SEGMENT INFORMATION (CONTINUED)

B. Other Information

Particulars	As at 31 March 2026	As at 31 March 2025
Segment Assets		
Audio	5,337.61	6,000.50
Wearables	826.78	729.02
Others	615.20	464.70
Total segment assets	6,779.59	7,194.22
Unallocated corporate assets	9,178.26	9,405.23
Total assets	**15,957.85**	**16,599.45**
Segment Liabilities		
Audio	3,480.84	3,905.46
Wearables	478.66	617.27
Others	312.95	228.67
Total segment liabilities	4,272.45	4,751.40
Unallocated corporate liabilities	5,315.71	6,456.40
Total liabilities	**9,588.16**	**11,207.80**

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Capital expenditure		
Audio	4.19	3.31
Wearables	0.62	0.41
Others	0.41	0.20
Unallocated corporate capital expenditure	61.61	60.27
Depreciation/Amortisation		
Audio	38.55	40.51
Wearables	5.67	5.01
Others	3.79	2.41
Unallocated corporate depreciation/amortisation	210.44	204.68
Non-cash expenses other than depreciation		
Audio	-	-
Wearables	-	-
Others	-	-
Unallocated corporate non-cash expenses other than depreciation	239.46	358.91

C. Additional information by geographies

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Revenue by Geographical Market		
India	28,851.38	30,482.42
Outside India	418.97	116.98
Total revenue	**29,270.35**	**30,599.40**

Particulars	As at 31 March 2026	As at 31 March 2025
Carrying Amount of Segment Assets		
India	6,557.14	7,140.36
Outside India	222.45	53.86
Total assets	**6,779.59**	**7,194.22**
Non-current assets *		
India	585.32	703.26
Outside India	-	-

*Non-current assets excludes financial instruments, non-current tax assets (net) and deferred tax assets.

D. Revenue from major customers

The Company earns revenue from few of its major customers which individually amounts to 10 per cent or more of the Company's revenues. Details of such customers (i.e. the total amount of revenues from each such customer) are disclosed below. Revenue from such customers are reported under all the segments of the Company.

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Customer 1	9,680.48	12,054.65
Customer 2	7,245.57	7,784.38
Total	**16,926.05**	**19,839.03**

Outstanding from such customers are reported under all the segments of the Company #

Particulars	As at 31 March 2026	As at 31 March 2025
Customer 1	589.28	651.17
Customer 2	524.85	710.33
Total	**1,114.13**	**1,361.50**

The "Outstanding from top two customers" has been disclosed in note no. 38 (D), as required by Ind AS 108 "Segment Reporting".

NOTE 39 : EMPLOYEE BENEFIT PLANS

A. Defined Contribution Plan

Amount incurred and paid towards contribution to provident fund, Labour Welfare Fund and employees' state insurance corporation is recognised as an expense and included in employee benefit expense:

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Contribution to provident fund and other funds	31.60	29.83

B. Defined Benefit Plan

(i) Description of Plan

Retirement Benefit Plan of the Company include Gratuity. Every employee who has completed five years or more of service gets a gratuity on death or resignation or retirement at 15 days salary (last drawn salary) for each completed year of service with maximum ceiling as per Company's policies. Gratuity plan is unfunded.

(ii) Balance Sheet

The assets, liabilities and (surplus)/deficit position of the defined benefit plans at the Balance Sheet date were:

Particulars	As at 31 March 2026	As at 31 March 2025
Present value of obligations	(37.78)	(25.21)
(Liability) recognised in balance sheet	**(37.78)**	**(25.21)**

Movements in Present Value of Obligation:

Particulars	As at 31 March 2026	As at 31 March 2025
Defined benefit obligation at the commencement of the year	25.21	16.76
Current service cost	10.93	7.91
Past service cost	0.45	-
Interest cost	1.58	1.17
Actuarial losses	3.28	0.37
Benefits paid	(3.67)	(1.00)
Defined benefit obligation at the end of the year	**37.78**	**25.21**
Provision for gratuity (under Non-Current provisions) (Refer note 20)	33.78	23.03
Provision for gratuity (under Current provisions) (Refer Refer note 20)	4.00	2.18
	37.78	**25.21**

(iii) Standalone Statement of Profit and Loss

The charge to the Standalone Statement of Profit and Loss comprises:

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Employee Benefit Expenses:		
Current service cost	10.93	7.91
Past service cost	0.45	-
	11.38	**7.91**
Finance costs:		
Interest cost	1.58	1.17
Interest income	-	-
	1.58	**1.17**
Net impact on profit (before tax)	**12.96**	**9.08**
Remeasurement of the net defined benefit plans:		
Actuarial (gains)/losses arising from changes in financial assumptions	(0.32)	0.73
Actuarial (gains)/losses arising from experience adjustments	3.60	(0.36)
Net impact on other comprehensive income (before tax)	**3.28**	**0.37**

NOTE 39 : EMPLOYEE BENEFIT PLANS (CONTINUED)

(iv) Assumptions

With the objective of presenting the plan obligations of the defined benefits plans at their fair value on the Balance Sheet, assumptions under Ind AS 19 are set by reference to market conditions at the valuation date.

Particulars	As at 31 March 2026	As at 31 March 2025
Financial Assumptions		
Discount rate (per annum)	6.75%	6.55%
Salary Escalation Rate (per annum)	7.00%	7.00%

The obligations are measured at the present value of estimated future cash flows by using a discount rate that is determined with reference to the market yields at the Balance Sheet date on Government Bonds, which is consistent with the estimated terms of the obligation.

The estimates of future salary increases, considered in actuarial valuation, takes into account of inflation, seniority, promotion and other relevant factors, such as supply and demand in the employment market.

Particulars		As at 31 March 2026	As at 31 March 2025
Demographic Assumptions	Age		
Withdrawal Rate	25 and below	24.00%	24.00%
	25 to 35	24.00%	24.00%
	35 to 45	24.00%	24.00%
	45 to 55	24.00%	24.00%
	55 and above	24.00%	24.00%
Mortality Rate		Indian Assured Lives Mortality (2012-14)	Indian Assured Lives Mortality (2012-14)

(v) Sensitivity Analysis

The sensitivity of the overall plan obligations to changes in the weighted key assumptions are:

Particulars		As at 31 March 2026	As at 31 March 2025
Discount rate (per annum)	Increase of 0.5%	(36.99)	(24.65)
	Decrease of 0.5%	38.59	25.80
Salary escalation rate (per annum)	Increase of 0.5%	38.42	25.68
	Decrease of 0.5%	(37.10)	(24.77)
Withdrawal Rate	Increase of 0.1%	(36.65)	(24.20)
	Decrease of 0.1%	38.88	26.23

The sensitivity analysis above have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the year and may not be representative of the actual change. It is based on a change in the key assumption while holding all other assumptions constant. When calculating the sensitivity to the assumption, the same method used to calculate the liability recognised in the Balance Sheet has been applied. The methods and types of assumptions used in preparing the sensitivity analysis did not change compared with the previous years.

(vi) Weighted average duration of the defined benefit plan:

Particulars	As at 31 March 2026	As at 31 March 2025
Gratuity plan	4.09	4.11

(vii) Expected future cash flows in respect of gratuity:

Particulars	As at 31 March 2026	As at 31 March 2025
Less than a year	4.00	2.18
Between 2-5 years	25.22	16.24
More than 5 years	16.32	11.79

NOTE 39 : EMPLOYEE BENEFIT PLANS (CONTINUED)

C. Compensated absences

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Expense towards compensated absences included in Employee Benefit expenses	17.93	12.52

Particulars	As at 31 March 2026	As at 31 March 2025
Provision for compensated absences	36.26	25.99

During the year ended 31 March 2026, the Central Government of India has notified the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020 and the Occupational Safety, Health and Working Conditions Code, 2020, collectively referred to as the 'New Labour Codes', effective from 21 November 2025 primarily impacting the wage definition to be considered for the purpose of defined benefit obligation relating to gratuity.As a result of this plan amendment, the Company's defined benefit obligation has no material impact. A corresponding past service cost was recognised in profit or loss during the current year.

NOTE 40 : SHARE BASED PAYMENTS

Equity Settled Share Based Payments

Employees Stock Option Plan 2019 ('ESOP 2019')

The ESOP 2019 had been formulated by the Board of Directors of the Company in its Meeting held on 24 October 2019 and Shareholders pursuant to the resolution passed in Extra Ordinary General Meeting held on 15 November 2019. Subsequently, ESOP 2019 had been amended by Board on 25 March 2021, 15 December 2021, 31 July 2023 and 23 January 2025 and by shareholders on 25 March 2021, 15 December 2021, 03 September 2023 and 15 February 2025. The ESOP 2019 entitles eligible employees to purchase shares in the Company at the stipulated exercise price, subject to compliance with vesting conditions. As per the ESOP 2019, holders of vested options are entitled to purchase an equity share for every option at an exercise price as stated in the grant letter.

Management Stock Option Plan 2021 ('ESOP 2021')

The ESOP 2021 has been formulated by the Board of Directors of the Company in its Meeting held on 25 March 2021 and Shareholders pursuant to the resolution passed in Extra Ordinary General Meeting held on 25 March 2021. Subsequently, ESOP 2021 had been amended by the Board on 15 December 2021 and 23 January 2025 and by the shareholders of the Company on 15 December 2021 and 15 February 2025. The ESOP 2021 entitles eligible employees to purchase shares in the Company at the stipulated exercise price, subject to compliance with vesting conditions. As per the ESOP 2021, holders of vested options are entitled to purchase on equity share for every option at an exercise price as stated in the grant letter.

Employees Stock Option Plan 2023 ('ESOP 2023')

The ESOP 2023 has been formulated by the Board of Directors of the Company in its Meeting held on 31 July 2023 and Shareholders pursuant to the resolution passed in Extra Ordinary General Meeting held on 3 September 2023. Subsequently, ESOP 2023 had been amended by the Board on 23 January 2025 and 31 March 2025 and by the shareholders of the Company on 15 February 2025 and 23 May 2025. The ESOP 2023 entitles eligible employees to purchase shares in the Company at the stipulated exercise price, subject to compliance with vesting conditions. As per the ESOP 2023, holders of vested options are entitled to purchase on equity share for every option at an exercise price as stated in the grant letter.

Plan	Employee Entitled	Vesting Conditions	Contractual life of options
ESOP 2019	Eligible Employees	Continued employment with Company	4 years
ESOP 2021	Eligible Employees	Continued employment with Company	4 years
ESOP 2023	Eligible Employees	Continued employment with Company	4 years

Scheme	Year	Date of Grant	Numbers of options granted	Vesting Conditions	Exercise Period	Exercise Price (₹) per share (refer note below)	Weighted Average Exercise Price (₹.) per share
ESOP 2019	2019	16 November 2019	256	Graded vesting over 4 years from grant date	7 years from date of vesting	30.27	30.27
	2020	15 November 2020	453	Graded vesting over 4 years from grant date	7 years from date of vesting	30.27	30.27
	2021	25 March 2021	50	Graded vesting over 4 years from grant date	7 years from date of vesting	30.27	30.27
	2022	25 October 2021	14,33,500	Graded vesting over 4 years from grant date	7 years from date of vesting	141.88	141.88
	2022	25 October 2021	30,000	Vesting over 1 years from grant date	7 years from date of vesting	141.88	141.88
	2022	2 December 2021	14,250	Graded vesting over 4 years from grant date	7 years from date of vesting	141.88	141.88
	2022	1 February 2022	4,10,000	Graded vesting over 4 years from grant date	7 years from date of vesting	141.88	141.88
	2022	29 March 2022	5,37,400	Graded vesting over 4 years from grant date	7 years from date of vesting	141.88	141.88
	2023	24 June 2022	60,000	Graded vesting over 4 years from grant date	7 years from date of vesting	141.88	141.88
	2023	24 June 2022	1,20,517	Graded vesting over 4 years from grant date	7 years from date of vesting	450.00	450.00
	2023	21 December 2022	8,75,000	Graded vesting over 4 years from grant date	7 years from date of vesting	218.00	218.00
	2023	21 December 2022	1,50,000	Graded vesting over 4 years from grant date	7 years from date of vesting	300.00	300.00
	2023	21 December 2022	3,03,042	Graded vesting over 4 years from grant date	7 years from date of vesting	450.00	450.00
	2023	30 January 2023	1,32,443	Graded vesting over 4 years from grant date	7 years from date of vesting	450.00	450.00

NOTE 40 : SHARE BASED PAYMENTS (CONTINUED)

Scheme	Year	Date of Grant	Numbers of options granted	Vesting Conditions	Exercise Period	Exercise Price (₹) per share (refer note below)	Weighted Average Exercise Price (₹.) per share
	2024	04 May 2023	66,000	Graded vesting over 4 years from grant date	7 years from date of vesting	450.00	450.00
	2024	04 May 2023	13,300	Graded vesting over 4 years from grant date	7 years from date of vesting	300.00	300.00
	2024	04 May 2023	60,000	Graded vesting over 4 years from grant date	7 years from date of vesting	250.00	250.00
ESOP 2021	2021 - 1	13 April 2021	2,062	Grade vesting over 4 years from grant date	7 years from date of vesting	141.88	141.88
	2021 - 2	13 April 2021	687	4 years from grant date	7 years from date of vesting	141.88	141.88
ESOP 2023	2024	15 October 2023	1,39,327	Grade vesting over 4 years from grant date	As per the scheme	450.00	450.00
	2024	15 January 2024	15,000	Grade vesting over 4 years from grant date	As per the scheme	450.00	450.00
	2024	16 April 2024	34,777	Grade vesting over 4 years from grant date	As per the scheme	450.00	450.00
	2024	15 July 2024	2,60,307	Grade vesting over 4 years from grant date	As per the scheme	450.00	450.00
	2024	15 October 2024	1,26,277	Grade vesting over 4 years from grant date	As per the scheme	450.00	450.00
	2025	15 January 2025	41,237	Grade vesting over 4 years from grant date	As per the scheme	450.00	450.00
	2025	15 February 2025	4,000	14 months from grant date	As per the scheme	450.00	450.00
	2025	15 February 2025	22,500	17 months from grant date	As per the scheme	450.00	450.00
	2025	26 February 2025	34,000	Grade vesting over 4 years from grant date	As per the scheme	450.00	450.00
	2025	31 March 2025	6,17,500	Grade vesting over 4 years from grant date	As per the scheme	450.00	450.00
	2026	15 September 2025	32,333	Grade vesting over 4 years from grant date	As per the scheme	450.00	450.00
	2026	06 October 2025	5,555	Grade vesting over 4 years from grant date	As per the scheme	450.00	450.00
	2026	15 January 2026	33,332	Grade vesting over 4 years from grant date	As per the scheme	450.00	450.00

NOTE 40 : SHARE BASED PAYMENTS (CONTINUED)

Note:

(i) The original exercise price for the shares granted under the ESOP 2019 on 16 November 2019, 15 November 2020 and 25 March 2021 was ₹ 60,532 per share. Pursuant to the Corporate Event being issuance of Bonus Equity Shares and Bonus Series A CCPS, the Company adjusted the exercise price for ESOPs under the ESOP 2019 Plan in accordance with their terms of issuance as set out in the ESOP 2019 and the exercise price was amended from ₹ 60,532 to ₹ 302.66. Further on 15 December 2021, the face value of the equity shares was sub-divided from ₹ 10 per equity share to ₹ 1 per equity share resulting in adjustment of exercise price from ₹ 302.66 to ₹ 30.27.

(ii) The original exercise price for the shares granted under the ESOP 2019 on 25 October 2021 and 02 December 2021 was ₹ 1,418.745 per share. Pursuant to the Corporate Event on 15 December 2021, the face value of the equity shares was sub-divided from ₹ 10 per equity share to Re. 1 per equity share, the Company adjusted the exercise price for ESOPs under the ESOP 2019 in accordance with their terms of issuance as set out in the ESOP 2019 and the amended from ₹ 1,418.75 to ₹ 141.88.

(iii) The original exercise price for the shares granted under the ESOP 2021 on 13 April 2021 was ₹ 283,749 per share. Pursuant to the Corporate Event being issuance of Bonus Equity Shares and Bonus Series A CCPS, the Company adjusted the exercise price for ESOPs under the ESOP 2021 in accordance with their terms of issuance as set out in the ESOP 2021 and the amended from ₹ 283,749 to ₹ 1,418.75. Further on December 15, 2021 the face value of the equity shares was sub-divided from ₹ 10 per equity share to ₹ 1 per equity share resulting in adjustment of exercise price from ₹ 1,418.75 to ₹ 141.88.

Scheme	Year	For the year ended	Number of Share Options				
			Outstanding at the beginning of the year	Granted during the year*	Forfeited/Expired during the year	Exercised during the year	Outstanding at the end of the year
ESOP 2019	2019	31 March 2021	256	-	(15)	-	241
		31 March 2022	241	4,81,759	(1,10,000)	(1,96,500)	1,75,500
		31 March 2023	1,75,500	-	(52,000)	(54,500)	69,000
		31 March 2024	69,000	-	(4,000)	-	65,000
		31 March 2025	65,000	-	-	-	65,000
		31 March 2026	65,000	-	-	-	65,000
	2020	31 March 2021	-	453	-	-	453
		31 March 2022	453	9,05,547	(3,08,000)	(1,20,300)	4,77,700
		31 March 2023	4,77,700		(61,500)	-	4,16,200
		31 March 2024	4,16,200	-	(35,000)	-	3,81,200
		31 March 2025	3,81,200	-	(8,000)	-	3,73,200
		31 March 2026	3,73,200				3,73,200
	2021	31 March 2021	-	50	-	-	50
		31 March 2022	50	99,950	-	-	1,00,000
		31 March 2023	1,00,000	-	-	-	1,00,000
		31 March 2024	1,00,000	-	-	-	1,00,000
		31 March 2025	1,00,000	-	-	-	1,00,000
		31 March 2026	1,00,000				1,00,000
	2022	31 March 2022	-	24,25,150	(42,000)	-	23,83,150
		31 March 2023	23,83,150	-	(3,79,500)	(11,500)	19,92,150
		31 March 2024	19,92,150	-	(3,72,820)	-	16,19,330
		31 March 2025	16,19,330	-	(1,31,500)	-	14,87,830
		31 March 2026	14,87,830		(26,000)		14,61,830

NOTE 40 : SHARE BASED PAYMENTS (CONTINUED)

Scheme	Year	For the year ended	Number of Share Options				
			Outstanding at the beginning of the year	Granted during the year*	Forfeited/Expired during the year	Exercised during the year	Outstanding at the end of the year
	2023	31 March 2023	-	16,41,002	(15,700)	-	16,25,302
		31 March 2024	16,25,302	-	(42,296)	-	15,83,006
		31 March 2025	15,83,006	-	(82,596)	-	15,00,410
		31 March 2026	15,00,410	-	(71,895)	-	14,28,515
	2024	31 March 2024	-	1,39,300	(61,111)	-	78,189
		31 March 2025	78,189	-	(12,167)	-	66,022
		31 March 2026	66,022	-	(8,000)	-	58,022
ESOP 2021	2021 - 1	31 March 2021	-	2,062	-	-	2,062
		31 March 2022	2,062	41,21,938	-	-	41,24,000
		31 March 2023	41,24,000	-	(20,60,000)	-	20,64,000
		31 March 2024	20,64,000	-	-	(50,000)	20,14,000
		31 March 2025	20,14,000	-	-	-	20,14,000
		31 March 2026	20,14,000	-	-	-	20,14,000
	2021 - 2	31 March 2021	-	687	-	-	687
		31 March 2022	687	13,73,313	-	-	13,74,000
		31 March 2023	13,74,000	-	(13,74,000)	-	-
ESOP 2023	2024 -1	31 March 2024	-	1,54,327	(1,991)	-	1,52,336
		31 March 2025	1,52,336	-	(15,000)	-	1,37,336
		31 March 2026	1,37,336		(6,500)		1,30,836
	2024 -2	31 March 2025	-	4,21,360	(3,852)	-	4,17,508
		31 March 2026	4,17,508		(66,180)		3,51,328
	2025	31 March 2025	-	7,19,237	-	-	7,19,237
		31 March 2026	7,19,237		(46,039)		6,73,198
	2026	31 March 2026	-	71,220	(3,333)	-	67,887

** Granted during the previous year includes additional options granted upon issuance of bonus shares to existing shareholders and share split from ₹ 10 each to ₹ 1 each (refer note 16(f))*

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Weighted average equity share price at the date of exercise of options during the year	-	352.55
Weighted average remaining contractual life of options (years) as at the end of the year	5.82	7.21

The value of the underlying shares has been determined by an independent valuer. The following assumptions were used for calculation of fair value of grants in accordance with Black Scholes model:

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Risk-free interest rate (%)	6.34% to 6.66%	6.62% to 7.20%
Expected life of options (years) [(year to vesting) + (contractual option term)/2]	4.5 to 7.5 years	4.5 to 7.5 years
Expected volatility (%)	43.46% to 44.54%	41.92% to 45.77%
Dividend yield	0.00%	0.00%

The risk free interest rates are determined based on the zero-coupon sovereign bond yields with maturity equal to the expected term of the option. Volatility calculation is based on historical stock prices using standard deviation of daily change in stock price. The historical period is taken into account to match the expected life of the option. Dividend yield has been calculated taking into account expected rate of dividend on equity share price as on grant date.

Particulars	Year ended 31 March 2026	Year ended 31 March 2025
Equity settled share based payments	103.58	86.04
Total expense recognized under "Employee benefits expense"	**103.58**	**86.04**

Imagine Marketing Limited

Notes to the Standalone Financial Statements for the year ended 31 March 2026

(All amounts are in ₹ million, unless otherwise stated)

NOTE 41 : RATIOS AS REQUIRED BY SCHEDULE III TO THE COMPANIES ACT, 2013

A. Computation of ratios:

	Particulars	Numerator	Denominator	Year ended 31 March 2026	Year ended 31 March 2025	% variance 31 March 2026 vs 31 March 2025
(i)	Current ratio (in times)	Current assets	Current liabilities	1.17	1.05	11.24%
(ii)(a)	Debt-equity ratio (in times) (CCPS treated as financial liability)	Total Debt	Shareholder's Equity	0.79	1.10	-27.98%
(ii)(b)	Debt-equity ratio (in times) (CCPS treated as Equity)	Total Debt	Shareholder's Equity	0.00	0.09	-100.00%
(iii)	Debt service coverage ratio (in times)	Earnings available for debt service	Debt Service	1.27	0.43	195.86%
(iv)(a)	Return on equity ratio (in %) (CCPS treated as financial liability)	Profit after taxes – Preference Dividend (if any)	Average Shareholder's Equity	15.67%	12.71%	23.28%
(iv)(b)	Return on equity ratio (in %) (CCPS treated as Equity)	Profit after taxes – Preference Dividend (if any)	Average Shareholder's Equity	8.43%	6.36%	32.59%
(v)	Inventory turnover ratio(in times)	Cost of goods sold	Average Inventory	6.75	5.74	17.55%
(vi)	Trade receivables turnover ratio (in times)	Revenue from operations	Average Trade receivables	11.51	15.17	-24.13%
(vii)	Trade payables turnover ratio (in times)	Purchase of stock-in-trade + Other expenses	Average Trade payables	7.60	9.06	-16.15%
(viii)	Net capital turnover ratio (in times)	Revenue from operations	Working Capital	18.47	51.72	-64.30%
(ix)	Net profit ratio (in %)	Profit for the year (after tax)	Revenue from operations	3.15%	2.10%	49.86%
(x)	Return on capital employed (in %)	Profit before interest and taxes	Capital Employed	11.54%	9.13%	26.37%
(xi)	Return on investment (in %)	Interest income from bank	Fixed deposits	7.82%	7.90%	-0.95%

Definitions:

(a) Earning for available for debt service = Net Profit after taxes + Non-cash operating expenses like depreciation and other amortizations + Interest + other adjustments like loss on sale of Fixed assets etc.
(b) Debt service = Interest & Lease Payments + Principal Repayments
(c) Average inventory = (Opening inventory balance + Closing inventory balance) / 2
(d) Average trade receivables = (Opening trade receivables balance + Closing trade receivables balance) / 2
(e) Average trade payables = (Opening trade payables balance + Closing trade payables balance) / 2
(f) Working capital = Current assets - Current liabilities.
(g) Earning before interest and taxes = Profit before tax + Interest expense
(h) Capital Employed = Tangible Net Worth + Total Debt + Deferred Tax Liability
(i) Total Debt - Total debt is calculated including the financial liability in relation to CCPS issued during the year which is classified as financial liability as per Ind AS.

B. Explanation for change in the ratio by more than 25%:

	Particulars	% variance 31 March 2026 vs 31 March 2025
(i)	Debt-equity ratio	Decrease is mainly on account of profit during the year and decrease in borrowings
(ii)	Debt service coverage ratio	Decrease is mainly on account of reduction in borrowings at overall level
(iii)	Return on capital employed	Increase is mainly on account of profit during the year as compared to previous year
(iv)	Return on equity ratio (in %)	Increase is mainly on account of profit during the year
(v)	Net capital turnover ratio (in times)	Decrease is mainly on account of reduction in overall revenue from operations and increase in working capital as compared to previous year
(vi)	Net profit ratio (in %)	Increase is mainly on account of profit during the year

NOTE 42 : DISCLOSURES PURSUANT TO SECTION 186 OF THE COMPANIES ACT, 2013

(i) Refer to note 6 for details of investment in subsidiary companies and joint ventures.

(ii) The Company has not given any loan or guarantee or provided any security during the year as covered under Section 186 of the Companies Act, 2013 except as disclosed below : (Also refer note 14 (iii) and 8).

Details of loan given by the Company are as follows :

Name of the entity	Purpose	As at 1 April 2025	Loan given during the year	Loan prepaid	As at 31 Mar 2026
Dive Marketing Private Limited	Working capital loan	37.00	-	-	37.00

The above loan is repayable on demand alonwith interest at the rate of 7% per annum.

Name of the entity	Purpose	As at 1 April 2024	Loan given during the year	Loan prepaid	As at 31 Mar 2025
Dive Marketing Private Limited	Working capital loan	37.00	-	-	37.00

The above loan is repayable on demand alonwith interest at the rate of 7% per annum.

Details of loan given by one of the subsidiary to the Holding Company during the year are as follows :

Name of the entity	Purpose	As at 1 April 2025	Loan given during the year	Loan repaid	As at 31 Mar 2026
HOB Ventures Private Limited	Working capital loan	300.00		300.00	0.00

The above loan was repayable on demand alonwith interest at the rate of 9% per annum.

Details of loan given by one of the subsidiary to the Holding Company during the year are as follows :

Name of the entity	Purpose	As at 1 April 2024	Loan given during the year	Loan repaid	As at 31 Mar 2025
HOB Ventures Private Limited	Working capital loan	-	300.00	-	300.00

The above loan was repayable on demand alonwith interest at the rate of 9% per annum.

NOTE 43 : DISCLOSURE OF STRUCK OFF COMPANIES

The Company does not have any transactions with companies struck off under section 248 of the Companies Act, 2013 or section 560 of Companies Act, 1956.

NOTE 44 : The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses except for Series C CCPS issued in the year ended 31 March, 2023 and derivative liabilities . Refer note 18(vi) and note 22.

NOTE 45 : SUBSEQUENT EVENTS

There are no subsequent events after the balane sheet date till the date of signing of Standalone Financial Statements which may require adjustments.

NOTE 46 : No transactions to report against the following disclosure requirements as notified by MCA pursuant to amended Schedule III:

(a) Crypto Currency or Virtual Currency
(b) Benami Property held under Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder

NOTE 47 : Other than disclosed below, No funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other persons or entities, including foreign entities ("Intermediaries") with the understanding, whether recorded in writing or otherwise, that the Intermediary shall lend or invest in party identified by or on behalf of the Company (Ultimate Beneficiaries).

Investments made in the equity share capital of Intermediary, during 2024-2025:

Name of the Intermediary	Relationship with the Company	Nature of Investment	Date	Amount
Imagine Marketing Singapore Pte Limited	Wholly Owned Subsidiary	5,540,000 Equity shares of Imagine Marketing Singapore Pte Ltd having face value USD 1 (at Rs. 83.45/ USD) each, fully paid up	04-04-2024 14-02-2025	475.42

Investments made by Imagine Marketing Singapore Pte Ltd, as intermediary, during 2024-2025:

Investee Company	Relationship with the Company	Nature of Investment	Date	Amount
Kaha Pte Ltd	Wholly Owned Subsidiary	5,640,712 Equity shares of Kaha Pte Ltd (Subsidiary Company) having face value of USD 1 each, fully paid	05-04-2024 14-02-2025	477.04

The Company has not received any fund from any party (Funding Party) with the understanding that the Company shall whether, directly or indirectly lend or invest in other persons or entities identified by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

NOTE 48 : Information with regards to other matters in the Companies Act are either Nil or Not applicable to the Company.

As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
Firm Registration No. 101248W/W-100022

Amar Sunder — Digitally signed by Amar Sunder Date: 2026.06.05 21:14:02 +05'30'

Amar Sunder
Partner
Membership No: 078305
Place : Mumbai
Date : 05 June 2026

For and on behalf of the Board of Directors of
Imagine Marketing Limited
CIN: U52300MH2013PLC249758

Sameer Ashok Mehta — Digitally signed by Sameer Ashok Mehta Date: 2026.06.05 19:22:10 +05'30'

Sameer Mehta
Executive Director
DIN: 02945481
Place : Mumbai
Date : 05 June 2026

Aman Gupta — Digitally signed by Aman Gupta Date: 2026.06.05 20:36:21 +05'30'

Aman Gupta
Non Executive Director
DIN: 02249682
Place : Gurgaon
Date : 05 June 2026

GAURAV NAYYAR — Digitally signed by GAURAV NAYYAR Date: 2026.06.05 19:24:39 +05'30'

Gaurav Nayyar
Chief Executive Officer

Place : Gurgaon
Date : 05 June 2026

Rakesh Thakur — Digitally signed by Rakesh Thakur Date: 2026.06.05 19:27:07 +05'30'

Rakesh Thakur
Group Chief Financial Officer

Place : Mumbai
Date : 05 June 2026

SHREEKANT JAYRAM SAWANT — Digitally signed by SHREEKANT JAYRAM SAWANT Date: 2026.06.05 19:29:42 +05'30'

Shreekant Sawant
Company Secretary and Compliance Officer
(A-30705)
Place : Mumbai
Date : 05 June 2026